Cooperative Societies and the Modernized Taxation Architecture of Sri Lanka: A Comprehensive Analysis of the 2025–2026 Fiscal Reforms

Historical and Legislative Foundations of Cooperative Societies

The cooperative movement in Sri Lanka represents a historically significant socioeconomic framework that has driven community-based development, smallholder agriculture, retail distribution, and micro-financial services for over a century[1]. Originating during the British colonial period, the sector's regulatory framework began with the Credit Cooperative Societies Ordinance No. 7 of 1911[3]. This provided the initial legal structure for mobilizing rural savings and offering credit to marginalized agrarian communities[3]. This framework was subsequently expanded and formalized under the Cooperative Societies Law No. 5 of 1972, which remains the primary legislative act governing the establishment, registration, operation, and dissolution of cooperative societies across the island[3].

Following the implementation of the Thirteenth Amendment to the Constitution of Sri Lanka, the administration of cooperative societies was largely decentralized[3]. Today, the sector is overseen by the National Department of Cooperative Development alongside individual Provincial Registrars of Cooperative Societies[3]. While provincial charters have been enacted to regulate societies locally, they operate within the broader principles established by the national 1972 Act[3]. Under this legal structure, a cooperative society may be registered with or without limited liability[7]. It must consist of at least ten qualified individual persons or at least three registered cooperative societies[7].

To preserve the mutual-benefit and non-profit-driven nature of these organizations, the Cooperative Societies Law imposes strict financial mandates[3]. Registered societies must transfer a minimum of twenty-five percent of their annual net profits to a statutory reserve fund and contribute a designated portion to the National Cooperative Fund[7]. Any remaining surplus can be utilized for member dividends, subject to statutory caps on individual shareholdings and dividend payouts[7]. In the 2025–2026 fiscal cycle, the Ministry of Trade, Commerce, Food Security and Cooperative Development has initiated a structural re-establishment of the cooperative sector[1]. This includes drafting a new National Cooperative Policy and launching a provincial-level program to establish one thousand production cooperatives in agriculture, fisheries, dairy, handloom textiles, and small industries to foster employment and rural productivity[1].

Direct Taxation and Exemption Frameworks under the Third Schedule

Historically, the Sri Lankan state has recognized the unique socio-economic role of cooperative organizations by granting them significant direct tax concessions[8]. Under the Inland Revenue Act No. 24 of 2017, registered cooperative societies within the meaning of the Cooperative Societies Law No. 5 of 1972 are classified as exempt entities[8]. This statutory exemption, found in paragraph (a) of the Third Schedule, completely shields the operational profits and income of registered cooperative societies from the standard corporate income tax rates that apply to standard corporate structures[8].

This direct tax exemption has historically been reinforced by exclusions from other business-related taxes[12]. For instance, under the now-repealed Economic Service Charge (ESC) Act No. 13 of 2006, cooperative societies were explicitly exempted from the turnover-based economic service charge, which functioned as an advance payment of income tax for standard commercial entities[12]. This exclusion prevented the erosion of cooperative working capital, particularly in periods of low margins or operational losses[14].

In the domestic banking and financial system, interest paid to cooperative societies registered under the Cooperative Societies Law was historically exempted from withholding tax at source, as detailed in Treasury and Inland Revenue Department circulars such as SEC/2019/04[17]. Similarly, financial institutions like the Sanasa Development Bank (SDB) note that registered cooperative societies are treated as exempt entities under the Third Schedule of the Inland Revenue Act, relieving them from withholding tax deductions on dividend distributions[11].

Operational & Tax Parameters	**Registered Cooperative Societies (Law No. 5 of 1972)**	**Non-Governmental Organizations (NGOs)**	**Standard Corporate Entities**
Primary Legislation	Cooperative Societies Law No. 5 of 1972[3]	Voluntary Social Service Organisations Act No. 8 of 1980[18]	Companies Act No. 7 of 2007[7]
Income Tax Exemption	Exempt under paragraph (a) of the Third Schedule[8]	Partially liable; 30% tax on 3% of aggregate grants, donations, or contributions[18]	Subject to standard CIT of 30% or sector-specific rates[19]
Capital Gains Tax	Exempt under the	Subject to 10% CGT	Subject to 15% CGT

(CGT)	Third Schedule of the Inland Revenue Act[8]	on the realization of investment assets[19]	on the realization of investment assets[22]
Advance Income Tax on Deposits	Exempt from WHT on deposit interest at source under historical guidelines[17]	Subject to standard AIT/WHT on interest income[19]	Subject to 10% WHT/AIT on deposit interest[19]
Economic Service Charge (ESC)	Historically exempt[12]	Historically exempt[15]	Historically liable at 0.5% to 1.0% of quarterly turnover[12]

Detailed Anatomy of the 2025–2026 Income Tax Amendments

The direct tax landscape of Sri Lanka has been fundamentally altered through the passage of the Inland Revenue (Amendment) Act No. 02 of 2025 and the Inland Revenue (Amendment) Act No. 11 of 2026[23]. These legislative amendments represent a core pillar of the nation's macroeconomic adjustment and fiscal stabilization programs[27]. While cooperative societies retain their organizational income tax exemptions, these sweeping changes affect their employee pay structures, secondary commercial investments, trust portfolios, and individual cooperative members[8].

For resident individuals, the tax-free personal relief threshold is set at LKR 1.8 million per annum (equivalent to LKR 150,000 per month) for the Year of Assessment 2025/2026[21]. This adjustment provides relief to middle-income earners and cooperative employees[21]. Taxable income exceeding this LKR 1.8 million personal relief threshold is subject to progressive marginal tax brackets[19].

Annual Taxable Income Brackets (LKR)	Progressive Marginal Income Tax Rate (%)
First 1,000,000	6%[19]
Next 500,000	18%[19]
Next 500,000	24%[19]

Next 500,000	30%[19]
Balance Taxable Income	36%[19]

For corporate entities and other taxable vehicles, the standard Corporate Income Tax (CIT) rate is maintained at thirty percent[19]. Concessionary corporate tax rates of fifteen percent are applied to specific sectors, including service exports and foreign-sourced income, provided these earnings are received in foreign currency and remitted through the local banking system[19]. Conversely, profits derived from domestic betting and gaming, and the manufacture, sale, or import of liquor or tobacco products, are taxed at a flat rate of forty-five percent[19].

The 2025–2026 amendments also reform the taxation of dividends and investment returns[19]. Dividend distributions are subject to a withholding tax rate of fifteen percent[19]. Where dividend tax has been deducted at source at the standard rate, it is treated as a final tax, and such dividends are exempt from further taxation in the hands of the recipient[30].

Furthermore, the tax treatment of Unit Trusts and Mutual Funds has been tightened under Section 59 of the Inland Revenue Act, effective April 1, 2025[24]. A unit trust or mutual fund is required to issue a certificate to every unit holder within five months of the end of the year of assessment, detailing the income, exempt amounts, and withholding tax credits allocated to that holder[24]. If a trust fails to provide this certificate, it is deemed to be a resident company for tax purposes, and the standard corporate tax of thirty percent is levied directly on the fund[19]. If the certificate is properly served, the unit holder remains liable, and the fund itself is spared from corporate-level taxation[24].

The 2025–2026 direct tax amendments also reform employment taxation, particularly regarding secondary employment and board directorships[30]. Directors are classified as employees for the purposes of tax administration, meaning that standard PAYE / Advance Personal Income Tax (APIT) rules must be applied to their executive compensation[30]. Under the provisions of Section 117, where an individual receives benefits from a second employment or a directorship, a flat tax rate of sixteen percent is deductible on cash or non-cash benefits, subject to an initial monthly deduction of LKR 25,000[30]. If the individual is employed by a secondary employer who is not the main employer, separate withholding rates apply depending on the sector[30].

Sector of Secondary Employment	Monthly Secondary Income Threshold	Withholding Tax Rate (%)
Private Sector	Less than LKR 25,000 per month	10%[30]
Private Sector	Exceeding LKR 25,000 per	16% on full payment[30]

	month	
Public Sector	Less than LKR 50,000 per month	10%[30]
Public Sector	Exceeding LKR 50,000 per month	16% on full payment[30]

For payouts derived from life insurance policies by holders or beneficiaries, the Inland Revenue (Amendment) Act No. 11 of 2026 introduces an explicit exclusion from assessable income calculations, effective April 1, 2025[25]. This exclusion applies to sums received upon death, maturity, or the physical surrender of the policy, provided the payouts are not treated as standard employment or business income, or structured as annuities, pensions, or superannuation benefits[25].

Additionally, the carry-forward rules for qualifying payments have been expanded under Section 52 of the principal enactment[32]. If an individual or entity is unable to deduct qualifying payments—such as donations to government funds, public corporations, or accredited charities—due to their total assessable income being lower than the value of the qualifying payment, the undeducted balance may be carried forward and deducted from the assessable income of subsequent years of assessment, commencing on or after April 1, 2025[32].

Indirect Taxation, Threshold Re-alignments, and the Consumption Tax Base

The indirect tax landscape has undergone a major shift following the enactment of the Value Added Tax (Amendment) Act No. 04 of 2025 and the proposed legislative bills of 2026[26]. The standard VAT rate remains at eighteen percent, reflecting the fiscal consolidation targets designed to boost tax revenues relative to gross domestic product[19].

A major structural reform is the complete repeal of the Simplified VAT (SVAT) scheme, effective October 1, 2025[21]. The SVAT scheme historically allowed registered exporters and strategic development projects to acquire goods and services without physically paying VAT at the transaction point, reducing cash-flow pressure[21]. Under the new framework, all transactions—both domestic and imported—are subject to physical VAT payments, and eligible exporters must apply for refunds of excess input tax through a newly established risk-based refund system[21]. To ease the cash-flow pressure on domestic enterprises, the government increased the statutory contribution to the VAT Refund Fund from six percent to ten percent of total VAT collections, effective October 1, 2025[21].

Furthermore, effective April 1, 2026, the registration thresholds for both VAT and the Social Security Contribution Levy (SSCL) are scheduled to be lowered[34]. This policy aims to widen the tax net and ensure that medium-sized businesses contribute to national revenue[38].

Tax Type	Parameter	Pre-April 2026 Threshold	Post-April 2026 Threshold
Value Added Tax (VAT)	Annual Registration Threshold	LKR 60 Million per annum[34]	LKR 36 Million per annum[34]
Value Added Tax (VAT)	Periodical Registration Threshold	LKR 15 Million per quarter[34]	LKR 9 Million per quarter[34]
Social Security Contribution Levy (SSCL)	Annual Registration Threshold	LKR 60 Million per annum [An, 34]	LKR 36 Million per annum[38]
Social Security Contribution Levy (SSCL)	Periodical Registration Threshold	LKR 15 Million per quarter[38]	LKR 9 Million per quarter[38]

While the registration thresholds are being lowered to expand the tax base, the government has selectively adjusted exemptions. The VAT exemption on the import of aircraft engines and spare parts has been repealed[21]. Conversely, to support the domestic agricultural sector, new VAT exemptions have been introduced for the supply of locally produced liquid milk and yoghurt[21]. Additionally, the import or supply of chemical naphtha to the Ceylon Electricity Board (CEB) is exempt from VAT [I22]. For non-resident digital service providers utilizing electronic platforms to deliver services to consumers within Sri Lanka, a flat digital services VAT of eighteen percent has been established, effective October 1, 2025[21].

Administrative Modernization and Enforcement Protocols

The Inland Revenue (Amendment) Act No. 11 of 2026 introduces reforms to simplify tax administration, improve compliance, and expand enforcement powers[22]. These reforms rely heavily on digital systems and the automated exchange of information[24].

A major administrative change is the discontinuation of the requirement to file a prospective Statement of Estimated Tax (SET) payable, effective April 1, 2026[22]. Quarterly income tax installments will now be calculated based on the actual tax liability of the immediately preceding year of assessment, eliminating the need for taxpayers to estimate future earnings[24]. For example, the quarterly installments for the Y/A 2026/2027 will be paid based on the finalized liability declared for the Y/A 2025/2026[24].

Installment Period	Due Date of Quarterly Payment	Basis of Computation (Y/A 2026/2027)
First Installment	On or before August 15 of the Year of Assessment[40]	25% of the finalized tax liability of Y/A 2025/2026[24]
Second Installment	On or before November 15 of the Year of Assessment[40]	25% of the finalized tax liability of Y/A 2025/2026[24]
Third Installment	On or before February 15 of the Year of Assessment[40]	25% of the finalized tax liability of Y/A 2025/2026[24]
Fourth Installment	On or before May 15 of the succeeding Year of Assessment[40]	25% of the finalized tax liability of Y/A 2025/2026[24]
Final Payment	On or before September 30 (six months post-Y/A end)[24]	Reconciliation of actual annual liability against paid installments[24]

To increase tax transparency, the Commissioner-General of Inland Revenue (CGIR) has established a web-based electronic data exchange platform[39]. Under Gazette directives, specified government and financial institutions are required to share transactional and ownership data with the IRD on a real-time, monthly, or quarterly basis[39].

- **Registrar-General of Lands**: Required to provide monthly electronic reports on all registered property transfers, including the names, national identity card (NIC) numbers, locations, and transaction values of buyers and sellers[39].
- **Registrar-General of Companies**: Required to provide real-time data on corporate incorporations, director identities, shareholder registries, and stock transfers[39].
- **Licensed Banks and Financial Institutions**: Required to submit quarterly statements of all current accounts, listing bank account numbers, joint holders, balances, and total credit and debit volumes, as well as loan disbursements[39].
- **Government Contracting Entities**: Mandated to provide details on government contracts, including contract values, unique identifiers of the contracting parties, and proof of payment[39].

The Amending Act also updates individual tax filing requirements[24]. Effective April 1, 2025, individuals whose sole source of income is employment income fully subject to APIT are exempt from maintaining an income tax file or submitting tax returns, provided they have no outstanding tax liabilities[24]. This relief also applies to employees whose only other source of income is deposit interest not exceeding LKR 5,000 per annum[24]. Furthermore, senior citizens are permitted to file their annual tax returns either in writing or electronically[24].

To encourage compliance, the Act introduces a "safe harbor" for individual tax returns filed for the Year of Assessment commencing April 1, 2025[25]. An individual's tax return will be accepted as filed, without being subject to an amended or additional assessment, if the following conditions are met:

1. A valid tax return is submitted, and the tax paid is not less than 120% of the previous year's tax liability[25].
2. The full tax due is paid without any request for a refund[25].
3. The taxpayer provides a signed affidavit confirming that there is no fraud, evasion, or willful default[25].

Conversely, the penalties for non-compliance have been increased[25]. If a company fails to register with the CGIR within thirty days of incorporation, or if a taxpayer fails to comply with a written notice to rectify non-compliance within thirty days, they commit an offense[25]. Upon conviction, a court may impose a fine of up to LKR 400,000, imprisonment for a term of up to six months, or both[25]. For general tax defaults, a penalty of ten percent of the tax payable is charged, plus an additional two percent interest per month on the outstanding balance, up to a maximum of fifty percent[42].

Systemic Cross-Intersections with Financial and Microfinance Sectors

The cooperative sector, particularly through its credit societies and the Cooperative Rural Bank (CRB) network, is a major provider of micro-finance and small-to-medium enterprise (SME) credit in rural Sri Lanka[4]. This role intersects with the Microfinance and Credit Regulatory Authority Bill presented in November 2025, which repeals the Microfinance Act No. 6 of 2016[46]. The 2025 Bill establishes a modernized Regulatory Authority to license and supervise moneylenders and microfinance institutions[46].

Crucially, the bill mandates that the Regulatory Authority coordinate with the Central Bank of Sri Lanka and other relevant regulatory bodies that supervise registered cooperative societies, Samurdhi community-based banks, and farmers' organizations[46]. This coordination aims to prevent regulatory arbitrage and establish consistent consumer protection standards across both formal banking institutions and community-led credit cooperatives[46].

At the same time, the banking sector is adjusting to these reforms[27]. SDB Bank, which aims to be the primary financial partner for the cooperative sector, continues to leverage cooperative networks to expand rural credit flow[44]. This institutional relationship is impacted by the doubling of the interest AIT/WHT rate to ten percent under the 2025–2026 direct tax amendments[19]. Cooperative members who save through Cooperative Rural Banks or credit societies are subject to this higher withholding rate, which reduces net returns on deposits[19]. To protect low-income savers who do not have taxable income, cooperatives must assist their members in filing self-declarations to exempt their interest from withholding tax[24]. This operational challenge highlights the need for cooperative networks to improve financial literacy among rural depositors[47].

Socio-Economic Impact and Policy Outlook

The direct and indirect tax reforms of 2025–2026 have major implications for cooperative operations and their role in the rural economy[1]. The reduction of the VAT and SSCL registration thresholds to LKR 36 million per annum will bring many regional Multi-Purpose Cooperative Societies (MPCSs) into the indirect tax net[34]. Historically, smaller cooperative societies operated outside these compliance structures[4].

Under the new threshold, the commercial volume of most active cooperative societies will require formal VAT registration and quarterly filing[7]. While this change increases the administrative and digital compliance burden on societies, it also enables them to claim input tax credits, which can improve their integration into formal retail and agricultural supply chains[7].

The repeal of the SVAT scheme presents a more complex challenge for agricultural cooperatives, such as those in the tea, coconut, and rubber sectors[2]. Under the previous SVAT framework, cooperatives supplying raw agricultural inputs to large-scale exporters were exempt from physical tax payments, helping to preserve liquidity[36]. The transition to a physical payment and refund system creates a cash-flow lag, as cooperatives must pay VAT on their inputs and wait for refunds[21]. For cooperative societies that operate with limited cash reserves, this lag could reduce their capacity to pay smallholder farmers promptly upon delivery[2].

This working capital strain is partially mitigated by the reintroduction of the VAT exemption on locally produced liquid milk and yoghurt[21]. This targeted measure supports the Ministry's provincial production cooperative initiatives by shielding the dairy cooperative supply chain from the cash-flow challenges associated with the SVAT repeal[1]. By keeping locally produced dairy products exempt, the policy helps dairy cooperatives remain competitive against imported milk powder, which is subject to the full eighteen percent VAT rate[21].

In the agricultural sector, particularly in tea production, cooperative models like the Tea Smallholder Development Societies (TSHDS) and grower-owned cooperatives are critical for driving sustainable agricultural practices[2]. Studies indicate that cooperative membership significantly increases the adoption of environmentally friendly practices, such as crop biodiversity, mulching, and rainwater harvesting[2]. This positive influence is most pronounced among low-income, resource-constrained farmers[2].

By providing access to credit, technical training, and collective bargaining power, cooperatives help stabilize crop prices and improve farmer satisfaction[2]. The preservation of direct income tax exemptions for cooperatives under the Third Schedule of the Inland Revenue Act helps these organizations reinvest their surpluses directly into community infrastructure and sustainable agricultural training[2].

Finally, the cooperative model extends into the domestic insurance industry through entities like the Co-operative Insurance Company PLC (CICPLC)[50]. Operating under the Regulation of Insurance Industry Act, cooperative insurers leverage the sector's social capital to provide accessible underwriting and crop insurance to rural populations[50]. The broader 2025–2026 tax reforms—including the 14% concessionary tax rate on approved termination and pension funds and the exemption of life insurance policy payouts from assessable income—help cooperative insurance networks offer attractive retirement and social security products to their members[25]. As the Ministry of Trade, Commerce, Food Security and Cooperative Development moves forward with its 2026 modernization agenda, cooperative societies are increasingly positioned as key vehicles for a resilient, community-led economy[1]. Managing the transition to a more digitized and formalized tax compliance framework will be a major factor in determining the sector's long-term success[7].

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The Legal and Fiscal Framework of Cooperative Societies in Sri Lanka: Regulatory Requirements, Tax Compliance, and Strategic Developments for the Years of Assessment 2025/2026 and 2026/2027

Legal Definition and Structural Distinctions of Cooperative Societies in Sri Lanka

The cooperative sector in Sri Lanka is a cornerstone of the rural economy, possessing a rich institutional legacy that spans over a century[1]. Initiated during the British colonial administration to alleviate rural indebtedness and train smallholders in modern agricultural practices, the first organized cooperative was established in Teldeniya, Kandy, in 1906[3]. This historical trajectory led to the enactment of the Cooperative Societies Act No. 05 of 1972, which remains the primary legislative instrument governing the sector, supplemented by key amendments in 1983 and 1992[4].

Under Sri Lankan jurisprudence, a cooperative society is defined as an autonomous, democratically controlled association of persons united voluntarily to meet their collective economic, social, educational, and cultural needs through a jointly owned enterprise[4]. The regulatory framework mandates a minimum of ten individual members to establish a primary cooperative, with capital raised primarily through member subscriptions[4].

The structural and operational parameters of cooperative societies deviate significantly from those of companies registered under the Companies Act No. 7 of 2007[8]. To provide a comparative framework, the fundamental distinctions between cooperative societies and standard corporate entities are detailed below:

Dimension of Comparison	Cooperative Societies	Limited Liability Companies
Primary Objective	Promotion of the socio-economic and cultural welfare of members in accordance	Maximization of shareholder value and corporate profitability[8].

	with cooperative principles[6].	
Minimum Membership	Minimum of 10 adult individuals for primary societies, or 3 registered societies for secondary unions[4].	Minimum of 2 members for private companies, and 7 members for public limited companies[8].
Voting Power	Strictly democratic: "One member, one vote," completely independent of individual share capital holding[8].	Proportional to the volume of equity shares held by the shareholder[8].
Surplus and Profit Allocation	At least 25% of net profits must be transferred to the statutory Reserve Fund. Capital returns (dividends) are legally capped[8].	Profits are distributed as dividends at the discretion of the Board of Directors without statutory caps[8].
Primary Statutory Laws	Cooperative Societies Act No. 05 of 1972 and relevant Provincial Council Statutes[4].	Companies Act No. 07 of 2007[10].
Basic Income Tax Treatment	Broad corporate income tax exemption on business and investment profits under the Third Schedule[17].	Subject to standard Corporate Income Tax at 30%, with concessionary rates for specific sectors[18].

The legal identity of a cooperative society is established upon formal registration, which confers body corporate status, perpetual succession, a common seal, and the capacity to enter into legally binding contracts, hold property, and initiate or defend judicial proceedings[9].

Statutory Registration Process and Requirements

Following the enactment of the 13th Amendment to the Constitution of Sri Lanka in 1987, the administrative authority over cooperative societies was devolved to the Provincial Councils[7]. Consequently, while the central Department of Cooperative Development maintains national policy oversight, registration is primarily administered by the Provincial Cooperative Development Commissioners and Registrars of Cooperative Societies (RCS)[5].

The registration procedure requires strict compliance with statutory documentation to prove the economic feasibility of the venture and the suitability of its management[13]. Under Section 5 of the Cooperative Societies Act (or parallel provisions in provincial statutes), the application

for a primary society must be signed by at least ten qualified individuals[4]. However, under updated provincial precepts, such as the Southern Provincial Council Cooperative Society Precept, the minimum signature requirement is elevated to twenty residents of the proposed operational area[14].
To secure registration, the proposed society must submit the following documents to the regional Assistant Commissioner:

1. Constitutional and Resolutive Documents

- **Form of Application:** Duly completed printed registration forms in duplicate[21].
- **Proposed By-laws:** Two copies of the proposed by-laws, detailing the internal rules, member duties, and capital structure[13]. The final page must contain the minutes of the general meeting adopting the by-laws, signed by the Chairperson and Secretary[21].
- **Resolution and Minutes:** A certified copy of the minutes of the inaugural general meeting where the resolution to seek registration was passed, accompanied by the complete attendance list[13].

2. Operational and Financial Viability Reports

- **Feasibility Report:** A comprehensive economic analysis confirming that the proposed activities are financially viable and sustainable[13].
- **Provisional Financial Statements:** Up-to-date cash accounts, profit and loss statements, or a provisional balance sheet verifying member capital contributions and deposit balances[13].
- **Development Plan:** A certified copy of the medium-term business development plan, including any technical evaluation reports for intended capital projects[13].

3. Management Committee and Membership Particulars

- **Committee Profile:** Detailed biographical profiles of the provisional board of directors, proving their eligibility, educational status, and administrative capacity[13].
- **Share Subscription Certificate:** A formal declaration by the committee verifying that the founding members have paid their required subscriptions in full, with a certificate showing that at least 10% of the projected investment is backed by member shares or deposits[14].
- **Geographical Mapping:** A road map showing the administrative boundaries and physical jurisdiction of the cooperative[13].

Upon receiving the application, the Registrar is statutorily mandated to review the documents within a specified timeframe (typically 60 days)[22]. If satisfied that the by-laws conform to cooperative principles, the Registrar issues a formal Certificate of Registration, which serves as conclusive evidence of the cooperative's legal incorporation[6].

Typology of Cooperative Societies in Sri Lanka

Sri Lanka’s cooperative landscape comprises over 14,000 active registered societies with an asset base exceeding LKR 418 billion[1]. These entities are organized into several distinct functional categories:

Multipurpose Cooperative Societies (MPCS)

MPCSs represent the most visible tier of the cooperative sector, operating in all 27 cooperative districts[1]. Initially consolidated during the food distribution crises of the mid-20th century, modern MPCSs manage diverse business activities under one corporate umbrella[3]. They run retail consumer networks, manage wholesale distribution channels, distribute agricultural inputs, provide microfinance loans, and act as distribution partners for state agencies during crises[1].

Thrift and Credit Cooperative Societies (TCCS)

TCCSs, widely known through the SANASA network, form the primary microfinance system in rural areas, serving over 8,000 community branches[2]. This tier focuses on mobilizing local savings and extending small-scale credit to households excluded from the formal banking sector[2]. SANASA has expanded to include a licensed commercial bank (SDB bank), insurance agencies, and its own dedicated educational university[3].

Producer Cooperatives

These cooperatives aggregate smallholders to achieve economies of scale and improve bargaining power[4]. They are highly active in the following sectors:

- **Agricultural Cooperatives:** Specialized in tea, coconut, paddy, and spices, these groups provide crop inputs and coordinate transport and processing[1].
- **Dairy Cooperatives:** Active in milk collection and processing, recently consolidated into a unified network to manufacture and distribute pasteurized milk products under the "CoopFresh" brand[2].
- **Fisheries Cooperatives:** Vital for coastal fishers, these groups manage local harbors, arrange cold storage facilities, and facilitate trade linkages with wholesale fish markets[1].

Industrial and Artisan Cooperatives

These cooperatives support cottage industries, including handloom textiles, woodcarving, and traditional pottery[1]. They provide access to raw materials and run shared production facilities and marketing outlets[25].

Care Cooperatives

An emerging sub-sector promoted by the Department of Cooperative Development and the ILO, care cooperatives formalize domestic labor, provide trained home-care services for elderly and disabled citizens, and establish regulated, decent jobs[2].

Jurisdictional Tax Residency and the Scope of Tax Liability

Tax liability under the Inland Revenue Act No. 24 of 2017 (as amended) is determined by the statutory residency status of an entity[27]. Section 68 of the Act establishes dual parameters for assessing corporate tax residency[28]:

- **Resident Entities:** An entity is classified as a resident of Sri Lanka for a year of assessment if it is incorporated or registered under any law in force in Sri Lanka, or if its central control and management are exercised within Sri Lanka at any time during that year of assessment[17]. Because all cooperative societies must be registered under Sri Lankan statutes, they are classified as **resident entities**[4]. Consequently, they are subject to taxation on their global income, including domestic and foreign-sourced profits[18].
- **Non-Resident Entities:** Entities incorporated abroad whose executive management is located outside the country are classified as non-resident[28]. They are subject to a territorial tax model, under which income tax is levied only on gains and profits derived from or arising within the territory of Sri Lanka[18].

If a Sri Lankan resident cooperative generates foreign-sourced income, it must disclose those earnings in its annual filings[18]. However, double taxation on cross-border transactions is mitigated through the application of double tax treaties (DTAAs) and the Mutual Agreement Procedure (MAP)[19]. Under MAP, the Commissioner General of Inland Revenue (serving as the Competent Authority) works with treaty partners to resolve disputes, adjust transfer pricing anomalies, and grant foreign tax credits to prevent dual taxation of resident entities[30].

Detailed Tax Liabilities, Exemptions, and Compliance: Years of Assessment 2025/2026 and 2026/2027

While Sri Lanka's standard Corporate Income Tax (CIT) rate is 30% under the Inland Revenue (Amendment) Act No. 2 of 2025, registered cooperative societies enjoy a favorable fiscal position[18]. To clarify the evolving tax landscape for the Years of Assessment 2025/2026 and 2026/2027, the primary tax obligations and concessions applicable to cooperatives are detailed below:

Corporate Income Tax (CIT) Concessions

Under the Third Schedule (Exempt Amounts) of the Inland Revenue Act No. 24 of 2017 (as amended), cooperative societies registered under the Cooperative Societies Law No. 05 of 1972 or provincial precepts are **exempt from income tax** on their profits and income[17]. This exemption covers all operational revenues, interest income, and investment distributions[32]. However, cooperatives must still file annual Corporate Income Tax Returns through the RAMIS e-filing system[16]. They must declare all exempt business profits in **Cage 10.A.1 onwards**[17]. If cooperative members or sole proprietors receive distributions, they must report those exempt revenues in **Cage 216** (business income) or **Cage 317** (investment income) on their personal tax returns[17].

Evolving Indirect Tax Framework: VAT and SSCL Reforms

While cooperatives are exempt from CIT, they are subject to indirect tax laws, which have undergone significant structural changes for the 2025/2026 and 2026/2027 tax years[17]:

- **Repeal of the Simplified VAT (SVAT) Scheme:** Effective October 1, 2025, the SVAT

scheme has been officially repealed to streamline revenue administration[18]. Cooperative societies engaged in importing agricultural machinery, technology, or trade goods can no longer utilize SVAT vouchers[18]. They must pay standard VAT at importation or point of sale and subsequently apply for a cash refund of excess input tax[18]. To ease this cash flow transition, the state has increased the allocation to the VAT Refund Fund from 6% to 10%[18].
- **Exemptions for Strategic Agricultural Inputs:** To support the agricultural sector, the supply of locally produced liquid milk and yogurt, as well as specific agro-farming activities, remains exempt from VAT[18].
- **Exemptions on Cooperative Financial Services:** Financial services provided by Cooperative Rural Banks (CRBs) and primary credit societies are exempt from the standard VAT on financial services[37].
- **SSCL Liability:** Cooperative societies remain exempt from the Social Security Contribution Levy (SSCL) on basic agricultural produce, but commercial trade transactions that exceed threshold limits are liable for SSCL[36].

To highlight the changes occurring between the 2025/2026 and 2026/2027 fiscal periods, the applicable tax rates, thresholds, and administrative limits are compared in the table below:

Tax / Compliance Category	**Year of Assessment 2025/2026 (Effective April 1, 2025)**	**Year of Assessment 2026/2027 (Effective April 1, 2026)**
Standard Corporate Income Tax (CIT)	30% (Cooperative societies are exempt under the Third Schedule)[17].	30% (Cooperative societies are exempt under the Third Schedule)[17].
VAT Registration Threshold	LKR 60 million per annum (LKR 15 million per taxable period)[36].	**Reduced to LKR 36 million per annum** (LKR 9 million per taxable period)[36].
SSCL Registration Threshold	LKR 60 million per annum (LKR 15 million per quarter)[36].	**Reduced to LKR 36 million per annum** (LKR 9 million per quarter)[36].
Standard VAT Rate	18%[18].	18%[18].
Simplified VAT (SVAT) Scheme	**Repealed effective October 1, 2025**[18].	Fully defunct; cash-refund mechanism with a 10% refund allocation applies[18].
Individual Tax-Free	LKR 1,800,000 per annum	LKR 1,800,000 per annum

Personal Relief	(approx. LKR 150,000 per month)[19].	(approx. LKR 150,000 per month)[19].
Withholding Tax on Professional Fees	5% upfront deduction on monthly service payments exceeding LKR 100,000[19].	5% upfront deduction on monthly service payments exceeding LKR 100,000[19].
SME Enhanced Capital Allowance Threshold	USD 3 million qualifying investment threshold[36].	**Reduced to USD 250,000** to support cooperative and SME expansion[36].

Exemptions from Stamp Duty and Local Authorities

Under Chapter V of the Cooperative Societies Law No. 5 of 1972, cooperative societies are granted a statutory exemption from stamp duty and registration fees on instruments executed by them, on their behalf, or by members in favor of the society relating to its core business[8]. This exemption covers mortgages on crops, land leases, and share transfers[41].

However, cooperatives must comply with local government business regulations[42]. Pradeshiya Sabhas and local municipal councils are authorized to levy a Business License Fee, typically calculated at 1% of the gross turnover of the preceding year, which must be paid during the first three months of each calendar year[42].

Annual Corporate Filing and Auditing Timeline

Registered cooperatives operate under strict statutory reporting deadlines to ensure transparency and retain their tax-exempt status[12]:

- **Auditing:** Accounts must be audited annually by a public auditor or a designated officer from the Department of Cooperative Development[12].
- **Auditor-General's Review:** Cooperatives operating with state funds or under provincial oversight must submit their draft annual financial statements to the Auditor-General within 60 days of the end of the financial year[43].
- **Annual Return Filing:** The cooperative's Board must file the Annual Return (Form 15/15A or equivalent cooperative returns) with the Registrar within 30 working days of hosting the Annual General Meeting (AGM), or within 18 months of incorporation for new societies[16].
- **Corporate Tax Return:** The final Corporate Income Tax Return (e-Return) must be submitted to the IRD on or before **November 30** (8 months after the fiscal year-end of March 31)[16]. Failure to file by the deadline results in immediate penalties ranging from LKR 10,000 to LKR 100,000, along with a 10% penalty on any outstanding tax liabilities[16].

Taxpayer Identification Number (TIN) Requirements and e-Services Guidelines for Cooperatives

The Inland Revenue Department of Sri Lanka has enforced a universal Taxpayer Identification

Number (TIN) registration mandate for the 2025/2026 year of assessment[39]. Under Section 102 of the Inland Revenue Act, registering for a TIN is a mandatory obligation for all resident individuals aged 18 and above, as well as all registered companies, partnerships, trusts, and **cooperative societies**, regardless of their income levels or tax-exempt status[39].
If a cooperative society fails to register for a TIN when required, it faces a statutory penalty of up to **LKR 50,000**[39]. The IRD also uses automated data integration from banks, land registries, and customs databases to register non-compliant entities unilaterally[39].
To facilitate compliant registration and profile updates, the mandatory documentation and procedural requirements for cooperative societies are detailed in the table below:

Compliance Phase	Required Supporting Documents	Procedural Method & Forms
New TIN Registration	1. Official request letter on the cooperative's letterhead, signed by the Chairperson or Secretary[47]. 2. Clear, double-sided copies of the National Identity Card (NIC) of all active directors/officers[47]. 3. Original and certified copy of the Certificate of Registration issued by the Cooperative Development Department[48]. 4. Certified copy of the minutes of the inaugural general meeting or the most recent AGM[47]. 5. Verification of address (utility bill or bank statement issued within the last 3 months) if different from the registration certificate[39].	**Online via IRD Portal:** Navigate to 'e-Services', click 'Taxpayer Registration', select 'Co-op' or 'Other Entities'[47]. **In-Person:** Submit the printed Application Form **TPR_002_E** to the Primary Registration Unit at the IRD Head Office in Colombo or a regional branch[39].

Profile Updates & Changes	1. Official request letter explaining the nature of the update[48]. 2. Valid NIC/passport of the designated signatory, alongside their official letter of appointment[48]. 3. Copy of the amended or newly issued Cooperative Registration Certificate (if changing the name or jurisdiction)[48]. 4. Minutes of the AGM or Board meeting confirming the appointment of new directors/officers[21]. 5. Registered deed, lease agreement, or current utility bill (if updating the physical address)[21].	**Online via IRD Portal:** Access the account using the cooperative's PIN and modify details under 'Taxpayer Profile Information'[48]. **In-Person:** Submit the physical **Form TPR_011_E** (Change Taxpayer Registration Details for NGO/Charity/Co-op) to the Customer Information Update Unit[48].

For automated tax return transactions, cooperative societies must also acquire a Personal Identification Number (PIN) to access the online e-services portal, and obtain Staff IDs (SSID) to delegate e-filing authority to internal accountants or tax agents[48].

Future Outlook: Re-stabilization, Policy Shifts, and Modernization (2025–2026)

The cooperative sector in Sri Lanka is navigating a major policy transition[25]. Driven by post-crisis stabilization and food security goals, consecutive administrations have worked with the International Labour Organization (ILO) to draft a unified **National Cooperative Policy (NCP)**[25]. The NCP, which has received unanimous endorsement from all nine Provincial Councils, represents a major modernization of the 111-year-old sector[23].

The primary policy shift under the NCP redefines the state's role as a supervisor and facilitator rather than an active commercial actor, encouraging cooperatives to function as self-sufficient, competitive economic enterprises[23]. This reform agenda is supported by targeted state initiatives:

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+--------------------------------------------------------------------------+
|                National Cooperative Policy Framework               |
+--------------------------------------------------------------------------+
|                         |                          |
v                         v                          v
+-----------------------+  +-----------------------+  +---------------------+
|      Trading       | |    Manufacturing     | |      Finance      |
| - Farm-to-market     | | - High value-addition | | - Integration with |
|   linkages          | |   agro-processing    |   formal banking   |
| - Digital cooperative | | - Modernization of   | - Oversight of    |
|   marketplaces       |   production facilities |   credit networks |
| - Direct retail and  | - Cluster branding      | - Centralized     |
|   distribution       |   ("CoopFresh")        |   regulated system |
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1. Farm-to-Market Integration

Under this pillar, the Ministry has launched a three-year program to establish 1,000 new agricultural and producer cooperatives across all nine provinces[25]. These cooperatives focus on optimizing high-demand supply chains, such as maize and turmeric[26]. By aggregating smallholder yields, establishing cold storage networks, and signing forward contracts with buyers like Lanka Sathosa and National Sathosa, these cooperatives bypass unnecessary middlemen[25]. This approach improves earnings for rural producers while stabilizing consumer retail prices[25].

2. Value Addition and Brand Consolidation

Rather than exporting raw produce at low margins, cooperatives are encouraged to invest in local processing and packaging infrastructure[25]. A successful pilot under this initiative merged regional dairy cooperatives into a unified processing network[25]. Backed by Indian bilateral assistance for technical training and factory modernization, this network launched a standardized line of pasteurized dairy products under the "CoopFresh" brand[25].

3. Financial Oversight and Regulational Alignment

To address vulnerabilities in rural finance, the government is working with the central banking sector to develop a cohesive cooperative banking framework[26]. The proposed reforms aim to link primary credit cooperatives with formal financial institutions through a unified digital platform, improving regulatory oversight while safeguarding grassroots access to micro-credit[26].

These structural reforms, supported by the mandatory e-filing of tax returns and universal TIN compliance, ensure that Sri Lankan cooperatives are well-positioned for the 2025–2027 fiscal periods[16]. By combining traditional democratic principles with modern digital administration, cooperative societies are evolving to drive sustainable, community-based development across the country[4].

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Comparative Analysis of Cooperative Taxation in Sri Lanka: Taxable Income and Regulatory Compliance for the Year of Assessment 2025/2026

Legal and Structural Context of the Sri Lankan Cooperative Sector

The cooperative sector in Sri Lanka represents a fundamental pillar of localized economic mobilization, playing a critical role in agriculture, fisheries, retail, and microfinance[1]. Operating as community-based enterprises, cooperative societies are key mechanisms for poverty reduction, employment generation, and financial inclusion, particularly in rural and semi-urban areas[1]. The scale of the movement is structurally significant: as of the current fiscal period, there are approximately 9,289 registered cooperative societies across the island, representing over 10.15 million individual members—roughly 46% of the national population[1]. These institutions collectively hold over USD 2 billion in assets and have mobilized more than USD 1 billion in national savings, positioning them as systemic actors within the domestic financial landscape[1].

From a regulatory and supervisory standpoint, the apex representation of the movement is handled by the National Cooperative Council of Sri Lanka, established in 1972, alongside the Department of Cooperative Development and the National Institute of Cooperative Development[1]. The legal framework governing these entities is anchored in the Cooperative Societies Law, No. 5 of 1972, as amended, which dictates the registration, capital structure, and operational parameters of cooperative societies[2]. Under this law, registered societies must transfer at least 25% of their net annual profits to a statutory reserve fund and contribute a prescribed portion to the Cooperative Fund, with the remaining balance distributable as dividends to members subject to statutory profit caps[2].

The primary taxation framework of these entities for the Year of Assessment 2025/2026—covering the period from April 1, 2025, to March 31, 2026[4]—is governed by the Inland Revenue Act, No. 24 of 2017[6]. Under this statutory regime, a registered cooperative society's direct tax exposure is determined by its registration status[3]. Entities registered under the Cooperative Societies Law, No. 5 of 1972, or under respective provincial council cooperative statutes, are granted distinct statutory advantages under the direct tax code to support rural capital accumulation[3]. Conversely, unregistered entities or those registered under obsolete colonial-era ordinances are excluded from these concessionary treatments and remain subject to standard corporate tax rates[3].

3. Taxable Income and its Structural Components

Under the Inland Revenue Act, No. 24 of 2017, the computation of taxable income for any resident person or entity follows a structured statutory sequence[6]. Section 3 of the Act defines the taxable income of a person for a year of assessment as the sum of the person's assessable income from each business, investment, employment, or other source, less any allowable deductions, qualifying payments, and personal reliefs[6].

For a standard corporate taxpayer, this relationship is mathematically defined by the following expression:

$$Taxable\ Income = \ Assessable\ Income - \ Qualifying\ Payments - \ Reliefs$$

Where assessable income is the aggregate of net gains and profits from all recognized sources under Section 4, excluding tax-exempt amounts[6].

For registered cooperative societies, the primary statutory mechanism for direct tax relief is established under the Third Schedule of the Inland Revenue Act, No. 24 of 2017[8]. Specifically, paragraph (v) of the Third Schedule categorizes any registered society within the meaning of the Cooperative Societies Law, No. 5 of 1972, as an exempt entity[8]. This statutory designation operates as a blanket exemption from income tax on all categories of profits and income derived by the registered society[3]. Consequently, while standard corporate entities calculate taxable income using the progressive corporate tax rate of 30%[10], registered cooperative societies maintain a taxable income baseline of zero, as their total statutory income from all sources is excluded from the tax base[7].

The comparative tax rates and treatments for corporate and cooperative entities during the Year of Assessment 2025/2026 are structured as follows:

Tax Attribute / Category	Standard Corporate Entity (Y/A 2025/2026)	Registered Cooperative Society (Y/A 2025/2026)	Legal / Statutory Authority
Standard Corporate Tax Rate	30%[10]	Exempt (0%)[8]	First Schedule vs. Third Schedule, IRA 2017[6]
Concessionary/Sector Tax Rate	15% (Service Exports / Foreign Income)[10]	Exempt (0%)[3]	Section 13(ddd) vs. Third Schedule, IRA 2017[3]

Elevated Rate (Sin Taxes)	45% (Betting, Gaming, Liquor, Tobacco)[10]	N/A (Not an authorized cooperative activity)	First Schedule, Paragraph 2, IRA 2017[11]
Withholding Tax on Interest	10% Advance Income Tax at source[10]	Exempt; no withholding tax applied[3]	Section 84 vs. Section 84(2), IRA 2017[14]
Withholding Tax on Dividends	15% or exempt if previously taxed[16]	Exempt (0%)[3]	Section 84 vs. Third Schedule, IRA 2017[9]
Economic Service Charge (ESC)	Abolished (previously 0.5%)[18]	Exempt[18]	Section 13, ESC Act, No. 13 of 2006[21]

Business Income

Under Section 3(a) of the Inland Revenue Act, business income includes all gains and profits derived from carrying on a trade, business, profession, or vocation[23]. For standard taxable companies, business profits are computed on an accrual basis[4]. All outgoings and expenses incurred during the year of assessment in the production of that income are deductible, provided they are not of a capital nature[4].

The standard corporate income tax rate applied to business income in the Year of Assessment 2025/2026 is 30%[10]. Specific elevated rates apply to high-yield or heavily regulated sectors, with corporate income tax rising to 45% for companies engaged in gaming, betting, or the manufacture, sale, or import of liquor and tobacco products[10]. Following recent updates effective April 1, 2025, foreign-sourced business income and foreign service income (which were previously exempt) are now subject to tax in Sri Lanka, though a concessionary corporate tax rate of 15% is granted to service exports such as Business Process Outsourcing (BPO) and Information Technology (IT) if remitted through the local banking system[10].

For a registered cooperative society, all forms of business income are treated as exempt amounts under the Third Schedule[8]. This tax exemption applies to all profits generated from traditional cooperative business activities, including:

- Agricultural production, milling, and crop processing conducted by farmer cooperatives[1].
- Dairy processing and marketing of liquid milk or yoghurt by localized livestock societies[1].
- Microfinance, small-scale credit provisioning, and retail banking operated by Cooperative Rural Banks and Thrift and Credit Cooperative Societies[1].
- Wholesale and consumer retail trade managed through cooperative multi-purpose outlets[1].

Because these activities are categorized as exempt, cooperative business profits are excluded from the statutory calculation of statutory income, shielding cooperative capital reserves from direct taxation[3].

Investment Income

Investment income, categorized under Section 3(c) and governed by Section 7 of the Inland Revenue Act, No. 24 of 2017, comprises the gains and profits of a person from owning capital assets[6]. For taxable corporate entities, investment income is computed using either cash or accrual accounting methods, with standard corporate tax rates applied to net returns after deducting relevant investment-related expenses[4]. For registered cooperative societies, investment income is exempt from direct income tax under the Third Schedule of the Act[8]. This category is divided into four distinct components:

Interest Income

Interest income includes returns derived from treasury instruments, corporate debt securities, bank deposits, and loans extended by cooperative financial institutions[13]. For a standard corporate taxpayer, interest income is subject to 10% Advance Income Tax (AIT) or Withholding Tax (WHT) deducted at source by the paying financial institution[10].

For registered cooperative societies, interest income is exempt from income tax[3]. Under the guidelines issued by the Inland Revenue Department, banks and financial institutions are prohibited from deducting withholding tax or advance income tax on interest payments made to registered cooperative societies within the meaning of the Cooperative Societies Law, No. 5 of 1972[14].

However, administrative challenges exist within this framework[27]. Financial statements and audit reports from the Auditor General's Department reveal real-world friction[27]. For instance, in the audit of the Cooperative Development Fund, a statutory fund established under the Finance Act, No. 11 of 1963, to support the cooperative movement, commercial banks mistakenly deducted withholding tax amounting to Rs. 3,621,548 on interest earned from fixed deposits in the year 2023[27]. Because the fund was unable to obtain immediate confirmation from the Inland Revenue Department regarding its tax-exempt status, these deducted taxes had to be recognized as receivables under current assets, illustrating the gap between statutory tax exemptions and financial sector compliance[27].

Dividend Income

Dividend income represents distributions of profit made by a resident company to its shareholders[7]. For typical corporate investors in Sri Lanka during the 2025/2026 period, dividends are subject to a final withholding tax of 15% at source[16]. If a resident company receives a dividend that has already been subject to withholding tax and distributes it to its shareholders within three months, the distribution is exempt from further taxation in the hands of the receiving shareholder[7].

For a registered cooperative society, any dividend received from its investments in resident companies is exempt from tax under the Third Schedule[8]. This includes dividends distributed by cooperative-backed financial institutions, such as the Sanasa Development Bank (SDB Bank)[1]. Under the implementation guidelines of the Inland Revenue Act, paying companies are not required to deduct withholding tax on dividends paid to registered cooperative societies[17].

Rental Income

Rental income represents the gross rent receivable from letting real estate, land, commercial buildings, or residential properties[7]. For a standard corporate or individual taxpayer, taxable rental income is calculated by taking the gross rent receivable and deducting municipal rates and a statutory allowance of 25% of the balance for repairs and maintenance[7]. No other deductions are permitted[7]. This relationship is mathematically expressed by:

$$Net\ Rent = Gross\ Rent - Rates - 0.25 \times (Gross\ Rent - Rates)$$

If the net rent calculated using this formula is less than the Net Annual Value (NAV) of the property as assessed by local authorities, the taxable income is adjusted to reflect the NAV[7]. For registered cooperative societies, this calculation is rendered mathematically moot[8]. While cooperatives frequently own and lease commercial buildings, warehouses, and community halls to generate revenue[1], the entire net rental yield is classified as an exempt amount under the Third Schedule, preventing any rental-related tax liability from accruing to the society[8].

Royalty Income

Royalty income represents payments received as consideration for the use of, or the right to use, intellectual property, patents, trademarks, or specialized industrial designs[15]. Standard corporate taxpayers must include royalty receipts in their taxable income, where they are assessed at corporate rates, and paying entities are required to deduct withholding tax at source as specified in the First Schedule[15]. For registered cooperative societies, royalty receipts are exempt under the general blanket of the Third Schedule, ensuring that no tax is withheld or assessed on these payments[8].

Capital Gains

Under the Inland Revenue Act, No. 24 of 2017, capital gains are treated as gains from the realization of investment assets[4]. The gain is calculated as the consideration received for the asset minus the cost of the asset at the time of realization[5]. Standard corporate taxpayers, partnerships, and trusts are subject to a flat capital gains tax of 10% on these realizations[4]. Taxpayers must report and settle their capital gains tax liabilities within one calendar month of the asset's realization[4].

For registered cooperative societies, capital gains are exempt from this 10% levy[8]. Any profit derived from the sale of cooperative land, buildings, machinery, or investment portfolios is treated as an exempt amount under the Third Schedule[8]. However, this exemption applies strictly to registered societies[3]; unregistered associations or funds that fail to prove their registration under the Cooperative Societies Law, No. 5 of 1972, remain fully liable for the 10% capital gains tax and must comply with the one-month reporting and settlement timeline[3].

Other Income

Other income is a residual category capturing any gains or profits from any source whatsoever that are not casual or non-recurring, and are not classified under business, investment, or employment income[6]. This category is designed to capture unclassified revenue streams and prevent tax evasion through structural recharacterization[34]. Standard taxpayers must declare these gains, which are assessed at corporate or progressive individual rates[11].
For registered cooperative societies, other income is exempt from income tax, provided the society can demonstrate that the gains are legally owned and managed in accordance with cooperative principles[2].

Total Assessable Income

Total Assessable Income represents the mathematical summation of a taxpayer's statutory income from all taxable sources for a year of assessment, prior to the deduction of allowable losses, qualifying payments, and personal reliefs[7]. For a standard corporate taxpayer, the equation is:

$$Total\ Assessable\ Income = \sum(Statutory\ Business\ Income) + \sum(Statutory\ Investme$$

Because registered cooperative societies are classified as exempt entities under the Third Schedule, their statutory income from each of these categories is excluded from the tax base[7]. Consequently, for a registered cooperative society:

$$Total\ Statutory\ Income = LKR\ 0.00$$

$$Total\ Assessable\ Income = LKR\ 0.00$$

$$Total\ Taxable\ Income = LKR\ 0.00$$

This mathematical reconciliation ensures that registered cooperative societies do not accumulate direct corporate income tax liabilities during the 2025/2026 fiscal period[7].

Indirect Taxation, Regulatory Thresholds, and Emerging Compliance Risks (2025-2026)

While registered cooperative societies are shielded from direct income taxes on their business and investment activities, they are fully integrated into Sri Lanka's indirect taxation regime[37]. Historically, cooperative societies enjoyed exemptions from Value Added Tax (VAT) and the Nation Building Tax (NBT)[37]. However, fiscal reforms removed these blanket exemptions, making the supply of taxable goods and services by cooperative societies liable to standard consumption taxes[37].

```
            [Upstream Suppliers]
                  |
                  ▼ (Pays 18% VAT on inputs)
        [Cooperative Society Operations]
         (Direct Income Tax: LKR 0.00)
                  |
                  ▼ (Upfront 18% VAT on outputs)
            [Cooperative Retail]
                  |
                  ▼ (Claims VAT input tax credit)
            [National Treasury]
```

For the fiscal year 2025, the standard VAT rate in Sri Lanka is maintained at 18%[10]. This rate applies to the commercial and retail operations of cooperatives, including cooperative retail outlets, wholesale distribution networks, and industrial manufacturing arms[1]. Key policy changes enacted in late 2025 directly impact cooperative supply chains[10]:

- **Repeal of the Simplified Value Added Tax (SVAT) Scheme**: Effective October 1, 2025, the SVAT scheme was repealed[10]. Under the revised framework, cooperative businesses must pay VAT on both imports and local transactions upfront, subsequently applying for refunds of excess input tax[10]. To support cash flow under this refund-based system, the government increased the statutory allocation to the VAT Refund Fund from 6% to 10%[10].
- **Reduction of Registration Thresholds**: To broaden the tax base and align the system with international practices, the government has proposed a reduction in VAT and Social Security Contribution Levy (SSCL) registration thresholds, effective April 1, 2026[40]:

Tax Type	Historical Threshold (LKR per Annum)	Proposed Threshold (Effective April 1, 2026)	Proposed Threshold per Taxable Period / Quarter
Value Added Tax (VAT)	LKR 60 Million[40]	LKR 36 Million[40]	LKR 9 Million per quarter[40]

Social Security Contribution Levy (SSCL)	LKR 60 Million[40]	LKR 36 Million[40]	LKR 9 Million per quarter[40]

This reduction in the registration threshold will draw a large number of medium-sized cooperative societies into the formal indirect tax net, requiring robust accounting systems to manage monthly and quarterly filings[40].

- **Specific Commodity Exemptions**: Despite the broad application of VAT, certain essential consumer products typically distributed through cooperative networks have been granted targeted relief[10]. VAT exemptions have been reintroduced on the supply of locally produced liquid milk and yoghurt to protect local dairy cooperatives and consumers[10].
- **Local and Municipal Level Taxes**: Beyond national indirect taxes, cooperative properties and operations are subject to local government rates and licensing fees[41]. Property assessments by municipal councils, such as Kandy and Galle, impose rates of 14% to 21% of annual property values on commercial and non-residential cooperative premises[42]. Local business licensing fees are also levied on cooperative retail, storage, and processing activities[41].

In addition to indirect taxes, cooperative societies face several emerging administrative and compliance requirements[27]:

1. **Mandatory Taxpayer Identification Number (TIN)**: The government has made TIN registration mandatory for all corporate and non-corporate entities[46]. Cooperative societies must register for a TIN within thirty days of incorporation[46]. A valid TIN is required to perform essential operations, including opening bank accounts, registering vehicles, acquiring property, and obtaining licenses[46].
2. **Traceable Cash Transaction Limits**: The government has introduced strict limits on cash transactions to bring transparency to the economy[46]. Business payments exceeding LKR 500,000 in a single day must be made through traceable methods, such as direct bank deposits, checks, or online transfers[46]. If a cooperative fails to use traceable methods, it cannot count the payment toward the cost of a business asset or claim it as a business expense to lower its local tax liabilities[46].
3. **Audit and Budget Estimates**: Cooperatives are required to submit their annual statement of accounts and statistics to the Registrar of Cooperative Societies within three months of the close of the financial year[2]. Audit reports from the Auditor General's Department have highlighted delays in the submission of accounts and budget estimates by several societies, indicating the need for improved financial governance within the sector[27].

Synthesis and Strategic Recommendations for Cooperative Financial Governance

The taxation of cooperative societies in Sri Lanka for the Year of Assessment 2025/2026 demonstrates a balanced approach that combines direct tax exemptions with integration into the national indirect tax and compliance frameworks[8]. The direct tax exemption granted under the Third Schedule of the Inland Revenue Act, No. 24 of 2017, remains a powerful policy tool to support community-based enterprises, promote financial inclusion, and stimulate agricultural and rural production[1].

However, the cooperative sector's tax-exempt status is increasingly challenged by indirect tax reforms and administrative requirements[10]. The repeal of the SVAT scheme and the planned reduction of the VAT and SSCL registration thresholds to LKR 36 Million in April 2026 will increase compliance costs and cash-flow pressures for many cooperatives[10]. Furthermore, the mandatory implementation of TINs, strict limits on cash transactions, and rigorous audit requirements require a rapid upgrade of the financial management systems used by cooperative societies[2].

To secure their long-term viability and preserve their statutory benefits, cooperative societies must prioritize administrative formalization[2]. This effort involves establishing robust accounting practices, transitioning to traceable payment methods, and maintaining proactive engagement with the Inland Revenue Department to prevent errors in tax deductions[27]. By balancing cooperative values with modern compliance standards, the cooperative movement can continue to serve as a key partner in Sri Lanka's macroeconomic recovery and sustainable development[1].

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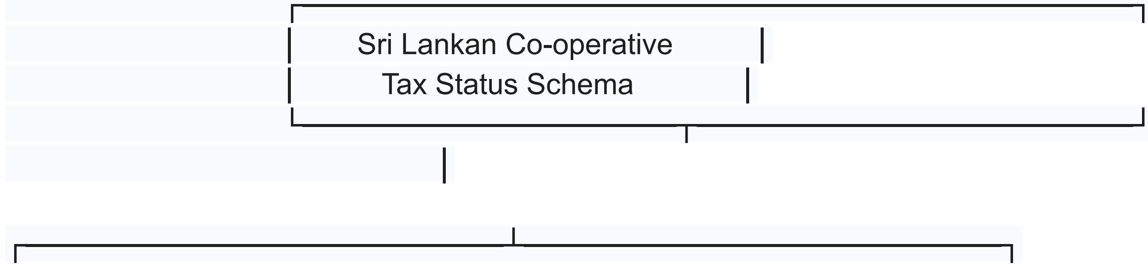
Cooperative Taxation and the Deductibility Framework in Sri Lanka: Analysis of the 2025/2026 Tax Year

The fiscal landscape of Sri Lanka has undergone rapid transformation following IMF-supported structural adjustment programs designed to restore macroeconomic stability and enhance direct tax mobilization[1]. Under the Inland Revenue Act, No. 24 of 2017 (IRA), as progressively modified by successive amendments—most recently the Inland Revenue (Amendment) Act, No. 02 of 2025 and the Inland Revenue (Amendment) Act, No. 11 of 2026—the rules governing corporate taxation and deductible expenses have been significantly tightened[4].
This analysis examines the dual tax status of cooperative societies in Sri Lanka, detailing the strict boundary between fully exempt cooperative operations and those that fall within the standard corporate tax net[7]. For taxable cooperatives or those managing subsidiary operations, the deductibility of operating expenses, employee salaries, depreciation, donations, and interest expenses must align precisely with the codified rules of the IRA[8].

Jurisdictional Status of Cooperative Societies under the Sri Lankan Tax Regime

The tax status of cooperative societies in Sri Lanka is characterized by a statutory split. Under the Third Schedule of the Inland Revenue Act, No. 24 of 2017, specific categories of cooperative societies are explicitly recognized as exempt entities[11]. Specifically, paragraph (a)(v) of the Third Schedule exempts "any registered society within the meaning of the Co-operative Societies Law, No. 5 of 1972"[11]. This exemption extends to provincial-level cooperative societies registered under parallel statutes enacted by Provincial Councils under the devolution of powers granted by the 13th Amendment to the Constitution of Sri Lanka[7].



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   │  Law No. 5 of 1972 Registered   │    │   Pre-1972/Unregistered Entities  │
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   │ • Income Tax: Exempt (3rd Sch.)  │    │ • Taxable Entity                 │
   │ • Interest & Dividends: Exempt  │    │ • Corporate Income Tax Rate: 30%  │
   │ • ESC: Exempt                │    │ • Subject to Thin Cap Limits (S.18) │
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However, a critical legislative gap exists regarding older cooperative societies[7]. The Committee for Interpretation of Tax Laws at the Department of Inland Revenue has ruled that cooperative societies registered under the older Co-operative Societies Ordinance No. 16 of 1936 (as amended by Act No. 21 of 1949 and Act No. 17 of 1952) do not qualify for the income tax exemption unless they have been formally reconstituted or deemed to be registered under Co-operative Societies Law No. 5 of 1972 or a corresponding Provincial Council statute[7]. Consequently, these historical cooperative societies remain fully liable to corporate income tax on their assessable income at the standard corporate rate of 30%[4].

Additionally, even when a cooperative society is exempt from income tax on its primary surplus, it must still navigate several other direct and indirect tax obligations:

- **Withholding Tax Obligations:** Cooperative societies are recognized as withholding agents[16]. They are required to deduct and remit Advance Income Tax (AIT) or Withholding Tax (WHT) on specified payments, such as rent, service fees, or interest paid to third parties, which has been revised to 10% effective April 1, 2025[3].
- **Economic Service Charge (ESC):** Registered cooperatives within the meaning of Law No. 5 of 1972 are excluded from the definition of a "person" liable to pay ESC, shielding them from this turnover-based levy[20]. Unregistered or historical cooperatives, however, do not enjoy this exclusion[7].
- **Commercial and Auxiliary Activities:** Many cooperatives operate commercial wings, such as Cooperative Rural Banks, or maintain joint ventures with private sector entities[13]. Where business transactions are conducted through non-exempt subsidiaries, associates, or non-cooperative legal structures, the corporate income tax framework applies in its entirety[9].

The Core Deductibility Framework under the Inland

Revenue Act

For taxable cooperative societies and associated corporate entities, the calculation of assessable income from business or investment is governed by Division IV of the IRA[8].

The General and Main Deduction Rules (Sections 10 and 11)

Section 11(1) sets out the positive criteria for deductibility, stipulating that a person may deduct expenses to the extent they are incurred during the year in the production of income from a business or investment[8]. This "production of income" test requires a nexus between the expense and the profit-generating activity[8].

Section 10(1) establishes the negative criteria, listing explicit disallowances[8]. These disallowances include domestic or personal expenses, income taxes payable under the Act, and fines or penalties paid to any government for breach of written law[8].

The Non-Withholding Tax Penalty Rule

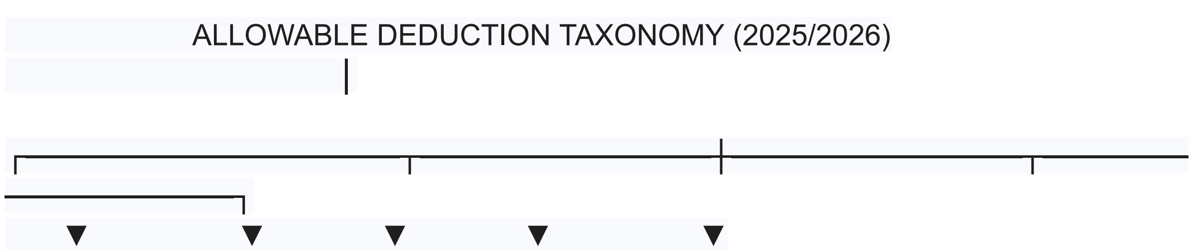
Under Section 10(2) of the IRA, if a person is required to withhold tax from a payment (such as rent, royalties, or technical service fees) but fails to do so, no deduction is permitted for that expense[8]. The deduction is deferred and only allowed once the tax has been withheld and paid to the Commissioner-General of Inland Revenue (CGIR)[8].

The Cash Transaction Threshold for Deductibility

Effective for the 2025/2026 Y/A, Sri Lanka has implemented strict rules on cash transactions to bring transparency to the economy[27]. Under Section 10 as amended, any single payment or series of connected payments exceeding LKR 500,000 in a single day must be made through traceable banking methods[27]. Acceptable methods include "Account Payee Only" checks, bank drafts, direct deposits, credit/debit cards, or online transfers[27].

If an entity violates this rule and makes a payment exceeding LKR 500,000 in physical cash, the entire payment is disallowed as a business deduction, and it cannot be capitalized into the cost of any business asset[27].

Detailed Analysis of Specific Allowable Deductions



Operating Expenses	Salaries	Depreciation	Donations	Interest Expense
(Sec. 10, 11, 14, 15)	(APIT & EPF)	(Sec. 16, ECA)	(Fifth Sch. limit)	(Sec. 12 & 18 Cap)

1. Operating Expenses

Operating expenses encompass the day-to-day administrative and commercial costs of running a business, subject to several statutory limitations[8]:

Repairs and Improvements (Section 14)

Expenses incurred for the repair or improvement of depreciable assets are deductible regardless of whether they are of a revenue or capital nature[8]. However, Section 14 imposes strict caps based on the asset's Written Down Value (WDV) at the end of the previous year[8]:

- **Class 4 Assets (Buildings, structures, and permanent works):** Deductions are capped at 5% of the asset's WDV at the end of the prior year[8].
- **All Other Classes (Machinery, vehicles, IT equipment):** Deductions are capped at 20% of the asset's WDV at the end of the prior year[8].

Any excess expenditure that exceeds these 5% or 20% limits is not lost; instead, it must be capitalized into the depreciation basis of the asset and recovered through subsequent capital allowances[24]. If the WDV of a depreciable asset is zero, the deduction for improvements is allowed as an equal annual deduction apportioned over 12 years for Class 4 assets, and over 3 years for other classes[28].

Research & Development and Agricultural Start-up Expenses (Section 15)

Research and development (R&D) expenses and agricultural start-up costs incurred in the production of income are fully deductible[10]. For agricultural cooperatives, this includes expenses incurred in soil preparation, clearing land, or initial planting of crops[24]. These deductions are allowed in full during the year they are incurred, even if they are of a capital nature[24].

Marketing and Communication Expenses (Section 15A)

Introduced to support commercial expansion, Section 15A allows for the deduction of marketing and communication expenses, such as market research, media advertising, or campaign development carried out in Sri Lanka[29]. To incentivize local value addition, the law permits an *additional deduction* equal to 100% of the actual marketing and communication expenses incurred, effectively granting a 200% deduction[30]. This incentive is subject to several strict conditions[30]:

- The payments must be made to non-associated persons[30].
- The expenditure must relate to goods or services with at least 65% local value addition, calculated according to guidelines issued by the CGIR[30].
- The total additional deduction is capped at LKR 500,000,000 in any year of assessment[30].

2. Employee Salaries and Remuneration

Staff costs represent a major expenditure category for cooperatives[13]. These costs are deductible subject to compliance with withholding and social security frameworks:

Base Emoluments and APIT Compliance

All wages, salaries, bonuses, commissions, leave pay, overtime, and allowances are deductible business expenses, provided they are incurred in the production of income[33]. Under Section 10(1)(b) of the Act, a deduction for salary payments is disallowed if the employer fails to withhold and remit Advance Personal Income Tax (APIT) to the Inland Revenue Department[8]. Under the 2025/2026 framework, the tax-free personal income threshold is LKR 1,800,000 per annum (LKR 150,000 per month)[4]. Any monthly salary payment exceeding LKR 150,000 is subject to progressive APIT deductions using Tax Table No. 01[36].

Statutory Funds (EPF & ETF) and Retirement Benefits

Under Sri Lankan labor laws, employers must contribute to the Employees' Provident Fund (EPF) at a rate of 12% and the Employees' Trust Fund (ETF) at a rate of 3% of the employee's monthly basic salary[9]. Under Section 10(1)(b)(v) of the IRA, these contributions are fully deductible for the employer, provided they are made to funds approved by the Commissioner-General[8]. Conversely, provisions for gratuity payments are generally disallowed; a deduction is only permitted when the retirement gratuity is actually paid out in cash to the retiring employee or when the employer makes a contribution to an approved, regulated gratuity fund[8].

3. Depreciation (Capital Allowances)

Accounting depreciation is disallowed for tax purposes in Sri Lanka[39]. Instead, taxable entities are allowed to claim Capital Allowances on depreciable assets owned and used in the business at the end of the year[24].

Standard Capital Allowances

The Fourth Schedule of the IRA establishes five standard asset classes, which are depreciated on a straight-line basis over specified periods[24]:

Class	Depreciable Asset Category	Straight-Line Rate per Annum	Depreciation Period (Years)
Class 1	Computers, data-handling equipment, and peripheral devices[24]	20%	5
Class 2	Buses, minibuses, goods vehicles, construction and earthmoving equipment,	20%	5

	manufacturing plant and machinery[24]		
Class 3	Railroad cars, locomotives, water vessels, aircraft, specialized public utility plant, office furniture, fixtures, and equipment[24]	20%	5
Class 4	Buildings, structures, and permanent works[24]	5%	20
Class 5	Intangible assets (excluding goodwill); calculated based on actual useful life, or 5% if life is indefinite[24]	Variable / 5%	Life / 20
Class 6	High-technology milking machines used in local liquid milk manufacturing[41]	20%	5

Enhanced Capital Allowances (ECA)

To encourage capital formation, the Inland Revenue (Amendment) Act, No. 11 of 2026 introduced an Enhanced Capital Allowance framework effective from April 1, 2026[6]. Under this framework, investments in depreciable assets (excluding intangible assets) ranging from USD 250,000 to USD 3 million anywhere in Sri Lanka qualify for an enhanced capital allowance of 100%[6]. This allowance is granted in full during the year of acquisition[24], and any resulting unrelieved business losses can be carried forward[30].

Balancing Allowances and Assessable Charges

Upon the disposal of a depreciable asset, a balancing adjustment is computed[24]:

- **Assessable Charge (Taxable Gain):** If the consideration received from the sale exceeds the Written Down Value (WDV) of the asset, the excess is treated as business income[24].
- **Balancing Allowance (Deduction):** If the WDV exceeds the consideration received, the difference is allowed as an immediate business deduction[24].

4. Donations and Qualifying Payments

Taxable entities can deduct donations made to approved charities and government institutions as "Qualifying Payments" under Section 52 and the Fifth Schedule of the IRA[18]. The law distinguishes between two types of donations[43]:

- **Donations to Government Bodies:** Donations made in money or otherwise to the Government of Sri Lanka, local authorities, the President's Fund, or public universities are fully deductible without any limitation[6]. Under the 2026 Amending Act, the transfer of a physical asset as a donation to the Government or a public university is treated as a realization at its net cost, avoiding any deemed capital gains tax liability on the transaction[6].
- **Donations to Approved Charities:** For donations made in money to approved charitable institutions (e.g., registered homes for the sick, needy, children, or elders), the deduction is capped[16]:
  - For individuals, the deduction is limited to the lower of $1/3$ of taxable income or LKR 75,000[43].
  - For entities (including taxable cooperatives), the deduction is limited to the lower of $1/5$ of taxable income or LKR 500,000[43].

Any qualifying payments that cannot be fully deducted in a given year due to insufficient assessable income can be carried forward and deducted in subsequent years under Section 52(4) of the 2026 Amending Act[42].

5. Interest Expenses and Financial Costs

Interest expenses on business-related borrowings are deductible under Section 12, provided the debt obligation was incurred in the production of income[8]. However, Section 18 of the IRA imposes strict thin capitalization rules to prevent earnings stripping[29].
For companies and taxable entities (excluding financial institutions), the deductibility of financial costs is subject to a cap[29]. This cap is calculated using a formula based on the entity's equity and reserves[29]:

$$\text{Financial Cost Limit} = \frac{\text{Financial Cost of the Year}(A)}{\text{Value of Financial Instruments}(B)} \times [C \times (\text{Issued Share Capital} +$$

In this formula, C represents a leverage multiplier determined by the nature of the business[45]:

- For **manufacturing entities**, the multiplier is 3[45].
- For **non-manufacturing entities**, the multiplier is 4[45].

Under the 2022 amendments, any disallowed finance costs that exceed this cap may be carried forward and deducted in future years of assessment, subject to the same annual limits[45].

6. Other Approved Deductions

- **Research & Development (R&D) Expenses**: Under Section 15, expenses incurred in carrying out scientific, industrial, or agricultural research for upgrading a business are fully deductible in the year they are incurred, regardless of whether they are capital in nature[9].
- **Agricultural Start-up Expenses**: In addition to R&D, specialized agricultural start-up costs are fully allowed as deductions to support food security and local agricultural production[10].
- **Export-Related Out-of-Country Payments**: To support export sectors, payments with no Sri Lankan source that are incurred in relation to the export of goods or services are fully deductible when calculating taxable income[6].
- **Bad Debts and Specific Provisions**: Specific provisions for bad debts are deductible if the entity can demonstrate that it has taken all reasonable steps to recover the debt[31]. General provisions for bad debts, however, remain strictly non-deductible[31].

Comparative Tax Schedules and Financial Year Codes

To help financial managers navigate the 2025/2026 Y/A, the tables below outline the key corporate tax rates, payment schedules, and withholding frameworks.

Table 1: Corporate Tax Rates and Key Withholding Changes (2025/2026)

Tax Parameter / Income Source	Prior Rate (Y/A 2024/2025)	New Rate (Y/A 2025/2026)	Legislative Reference / Status
Standard Corporate Income Tax (CIT)	30%	30%	Applies to all standard taxable companies[9]
Registered Cooperative Societies	5% / Exempt	Exempt	Exempt if registered under Law No. 5 of 1972[11]
Sin Tax (Betting, Gaming, Liquor, Tobacco)	40%	45%	Increased flat rate to curb consumption[4]
Service Exports (IT, BPO,	Exempt	15%	Exemption removed; now taxed

Knowledge Services)			at a concessionary rate[3]
Foreign-Sourced Income Remitted to Sri Lanka	Exempt	15%	Exemption removed; now taxed at a concessionary rate[3]
Advance Income Tax (AIT) on Interest / Discounts	5%	10%	Doubled to enhance upfront revenue collection[3]
Withholding Tax (WHT) on Dividends	15%	15%	Treated as a final withholding payment[14]
Withholding Tax (WHT) on Rent Payments	10%	10%	Applies if monthly aggregate rent exceeds LKR 100,000[14]

Table 2: Quarterly Tax Installment Schedule and Payment Codes (Y/A 2025/2026)

Tax installments in Sri Lanka are paid on a self-assessment basis[5]. Payments must be made using the designated quarterly installment codes at any branch of the Bank of Ceylon[18].

Installment	Period Covered	Payment Due Date	Payment Period Code
1st Installment	April 1, 2025 – June 30, 2025	August 15, 2025	**25261** [cite: 18, 49]
2nd Installment	July 1, 2025 – September 30, 2025	November 15, 2025	**25262** [cite: 18, 49]
3rd Installment	October 1, 2025 – December 31, 2025	February 15, 2026	**25263** [cite: 18, 49]

4th Installment	January 1, 2026 – March 31, 2026	May 15, 2026	**25264** [cite: 18, 49]
Final Return / Balance	Entire Financial Year 2025/2026	November 30, 2026	**25260** [cite: 5, 9]

Strategic Implications and Compliance Guidance

COOPERATIVE TAX MATURITY ROADMAP

Financial Digitization	Structural Realignment	Regulatory Supervision
• Transition to RAMIS 3.5	• Formal Law 5 of 1972	• Dual Central Bank & PC
• API-linked e-invoicing	• Re-structure commercial	• Mandatory TIN for all
• Eliminate cash > LKR 500k	• Manage thin cap limits	• AML/CFT oversight

1. Financial Digitization and Compliance Requirements

The Department of Inland Revenue is transitioning to an entirely automated tax administration system through the RAMIS 3.5 upgrade and mandatory e-filing portals[2]. For taxable cooperatives and associated enterprises, manual filings are no longer accepted[9]. Furthermore, the introduction of a national API-based e-invoicing system, which connects taxpayer ERP systems directly with RAMIS, requires immediate upgrades to internal accounting software to support real-time transaction recording[2]. Cooperative managers must ensure that all systems are updated ahead of the July 2026 compliance deadline[20].

2. Structural Realignment of Historically Registered Cooperatives

Cooperative unions and federations must review the historical origins of their member societies[7]. Societies that are still technically registered under the Co-operative Societies Ordinance No. 16 of 1936 must be immediately reconstituted under Co-operative Societies Law No. 5 of 1972 or parallel Provincial Council statutes[7].

Failing to do so exposes these entities to retroactively applied corporate income taxes at the standard 30% rate on all historical surpluses[4].

3. Transitioning Away from Cash-Based Supply Chains

Because cooperatives often operate in rural agricultural areas, they have historically relied on cash transactions for trade and procurement[13]. However, the strict enforcement of the LKR 500,000 cash payment limit means that cooperatives must transition their supply chains to electronic banking, bank transfers, or check payments[27].
If a cooperative pays an unregistered smallholder or supplier more than LKR 500,000 in physical cash in a single day, they will lose the tax deduction for that operating expense, which can significantly impact their net operating margins[27].

4. Regulatory Supervision and Anti-Money Laundering Frameworks

Cooperative financial institutions, such as Cooperative Rural Banks and SANASA branches, operate under a dual regulatory framework overseen by both Provincial Councils and the Central Bank of Sri Lanka (CBSL)[13]. Under the updated 2025/2026 guidelines, these financial cooperatives are subject to increased scrutiny under Sri Lanka's anti-money laundering and countering the financing of terrorism (AML/CFT) frameworks[53].
The 2026 Amending Act includes provisions that allow the Inland Revenue Department to share taxpayer information with the Financial Intelligence Unit (FIU) and other enforcement agencies to prevent financial crimes[6]. Cooperative directors must implement robust "Know Your Customer" (KYC) and transaction-monitoring systems to ensure compliance with these regulatory standards and avoid significant penalties[6].

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Analysis of Cooperative Society Taxation and Exemptions in Sri Lanka (2025–2026)

Introduction: Constitutional Governance and Cooperative Framework

The cooperative sector in Sri Lanka is a historic and socioeconomically significant movement, comprising approximately 14,500 registered societies with an aggregated asset and savings base approaching USD 3 billion, serving nearly 40% of the national population[1]. Despite its scale, the cooperative sector operates under a fragmented legislative and constitutional architecture. Following the passage of the 13th Amendment to the Constitution of Sri Lanka in 1987, the administration of cooperative societies was devolved to the Provincial Councils[2]. Consequently, there is no single, unified cooperative law that governs the entire country[2]. Currently, five of the nine Provincial Councils administer cooperatives through their own distinct provincial statutes, while the remaining four provinces rely on legacy central legislation[2]. At the national level, the regulatory framework is anchored by the Cooperative Societies Law, No. 5 of 1972, alongside its major amendments: the Cooperative Societies (Amendment) Act, No. 32 of 1983 and the Cooperative Societies (Amendment) Act, No. 11 of 1992[2]. Because the central legislation has not been updated since 1992, modern international cooperative standards, such as the 1995 Statement on the Cooperative Identity, are not formally integrated into the statutory framework[2]. However, the registrars and provincial commissioners continue to apply basic cooperative principles—such as democratic member control, member economic participation, and concern for community—as operational prerequisites for registration and regulatory compliance[2].

The central Department of Cooperative Development, led by the Commissioner of Cooperative Development and Registrar of Cooperative Societies, monitors national-level cooperative associations, coordinates activities among Provincial Councils, and oversees public policy implementation[3]. Operating under the Ministry of Trade, Commerce, Food Security and Cooperative Development, the department is tasked with statutory functions including registration, amalgamation, audit, and liquidation[3]. This structural complexity has generated administrative and financial oversight challenges, particularly regarding audit delays, unrecovered loans, and localized financial mismanagement[4]. To resolve these inconsistencies, the government is formulating a common Cooperative Charter and a standardized legal framework for Provincial Cooperative Employee Commissions in 2026[4].

To contextualize the tax environment in which cooperatives operate during the Year of Assessment 2025/2026, the table below outlines the standard corporate and individual tax structures in Sri Lanka following the enactment of the Inland Revenue (Amendment) Act, No. 2 of 2025[7].

Entity / Income Type	Standard Income Tax Rate (Y/A 2025/2026)	Relevant Legislative Authority
Standard Corporate Rate	30% of taxable income[8]	Inland Revenue Act, No. 24 of 2017[8]
Partnerships	6% on taxable income exceeding LKR 1,000,000[10]	Inland Revenue Act, No. 24 of 2017[10]
Trusts, Unit Trusts, & Mutual Funds	30% of taxable income[10]	Inland Revenue Act, No. 24 of 2017[10]
Non-Governmental Organizations (NGOs)	30% of taxable income; 30% on 3% of gross grants/donations[10]	Section 68, Inland Revenue Act, No. 24 of 2017[10]
Charitable Institutions	14% of taxable income[10]	First Schedule, Inland Revenue Act, No. 24 of 2017[10]
Gaming, Betting, Liquor & Tobacco	45% flat rate on gains and profits[7]	Act No. 2 of 2025 (Effective April 1, 2025)[7]
Resident Individuals	Progressive rates: 6%, 18%, 24%, 30%, 36%[7]	Act No. 2 of 2025 (Effective April 1, 2025)[7]

5. Tax Exemptions

5.1 Exempt Cooperative Activities

Under Section 9 of the Inland Revenue Act, No. 24 of 2017 (IRA), as read with Paragraph (a)(v) of the Third Schedule, the gains and profits of "any registered society within the meaning of the Co-operative Societies Law, No. 5 of 1972" are explicitly exempt from income tax[15]. This broad-based statutory exemption applies directly to the primary operational activities of registered cooperative societies, including multi-purpose cooperative societies (MPCSs) and cooperative rural banks[16].

The primary scope of "exempt cooperative activities" encompasses the distribution of essential consumer goods, agricultural marketing, credit provision to members, and the operation of rural savings and thrifts[2]. The historical objective of this fiscal privilege is to protect and encourage grass-roots, democratic organizations that serve low-income rural populations[1]. Under Sri Lankan law, cooperatives are permitted to conduct business with non-members, except for credit transactions, which must remain restricted to members[2]. SURpluses

generated from both member and permitted non-member transactions are exempt from corporate income tax, provided the society operates in alignment with the Cooperative Societies Law[2].
To retain their status as exempt entities, cooperative societies must maintain rigorous internal controls and financial compliance, as outlined in the table below.

Statutory Requirement	**Legal Obligation**	**Relevant Statute**
Reserve Fund Allocation	Minimum 25% of annual net profits must be transferred to the statutory reserve fund[19].	Cooperative Societies Law No. 5 of 1972[19]
Cooperative Fund Contribution	A prescribed portion of net profits must be contributed to the central Cooperative Fund[19].	Cooperative Societies Law No. 5 of 1972[19]
Annual Financial Filing	Audited statement of accounts and operational statistics must be filed within 3 months of the financial year-end[19].	Cooperative Societies Law No. 5 of 1972[19]
Public Audit	Accounts must be audited annually by a government-approved public auditor[19].	Cooperative Societies Law No. 5 of 1972[19]

These statutory compliance requirements represent a causal link between tax exemption and financial discipline. If a cooperative society fails to submit its accounts or undergoes structural deviation—such as operating as a de facto private business rather than a mutual enterprise—the Registrar of Cooperative Societies has the power to initiate inquiry, dissolve the management board, or cancel the society's registration, which instantly revokes its income tax exemption under the IRA[3].

5.2 Agricultural Cooperatives

Agricultural cooperatives form the backbone of Sri Lanka's rural economy, particularly in the production and marketing of tea, rubber, coconut, spices, and dairy products[20]. Historically, the tax framework surrounding agriculture has been subject to volatile shifts. Under the Inland Revenue (Amendment) Act, No. 10 of 2021, the government introduced a broad, source-based five-year income tax exemption for any person engaging in primary "agro farming," which became effective on April 1, 2021[23]. Primary agro farming was defined as the sale of unprocessed agricultural produce without subjecting it to industrial manufacturing or chemical alteration[24].

For the Year of Assessment 2025/2026, this five-year tax holiday is entering its final phase and is scheduled to expire on March 31, 2026[23]. For non-cooperative private agricultural enterprises, the expiration of this tax holiday will trigger an immediate shift to the standard corporate income tax rate of 30%, as the historical concessionary agricultural tax rate of 14% was repealed during the 2022 fiscal reforms[8]. However, agricultural cooperative societies are structurally protected from this tax cliff. Because their exemption is entity-based—granted via the Third Schedule as registered cooperative societies—rather than activity-based, agricultural cooperatives remain completely exempt from income tax on their farming, processing, and marketing surpluses beyond 2026[15].

This tax disparity highlights a significant structural trend: as private agro-businesses face a transition from 0% to 30% corporate income tax, the cooperative model becomes an increasingly attractive structure for agricultural producers looking to pool resources and preserve tax efficiency.

In the domain of indirect taxation, the Value Added Tax (Amendment) Act of 2025 introduced targeted adjustments to support the local dairy sector, directly impacting dairy cooperatives[8]. Effective April 11, 2025, a complete VAT exemption was reintroduced on the supply and importation of locally produced liquid milk and yoghurt[8]. To qualify for this VAT-free treatment, the finished products must contain at least 50% locally sourced fresh milk based on the total product content[17].

This exemption directly supports major dairy cooperative supply chains, such as those supplying raw milk to state enterprises like Milco (distributors of the "Highland" brand)[26]. By relieving these products of the standard 18% VAT, the policy provides a significant competitive advantage over imported, VAT-liable milk powder, boosting demand for cooperative-produced fresh milk[26].

5.3 Government Approved Exemptions

The most critical administrative challenge for cooperative societies during the 2025/2026 period stems from the procedural requirements surrounding the Advance Income Tax (AIT) on passive investment income[10]. Under the Inland Revenue (Amendment) Act, No. 2 of 2025, the standard AIT rate—which is deducted at source by withholding agents (banks and financial institutions)—on interest and discount payments was doubled from 5% to 10%, effective April 1, 2025[8].

$$\text{Advance Income Tax (AIT)} = \text{ Gross Interest Payment} \times\ 10\%$$

Under the standard provisions of the IRA, registered cooperative societies are theoretically exempt from income tax on interest accruing on deposits made by such societies[16]. However, under Circular No. SEC/2025/E/02 issued by the Inland Revenue Department (IRD) on March 28, 2025, a strict withholding mechanism is applied[28]. Banks and financial institutions are legally mandated to deduct the 10% AIT from interest payments at the time the interest is paid, credited, capitalized, or reinvested, unless the depositor presents a valid, formal "Income Tax Exemption Confirmation Letter" issued directly by the Commissioner General of Inland Revenue (CGIR)[28].

If a cooperative society fails to obtain this formal confirmation, the bank must deduct the 10% AIT, and the society cannot recover these funds without initiating a complex, multi-year administrative refund claim with the IRD[5]. The operational consequences of this bottleneck are heavily documented in the Auditor General's audits of the central Cooperative Development Fund[5].

The audit for the year ended December 31, 2023, revealed that LKR 3,621,548 in withholding tax had been deducted from the interest earned on the Fund's fixed deposits[5]. Because the management had failed to secure the necessary confirmation of tax-exempt status from the IRD, the Fund was forced to record this LKR 3.6 million deduction as "receivables under current assets"[5]. The Auditor General issued a qualified audit opinion on these financial statements, noting that the recoverability of this asset remained highly uncertain[5].

This scenario illustrates a broader structural vulnerability: while cooperatives are legally exempt from income tax, administrative delays in obtaining CGIR confirmation letters effectively lock up critical liquid assets, converting cash balances into long-term, non-yielding tax receivables[5].

5.4 Charitable Activities

The tax framework in Sri Lanka treats cooperative societies, approved charities, and non-governmental organizations (NGOs) as distinct legal classifications, each subject to different tax rates, deductions, and reporting burdens[10].

Under Section 6 of the First Schedule of the IRA, a registered "Charitable Institution" is subject to a concessionary income tax rate of 14% on its taxable business and investment profits, compared to the 30% standard corporate rate[10]. To qualify as a charitable institution, the entity's primary objectives must be limited to the relief of poverty, the advancement of education or science, the advancement of religion, the protection of the environment, or other purposes beneficial to the community[14]. Under Paragraph (i)(i) of the Third Schedule, the interest income of an approved charity is fully exempt from income tax, but only if it is proven to the satisfaction of the CGIR that the interest is applied solely for the purpose of providing care to children, the elderly, or the disabled in a home maintained by that institution[15].

In contrast, cooperative societies are completely exempt (0% tax rate) on all of their operational and investment income, representing a much more favorable tax position than charitable institutions[15]. However, when cooperative societies engage in humanitarian, relief, or disaster-management activities as an agent of the state, their activities resemble those of charitable organizations[2]. During floods, crop failures, and economic crises, cooperatives act as primary conduits for government relief distribution[2]. Surpluses arising from these state-contracted relief activities are treated as standard exempt cooperative income[2].

To support grass-roots mutual aid, the tax code also provides a highly specific exemption for "Welfare Societies" under Paragraph (u)(v) of the Third Schedule to the IRA[15]. Effective April 1,

2021, any welfare society, benevolent fund, or mutual thrift society set up for the welfare of its members or their families is exempt from income tax on its member contributions and internal savings returns, provided it is not incorporated as a commercial company[15].
Furthermore, to encourage philanthropy, donations made in money by individuals or corporate entities to "Approved Charities" are deductible as qualifying payments under the Fifth Schedule[29]. The maximum allowable deduction for these donations is subject to strict statutory ceilings, as shown in the table below[19].

Donor Category	Maximum Deduction Limit	Statutory Authority
Individuals	Lower of $\frac{1}{3}$ of taxable income or LKR 75,000[19]	Fifth Schedule, IRA No. 24 of 2017[19]
Corporate Entities	Lower of $\frac{1}{5}$ of taxable income or LKR 500,000[19]	Fifth Schedule, IRA No. 24 of 2017[19]

These donation deductions are not automatically available for standard cooperative societies unless the cooperative operates a distinct, Gazetted "approved charitable trust" that has been formally declared by the Minister of Finance[31].

5.5 Other Tax Reliefs

In addition to their primary income tax exemption, registered cooperative societies in Sri Lanka are granted several other tax reliefs and financial concessions to support their commercial viability.

- **Economic Service Charge (ESC) Exemption:** Under the Economic Service Charge (Amendment) Act, cooperative societies are explicitly classified as "exempted entities" and are entirely excluded from the liability to pay ESC[32]. In contrast, private partnerships and corporate entities with a quarterly turnover exceeding LKR 12.5 million are subject to a 0.5% ESC charge, regardless of whether they are making profits or losses[32]. This exemption protects cooperatives from turnover-based cash-flow taxes, particularly during periods of high inflation or agricultural downturns[32].
- **Historical VAT and NBT Reliefs:** Historically, cooperative societies and cooperative rural banks were granted broad exemptions from indirect taxes, such as the Nation Building Tax (NBT) and Value Added Tax (VAT), to ensure the distribution of essential consumer items at affordable prices[16]. However, as part of the fiscal consolidation reforms under IMF programs, many of these indirect exemptions have been systematically removed[27]. For instance, effective August 1, 2017, the NBT exemption on any goods or services supplied by cooperative societies (or Lak Sathosa) was abolished, making these supplies liable to the 2% NBT[35]. Similarly, effective November 1, 2016, the VAT exemption on the supply of non-essential goods or services by cooperative societies was repealed, making them subject to standard VAT rates (currently 18%)[27].

- **State Debt Reimbursements and Financial Concessions:** To revive struggling rural cooperative societies, the government has historically authorized direct debt relief programs[1]. For cooperatives struggling with high bank debt, the Cabinet of Ministers has approved treasury funding to settle outstanding bank loans[1]. Under these programs, the state Treasury has paid over LKR 100 million of cooperative bank loans directly, with an additional LKR 390 million scheduled for future reimbursement[1]. Furthermore, under presidential directives, cooperatives are entitled to receive heavy transport vehicles at concessionary rates, enhancing their logistical efficiency[1].

Financial Compliance and Digitalization Constraints (2025–2026)

While registered cooperative societies remain legally exempt from corporate income tax under the Third Schedule, they are fully subject to the strict administrative, procedural, and digital compliance mandates enforced by the IRD during 2025 and 2026[8]. The government's drive to digitize tax administration and eliminate informality has generated several compliance bottlenecks that directly impact cooperative operations[25].

The Abolition of the Simplified Value Added Tax (SVAT) Scheme

Effective October 1, 2025, the Sri Lankan government completely abolished the Simplified Value Added Tax (SVAT) scheme, replacing it with a centralized, risk-based VAT refund mechanism[8]. Under the legacy SVAT scheme, cooperative suppliers and manufacturers producing goods for export could execute transactions on a "cash-free" voucher basis, avoiding the need to pay upfront input VAT[25].

Under the 2025 framework, cooperatives must pay the standard 18% VAT upfront on all commercial purchases and imports, and subsequently apply for refunds of their excess input tax[8]. To facilitate this cash-flow intensive model, the government has expanded the statutory allocation of the VAT Refund Fund from 6% to 10% of gross VAT revenues[8].

Furthermore, "eligible exporters"—defined as entities whose zero-rated supplies exceeded 50% of their total supplies in the preceding calendar year—must receive their refunds within 45 days of filing[25]. For agricultural and consumer cooperatives, this transition creates a significant working capital challenge, as cash reserves will be temporarily locked up in the state's refund pipeline[38].

Mandatory Electronic Filing and Record-Keeping

- **Mandatory Electronic Return Filing:** Effective July 1, 2025, all VAT-registered entities must submit their VAT returns exclusively through electronic means (RAMIS)[8]. Manual return submissions are no longer accepted except in highly specific circumstances approved by the CGIR[38]. Similarly, corporate income tax returns must be filed electronically along with all mandatory schedules and audited accounts[8].
- **Mandatory Taxpayer Identification Numbers (TIN):** Active TINs are required for fundamental economic activities, including opening institutional bank accounts,

transferring land, registering vehicles, and obtaining building plan approvals[36]. Cooperative societies must secure active TINs and ensure all transaction counter-parties are compliant[36].
- **Strict Cash Transaction Restrictions:** To improve tax transparency, the government has enforced a strict daily cash payment limit of LKR 500,000[36]. Any single or connected series of business payments exceeding LKR 500,000 made in raw cash cannot be claimed as a deductible expense or capitalized as an asset cost to reduce tax liabilities[36]. Traceable channels, such as crossed checks or direct bank deposits, must be utilized[36].
- **Secured Point of Sale (POS) Terminals:** Effective in 2026, all registered traders must utilize secured POS machines linked to the IRD for transaction record-keeping and invoice generation, heavily restricting manual invoicing[40].

Regulatory Integration under Act No. 9 of 2026

For financial cooperatives and cooperative rural banks, the regulatory landscape has become more complex with the passage of the **Microfinance and Credit Regulatory Authority Act, No. 9 of 2026** (certified on March 20, 2026)[41]. This Act establishes a centralized authority to supervise moneylending and microfinance businesses, with a statutory mandate to coordinate directly with the central and provincial registrars of cooperative societies[41].

Under this Act, credit cooperatives and rural banks must comply with unified guidelines regarding interest-rate caps on deposits and loans, customer protection frameworks, and financial reporting[4]. This dual oversight by both the cooperative registrar and the new Microfinance Authority requires cooperatives to maintain highly professional accounting systems to avoid severe operational and tax penalties[5].

To contrast the structural differences in taxation, passive income treatment, and digital compliance burdens, the table below compares Cooperative Societies against Charitable Institutions and NGOs[10].

Tax & Compliance Category	Registered Cooperative Societies	Charitable Institutions	Non-Governmental Organizations (NGOs)
Standard Surplus Tax Rate	**Fully Exempt** (0% corporate tax rate)[15]	**14%** on taxable income[10]	**30%** on taxable income[10]
Capital Gains Tax (CGT)	Exempt under broad Third Schedule provisions[15]	**10%** on realization of investment assets[10]	**10%** on realization of investment assets[10]
Tax on Passive	Exempt (Requires	Exempt only if	Standard **10% AIT**

Interest Income	CGIR confirmation to avoid AIT)[28]	interest is applied solely for caring for children, elderly, or disabled in a home[15]	deducted at source by banks[10]
Deemed Tax on Grants/Donations	Exempt[15]	Exempt[14]	**30% Tax** on **3%** of gross grants, donations, or contributions[10]
Mandatory E-Filing & TIN	Required (CIT & VAT returns must be filed via RAMIS)[12]	Required (TIN mandatory for institutional operations)[10]	Required (Strict reporting to the National Secretariat)[14]
Daily Cash Payment Limit	LKR 500,000[36]	LKR 500,000[36]	LKR 500,000[36]
Primary Regulatory Body	Central/Provincial Registrar of Cooperative Societies[2]	Ministry of Finance & Inland Revenue Department[14]	National Secretariat for Non-Governmental Organizations[14]

Conclusion: Strategic Recommendations for Financial Sustainability

The cooperative sector in Sri Lanka occupies a highly protected fiscal niche, shielded from corporate income tax and turnover-based levies[15]. However, the aggressive modernization of the tax administration and the transition to cash-flow intensive indirect tax regimes during 2025 and 2026 have created major administrative challenges[25]. To ensure long-term financial sustainability and regulatory compliance, cooperative management and state administrative bodies must adopt a proactive, integrated strategy.

Recommendation 1: Establish a Centralized AIT Clearance mechanism

To resolve the chronic liquidity lockups associated with the 10% Advance Income Tax on deposit interest, the central Department of Cooperative Development must collaborate with the IRD to establish a streamlined, fast-track portal for issuing "Income Tax Exemption Confirmation Letters"[28]. Rather than requiring individual regional societies to independently petition the CGIR, the provincial commissioners should compile annual registries of active, compliant cooperatives to obtain bulk, pre-approved clearance certificates[6]. This will eliminate the occurrence of unconfirmed tax deductions that distort balance sheets and prompt qualified audit opinions from the Auditor General[5].

Recommendation 2: Capital Reserves Mobilization and VAT Bridging Loans

Following the abolition of the SVAT scheme, cooperative federations should establish a dedicated internal liquidity fund or "VAT Cash-Flow Stabilization Facility" using surpluses from the central Cooperative Development Fund[19]. This facility should provide interest-free, short-term bridging loans to export-oriented and dairy-producing cooperatives to cover upfront 18% VAT payments, ensuring that cooperative retail outlets can maintain steady stock levels without depleting their working capital while waiting for their 45-day risk-based refunds from the IRD[8].

Recommendation 3: Standardize Digital Accounting Systems

The National Cooperative Commission, in coordination with state-backed financial institutions like the SANASA Development Bank (SDB), should launch a comprehensive "Digital Cooperative Transition Program"[1]. This initiative must focus on deploying standardized, cloud-based accounting software across all primary societies to automatically track input VAT credits, flag transactions exceeding the LKR 500,000 cash limit, and directly generate tax schedules compatible with the IRD's RAMIS e-filing system[12].

Recommendation 4: Remediate Legacy Debt and Strengthen Audit Compliance

Cooperative management must address the historical audit deficiencies highlighted by the Auditor General, particularly regarding unrecovered loans and interest write-offs[5]. Societies must formally implement provisions for bad and doubtful debts in strict compliance with the Sri Lanka Public Sector Accounting Standards (SLPSAS) No. 10, and actively pursue debt-recovery mechanisms under the State Debtors Ordinance for long-overdue loan balances[6]. Restoring financial integrity and timely budgeting will safeguard the cooperative movement's credibility and secure continued treasury support and tax exemptions from the state[1].

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Sri Lanka Tax Compendium

Corporate Income Tax, Withholding & Advance Income Tax, VAT, PAYE/APIT, and Capital Gains Tax

Consolidated Reference for Years of Assessment 2025 and 2026

This compendium combines five detailed guides into a single reference document, covering the full 2025-2026 Sri Lankan tax reform landscape under the Inland Revenue (Amendment) Act No. 02 of 2025 and the Inland Revenue (Amendment) Act No. 11 of 2026.

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Comprehensive Analysis of Sri Lankan Corporate Income Tax: Regulatory Framework, Tax Computations, and Administrative Re-Engineering for 2025 and 2026

The corporate tax architecture of Sri Lanka has undergone a profound structural re-engineering, driven by IMF-supported macroeconomic stabilization programs designed to restore fiscal sustainability in the wake of the post-2022 economic crisis[1]. Guided by the statutory mandates of the Central Bank of Sri Lanka Act, No. 16 of 2023, and the government's Medium-Term Fiscal Strategy, the nation has transitioned from a historical regime of highly fragmented concessions and narrow tax bases to a modernized, simplified, and high-enforcement taxation model[2]. Corporate income tax (CIT) compliance for the 2025 and 2026 assessment years is governed primarily by the Inland Revenue Act, No. 24 of 2017 (as amended), with pivotal operational and rate changes introduced via the Inland Revenue (Amendment) Act, No. 02 of 2025, and the landmark Inland Revenue (Amendment) Act, No. 11 of 2026[5]. For enterprises operating within this jurisdiction, navigating the updated compliance boundaries requires a detailed understanding of the statutory rates, the process for converting accounting profits to taxable income, the rules governing qualifying deductions, and the digitized payment and enforcement mechanisms[8].

I. Statutory Corporate Income Tax Rates for 2025 and 2026

Under the consolidated framework of the Inland Revenue Act, No. 24 of 2017, Sri Lanka enforces a multi-tiered corporate tax rate structure designed to maximize domestic revenue mobilization while maintaining targeted incentives for foreign-currency-generating operations[2]. The standard corporate income tax rate remains at a flat 30%, applicable to the taxable profits of both resident and non-resident companies, including local branches of foreign enterprises[8]. This 30% baseline rate represents a substantial upward adjustment from historical rates, positioning Sri Lanka in the upper-middle bracket of regional corporate tax rates[2].

The Inland Revenue (Amendment) Act, No. 02 of 2025, significantly altered the tax treatment of foreign exchange inflows[2]. It repealed historical tax exemptions on service exports and foreign-source income, replacing them with a flat 15% concessionary corporate tax rate effective April 1, 2025[5]. To qualify for this concessionary rate, corporate treasuries must provide verified banking documentation proving that the gains and profits were earned in foreign currency and remitted to Sri Lanka through the domestic banking system[5].

Furthermore, to penalize and collect higher revenues from socially sensitive and highly lucrative sectors, the legislature increased the punitive rate on "sin industries" from 40% to 45% flat, effective April 1, 2025[5]. This rate applies to gains and profits from conducting betting and gaming, as well as the manufacture, import, or sale of liquor and tobacco products[5]. However, the export of liquor or tobacco products is specifically carved out and taxed at the 30% standard rate, preserving the export-driven focus of Sri Lanka's industrial policy[5].

Corporate Classification and Income Categories	**Rate for Y/A 2024/2025**	**Rate for Y/A 2025/2026**	**Rate for Y/A 2026/2027**	**Relevant Legal Enactment**
Standard Companies (Resident and Non-Resident Branches)	30%	30%	30%	IRA No. 24 of 2017, s. 59[13]
Service Exports (IT, BPOs, and software development, remitted via banks)	30%	15%	15%	Amendment Act No. 02 of 2025[5]
Foreign-Source Income (Gains remitted to Sri Lanka through local banks)	30%	15%	15%	Amendment Act No. 02 of 2025[2]
Betting and Gaming Businesses	40%	45%	45%	Amendment Act No. 02 of 2025[5]
Liquor & Tobacco Manufacture,	40%	45%	45%	Amendment Act No. 02 of 2025[5]

Import, or Sale (Non-Export)				
Liquor & Tobacco Export	30%	30%	30%	Amendment Act No. 02 of 2025[5]
Trusts, Unit Trusts, and Mutual Funds	30%	30%	30%	IRA No. 24 of 2017, First Schedule[16]
Non-Governmental Organizations (NGOs - Standard Income)	30%	30%	30%	IRA No. 24 of 2017, First Schedule[16]
NGO Grant-Based Income (Taxed on 3% of total gross grants/contributions)	30%	30%	30%	IRA No. 24 of 2017, s. 68[16]
Charitable Institutions	14%	14%	14%	IRA No. 24 of 2017, First Schedule[16]
EPF, ETF, and Approved Pension/Provident/Gratuity Funds	14%	14%	14%	Subject to Domestic Debt Optimization rules[16]
Capital Gains (Realization of Investment	10% / 30%	30%	30%	Standard corporate investment

Assets)				assets[16]

II. Determination of Taxable Profit

Under Sri Lankan tax law, "Taxable Profit" represents the net statutory business or investment income calculated by adjusting a company's commercial accounting net profit before tax to align with the provisions of the Inland Revenue Act[7]. The determination process requires corporate accountants to add back non-deductible (disallowed) expenditures and subtract allowable expenses, tax-exempt receipts, and tax depreciation schedules[17].

Disallowed and Allowable Expenditures

While business-related expenses incurred wholly and exclusively for the generation of income are generally deductible, the Act explicitly disallows specific classes of expenditure[17]. Disallowed items include domestic or personal expenses, income taxes paid to any local or foreign authority, and general provisions for bad debts unless formulated in strict compliance with the guidelines of the Ministry of Finance[17]. Administrative fines, penalties, and interest charges arising from the breach of any written law in any country are also strictly non-deductible[17].

Anti-Avoidance Cash Transaction Limits

To curb the informal cash economy and enhance audit trails, the Inland Revenue Act enforces strict limitations on physical cash usage[26]. Under Section 10 of the principal enactment (as amended by Act No. 04 of 2023 and Act No. 11 of 2026), a strict cash restriction is modeled[27]:

$$\text{Cash Payment Limitation Threshold} = \text{ LKR } 500,000$$

Where a corporate entity pays an aggregate sum of LKR 500,000 or more to another person in a single day, for a single transaction, or in a series of transactions relating to a single event, the payment must be executed through a traceable banking channel[27]. Approved channels are limited to account payee cheques, account payee bank drafts, credit cards, debit cards, or electronic payment systems operating through bank accounts registered in Sri Lanka[27]. If a transaction exceeding this limit is settled in raw cash:

1. The payer is legally barred from claiming the payment as a deductible business expense when calculating taxable business income[27].
2. The payment cannot be included in the cost base of an asset for tax purposes, thereby eliminating any future capital allowance or depreciation deductions on that asset[27].

This cash transaction restriction does not apply to transactions conducted directly with government institutions, licensed commercial banks, or other specified entities exempted by the Minister of Finance[27].

Treatment of Asset Realizations as Gifts or Donations

The Inland Revenue (Amendment) Act, No. 11 of 2026, introduced a critical revision to Section 32 regarding the realization of capital assets[28]. Under standard transfer rules, transferring an asset to an associate or as a gift would trigger a realization at its current fair market value, creating an immediate capital gains tax liability[12].

However, under the updated provisions, when a company transfers asset ownership as a gift or donation to the Government of Sri Lanka or to any university established under the Universities Act, No. 16 of 1978, the transaction is treated as a realization at the asset's net cost immediately before the transfer[28]. Consequently, no taxable capital gain or loss arises for the donor entity on such transfers[28].

Transfer Pricing and Head Office Overheads

Corporate entities participating in transactions with domestic or international associated enterprises must demonstrate compliance with the arm's-length standard[1]. The transfer pricing guidelines mandate the maintenance of local and master files to manage base erosion and profit shifting[33]. The compliance requirements are categorized as follows:

- **Local File:** Mandatory for companies whose aggregate controlled related-party transactions exceed LKR 200 million per year of assessment[13]. Taxpayers below this threshold are still legally required to transact at arm's length but are exempt from formal local file compilation, provided they file the standard Transfer Pricing Disclosure Form alongside their annual CIT return[13].
- **Master File:** Required if the declared consolidated group revenue exceeds EUR 50 million (or its LKR equivalent)[13].
- **Country-by-Country Reporting (CbCR):** Enforced for multinational enterprise (MNE) groups with a consolidated group revenue exceeding EUR 750 million[13].
- **Head Office Expenditure:** Act No. 11 of 2026 introduced a formal statutory definition of "Head Office Expenditure" into the Act, placing strict caps on the volume of executive, managerial, and administrative overheads that a foreign parent can allocate to its Sri Lankan branch operations to reduce local taxable profit[12].

III. Determination of Chargeable Income

"Chargeable Income" represents the net amount upon which a company's corporate tax liability is calculated[2]. It is derived by subtracting allowable business losses, statutory capital allowances, and qualifying payments from the taxable profit[23].

Capital Allowances and Enhanced Incentives

Standard tax depreciation is granted through straight-line or diminishing value capital allowances over the statutory useful lives of depreciable assets[31]. To stimulate post-crisis infrastructure development and private investment, the Inland Revenue (Amendment) Act, No. 11 of 2026, enacted a major incentive program[32]:

$$\text{Enhanced Capital Allowance (ECA)} = 100\%$$

Effective April 1, 2026, investments made in depreciable assets (excluding intangible assets) ranging from USD 250,000 to USD 3 million in any part of Sri Lanka qualify for a 100% upfront deduction in the year of acquisition[32]. This incentive is restricted to corporate taxpayers that have entered into an agreement with the Board of Investment (BOI) of Sri Lanka and are undertaking approved expansions of existing operations[32]. Conversely, historical temporary deductions, such as the 35% additional depreciation concession previously granted to information technology enterprises, were completely phased out effective April 1, 2025[32].

Net Operating Losses

Tax losses incurred in conducting a trade or business can be carried forward to offset future taxable business income[23]. Under the current statutory rules:

- Operating losses may be carried forward for a maximum of six years of assessment immediately following the year in which the loss occurred[35]. Loss carry-backs are not permitted[24].
- Business losses are quarantined and can only offset business income; they cannot be utilized to reduce investment income[23].
- Under retrospective transition guidelines, if a company incurred an operating loss during an assessment year when it was subject to a lower concessionary tax rate, and its tax rate subsequently increases, the loss cannot be revalued or adjusted to create an inflated tax shield[37]. The carried-forward loss is capped at its nominal historical value[37].

Qualifying Payments and Deductions

Qualifying payments represent statutory deductions allowed against a company's total statutory income[23]. The deduction for donations to approved charities is strictly capped[19]:

$$\text{Maximum Charitable Deduction (Corporate Entity)} = \min\left(\frac{1}{5} \times \text{Ta}\right.$$

For individual taxpayers, the cap is set at the lower of one-third of taxable income or LKR 75,000[19]. Crucially, under the Inland Revenue (Amendment) Act, No. 11 of 2026, any unutilized portion of a qualifying payment made directly to specified government institutions can be carried forward indefinitely and deducted in subsequent years of assessment if the current year's assessable income is insufficient to absorb the deduction[32].

IV. Mathematical Tax Calculation Model and Practical

Illustration

To calculate the final corporate tax liability of a Sri Lankan enterprise, the total chargeable income must be segmented by its respective operational rates, the gross liabilities computed, and any available tax credits or withholding taxes subtracted[32].

Mathematical Formulas

The general mathematical formula for calculating total corporate tax liability is modeled as follows:

$$P_{\text{Taxable}} = P_{\text{Business}} + P_{\text{Investment}} + P_{\text{Other}}$$

$$\text{Chargeable Income } (I_{\text{Chargeable}}) = P_{\text{Taxable}} - L_{\text{B/F}} - Q_{\text{Payments}}$$

Where $L_{\text{B/F}}$ represents allowable brought-forward business losses and Q_{Payments} represents deductible qualifying payments[23]. The gross corporate tax liability (T_{Gross}) is calculated by multiplying each income segment by its respective statutory rate:

$$T_{\text{Gross}} = (I_{\text{Standard}} \times R_{\text{Standard}}) + (I_{\text{Concessionary}} \times R_{\text{Concessionary}}) +$$

$$\text{Net Tax Payable } (T_{\text{Net}}) = T_{\text{Gross}} - \text{ AIT Credits} - \text{ Foreign Tax}$$

Where $R_{\text{Standard}} = 30\%$, $R_{\text{Concessionary}} = 15\%$, and $R_{\text{Punitive}} = 45\%$[5].

Numerical Case Study: Year of Assessment 2025/2026

Consider a hypothetical resident enterprise, Apex Industrial Solutions (Pvt) Ltd, which is engaged in standard domestic manufacturing and software service exports[8]. The company closes its financial year on March 31, 2026[8].

Step 1: Adjusting Accounting Profit to Taxable Business Income

The company reports a commercial net accounting profit before tax of **LKR 120,000,000**[17]. Corporate accountants identify the following tax adjustments[17]:

- Depreciation charged in commercial accounts: LKR 14,000,000[24].
- Statutory capital allowances (tax depreciation): LKR 11,000,000[31].
- Non-deductible administrative fines (for regulatory breaches): LKR 1,500,000[17].
- Non-deductible cash payment (settled in raw cash for an invoice of LKR 800,000, in violation of the LKR 500,000 limit): LKR 800,000[27].
- Included interest income on fixed deposits (reconciled separately under investment income): LKR 6,000,000[38].
- Included dividends received from a resident company (treated as final withholding payment): LKR 4,000,000[39].

The adjusted corporate business profit is calculated as:

$$\text{Adjusted Business Profit} = 120,000,000 + 14,000,000 \text{ (Deprec}$$

$$+ 800,000 \text{ (Cash Violation Addback)} - 11,000,000 \text{ (Capital Al}$$

$$\text{Adjusted Business Profit} = \text{LKR } 115,300,000$$

Step 2: Income Allocation

Apex Industrial Solutions proves through foreign bank remittance certificates that **LKR 45,000,000** of its adjusted business profit was derived from qualifying software exports remitted via local bank accounts in foreign currency[5].

$$\text{Standard Business Income } (I_{\text{Std\_Bus}}) = 115,300,000 - 45,000,0$$

$$\text{Concessionary Export Income } (I_{\text{Conc\_Export}}) = \text{LKR } 45,000,000$$

$$\text{Investment Income (Fixed Deposit Interest)} = \text{ LKR } 6,000,000$$

$$\text{Dividend Income} = \text{ LKR } 4,000,000 \text{ (Excluded from TSI as a final tax payment) [cite: 17, 3}$$

Step 3: Application of Carried-Forward Losses

The company has LKR 10,000,000 in unrelieved tax losses carried forward from Y/A 2024/2025[10]. These are fully offset against standard business income, which is the standard practice under Section 19[23].

$$\text{Net Standard Business Income} = 70,300,000 - 10,000,000 = \text{1}$$

$$\text{Total Statutory Income (TSI)} = 60,300,000 \text{ (Standard Busines}$$

Step 4: Qualifying Payments and Deductions

Apex Industrial Solutions executed two donations during the year[19]:

- Donation to an approved government fund: LKR 4,000,000 (fully deductible)[19].
- Donation to an approved charity: LKR 1,200,000[19].

To compute the deductible charity donation, the statutory cap must be applied[19]:

$$\text{Taxable Income before Charity Deduction} = 111,300,000 - 4,$$

$$\text{Charity Limit} = \frac{1}{5} \times 107,300,000 = \text{LKR } 21,460,000$$

$$\text{Deductible Charity Donation} = \ \min(1,200,000,\ 21,460,000,\ 500,$$

$$\text{Total Deductible Qualifying Payments} = \ 4,000,000 + 500,000$$

Step 5: Chargeable Income Computation

Qualifying payments are subtracted from standard business income first[38].

$$\text{Chargeable Standard Business Income} = \ 60,300,000 - \ 4,500,($$

$$\text{Chargeable Concessionary Export Income} = \ \text{LKR } 45,000,000$$

$$\text{Chargeable Investment Interest Income} = \ \text{LKR } 6,000,000$$

$$\text{Total Chargeable Income} = \ 55,800,000 + \ 45,000,000 + \ 6,000,$$

Step 6: Gross Corporate Tax Liability Computation

Tax rates are applied to each income segment:

$$\text{Standard Business Tax } (30\%) = \ 30\% \times \ 55,800,000 = \ \text{LKR } 16,$$

$$\text{Concessionary Export Tax (15\%)} = 15\% \times 45,000,000 = \text{LKR}$$

$$\text{Interest Income Tax (30\%)} = 30\% \times 6,000,000 = \text{LKR } 1,800,($$

$$\text{Gross Corporate Tax Liability } (T_{\text{Gross}}) = 16,740,000 + 6,750,0$$

Step 7: Application of Tax Credits and Net Payable Computation

During the assessment year, fixed deposit interest was subject to 10% Advance Income Tax (AIT) withheld at source by the bank[5]:

$$\text{AIT Withheld Credit} = 10\% \times 6,000,000 = \text{LKR } 600,000 \text{ [cite}$$

$$\text{Net Corporate Tax Payable } (T_{\text{Net}}) = 25,290,000 - 600,000 =$$

V. Payment Methods and Tax Administration Re-Engineering

The administration of corporate income tax has undergone a major shift toward digital processes, aiming to eliminate paper-based documentation, improve audit efficiency, and automate collection systems[15].

The Discontinuation of the Statement of Estimated Tax Payable

The most notable administrative reform introduced by the Inland Revenue (Amendment) Act, No. 11 of 2026, is the discontinuation of the Statement of Estimated Tax Payable (SET)[27]. Historically, under Section 91 of the principal Act, companies were required to file an annual estimate of their projected profits on or before August 15 of each assessment year and pay quarterly installments based on those projections[9].

Effective April 1, 2026, the requirement to file a SET is repealed for all corporate taxpayers[27].

Consequently:

- **For Y/A 2025/2026 (Transition Year):** Companies were still required to file their SET forms on or before August 15, 2025, using the historical estimation methodology[14].
- **For Y/A 2026/2027 and onward:** The SET filing is entirely abolished[27]. Quarterly installments must now be paid based on the actual income tax payable for the immediately preceding year of assessment (i.e., Y/A 2025/2026 actual liability)[27]. This reform simplifies corporate compliance by eliminating the need for speculative profit projections and reducing disputes over underestimation penalties[43].

Payment and Filing Timelines

Corporate income tax return filing and payment remain organized around five key annual deadlines[9].

Obligation	Period Covered	Due Date	Applicable Period Code
First Installment	April 1 to June 30	August 15 (Current Y/A)	YYYYS1 (e.g., 25261 for Y/A 2025/26)[9]
Second Installment	July 1 to September 30	November 15 (Current Y/A)	YYYYS2 (e.g., 10, 23, 55)
Third Installment	October 1 to December 31	February 15 (Current Y/A)	YYYYS3 (e.g., 10, 22, 23)
Fourth Installment	January 1 to March 31	May 15 (Succeeding Y/A)	YYYYS4 (e.g., 10, 23, 31)
Final Balance Payment	Annual Reconciliation	September 30 (Succeeding Y/A)	YYYY0 (e.g., 23, 24250 for Y/A 2024/25)[9]
Annual CIT Return	Completed Year of Assessment	November 30 (Succeeding Y/A)	Hard compliance filing deadline[8]

Under Section 113 of the Act, e-filing of corporate income tax returns is mandatory for all companies[9]. Tax returns must be submitted through the RAMIS portal, accompanied by audited financial statements, detailed tax computation schedules, and verified withholding tax certificates in CSV format[8].

Withholding and Advance Income Tax Enforcements

The Inland Revenue (Amendment) Act, No. 11 of 2026, expanded the scope of Withholding Tax (WHT) and Advance Income Tax (AIT) to prevent tax evasion among self-employed professionals and independent contractors[26]. Key operational rules include:

- **Expanded Professional Scope:** Effective June 3, 2026, if a corporate entity pays service fees exceeding LKR 100,000 per month to independent resident professionals (including doctors, lawyers, engineers, IT specialists, tutors, advertising agents, advisors, and brand ambassadors), it must withhold AIT at a flat rate of 5%[26].
- **WHT Certificates:** Withholding agents must issue formal withholding tax certificates to payees at no cost[27]. Charging administrative fees for issuing these certificates is prohibited[26].
- **Non-Compliance Penalties:** Withholding agents who fail to issue certificates or submit incorrect or misleading declarations to the Inland Revenue Department face statutory penalties of up to LKR 200,000 per year[27].

Mandatory Registration and Share Transfer Controls

The government has integrated the Taxpayer Identification Number (TIN) into key regulatory processes[6]. Under the 2026 amendments:

- Every company incorporated or registered in Sri Lanka must register with the Commissioner General of Inland Revenue and obtain a TIN within thirty days of incorporation[32].
- Relevant officials are legally barred from registering specific corporate and financial transactions unless a valid TIN is presented[6]. Most notably, the transfer of shares in any company incorporated in Sri Lanka requires mandatory TIN verification of both the transferor and transferee[26]. This control prevents the anonymous movement of equity and ensures that capital gains taxes on share realizations are captured[26].
- TINs are no longer treated as confidential or secret information under the Act, allowing public institutions to share TIN records to prevent financial crimes[26].

Strategic Interest Amnesties

To clear the backlog of disputed tax assessments and recover outstanding tax principal, Section 42 of the Inland Revenue (Amendment) Act, No. 11 of 2026, introduced an interest relief program[45]. Taxpayers can secure a complete write-off of all outstanding interest charges on late payments or underpayments of corporate income tax, withholding tax, and capital gains tax up to the Year of Assessment ending March 31, 2025[32].

To qualify for this relief, the taxpayer must settle the full outstanding principal tax amount within six months of the Act's certification (i.e., on or before December 2, 2026)[45]. This amnesty allows corporate groups to resolve outstanding tax audits and disputes without facing compound interest charges[45].

VI. Strategic Implications for Corporate Entities

The corporate tax environment in Sri Lanka for 2025 and 2026 is characterized by a transition to digital enforcement and a reduction in historical concessionary tax shields[1]. Corporate boards and financial officers must adapt their compliance strategies to align with these structural changes[8]:

- **Optimizing Cash Flow for Prior-Year Installment Bases:** The transition to calculating quarterly installments based on the preceding year's actual tax liability simplifies filing by removing the need for estimated SET returns[27]. However, this creates cash flow challenges for companies facing declining revenues, as they must continue paying high quarterly installments based on prior-year profits and can only recover overpayments through year-end tax refunds[27].
- **Enforcing Strict Cash Management Controls:** Since cash payments of LKR 500,000 or more are non-deductible under Section 10, corporate treasuries must ensure that all commercial payments are routed through traceable banking channels to avoid losing valuable tax deductions and asset depreciation cost bases[27].
- **Documenting Service Exports for Concessionary Rates:** To secure the 15% concessionary rate on service exports, IT and BPO providers must maintain clear banking trails proving that all export-related revenue was received in foreign currency and remitted directly through a local bank[5].
- **Structuring Capital Projects under BOI Expansions:** Corporate groups planning major capital projects should align their budgets to qualify for the 100% enhanced capital allowance[32]. By structuring expansions to fall within the USD 250,000 to USD 3 million range under a BOI agreement, companies can fully deduct their capital expenditures in the year of acquisition[32].
- **Clearing Disputed Balances under the 2026 Interest Relief:** Corporate tax teams should conduct a review of all open assessments, tax audits, and disputes for years of assessment up to 2024/2025[45]. Settling the underlying principal liabilities on or before the December 2, 2026 deadline allows companies to eliminate outstanding late payment interest, significantly reducing overall dispute resolution costs[45].

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Comprehensive Analysis of the Withholding and Advance Income Tax Regimes for Years of Assessment 2025 and 2026 under the Sri Lankan Cooperative and Corporate Tax Framework

Legislative Landscape and the Macroeconomic Shift

The fiscal architecture of Sri Lanka has transitioned into a highly regulated, compliance-driven framework intended to stabilize the domestic economy, enhance revenue mobilization, and gradually adjust the direct-to-indirect tax ratio from the historical 25:75 toward an equitable target of 40:60[1]. Under the administrative mandate of the Inland Revenue Department, this shift has been codified through the enactment of the Inland Revenue (Amendment) Act No. 2 of 2025, alongside a series of comprehensive amendments proposed for the Year of Assessment 2026/2027[3]. These statutory interventions systematically dismantle prior tax exemptions, widen the direct tax base, and optimize collection mechanisms at source through Advance Personal Income Tax and Advance Income Tax withholding systems[2].

A critical dimension of this evolving framework is its application to the cooperative sector[8]. Governed by the Co-operative Societies Law No. 5 of 1972, the cooperative movement in Sri Lanka represents a formidable socioeconomic force, encompassing 9,289 registered societies and over 10.15 million members, which constitutes approximately 46% of the national population[9]. Managing over $2 billion in total assets and mobilizing more than $1 billion in community savings, these community-based enterprises are central to agriculture, fisheries, retail, and microfinance[10].

Under the overarching tax base established by the Inland Revenue Act No. 24 of 2017, cooperative societies are classified as corporate tax entities and are subject to the standard corporate income tax rate of 30% on their net taxable profits, particularly where transactions are executed with non-members[11]. This classification imposes a dual statutory obligation on cooperative societies: they must manage their own exposures as corporate taxpayers while simultaneously acting as withholding agents for the state across a broad spectrum of payments[7].

The Dual Role of Cooperative Societies under the Withholding Regimes

The application of withholding tax and advance income tax regimes to cooperative societies is structured around a distinct legal bifurcation that dictates their treatment based on whether they are the recipient or the initiator of a payment[7]. This dual positioning is essential for maintaining liquidity within cooperative networks while ensuring compliance with national revenue mandates[10].

Cooperative Societies as Withholdees

In their capacity as recipients of investment income, registered cooperative societies enjoy specific statutory protections designed to prevent the erosion of community-pooled capital[10]. Under the guidelines issued by the Department of Inland Revenue, specifically codified in circulars such as SEC/2019/04, interest payable to cooperative societies registered under the Co-operative Societies Law No. 5 of 1972 is explicitly exempt from the deduction of withholding tax or Advance Income Tax at source[16].

This exemption covers interest accruing on deposits, treasury instruments, and commercial banking placements maintained by cooperatives, ensuring that their gross investment yields remain uncompromised prior to local redistribution or reinvestment[16].

Cooperative Societies as Withholding Agents

Conversely, when cooperative societies act as payers of taxable income, they are legally recognized as withholding agents and must strictly comply with national tax deduction mandates[7]. This operational requirement applies directly to the payment of salaries to their estimated 33,300 professional employees, interest distributions on member deposits within Cooperative Rural Banks, rental payments for administrative and retail premises, commissions to sales and canvassing agents, and disbursements to independent service providers and sub-contractors[10].

Historical audit findings compiled by the Auditor General's Department on the Co-operative Surplus Fund and the Co-operative Development Fund reveal chronic administrative deficiencies in this area, highlighting instances where withholding taxes on investment interest and member payouts were not deducted or remained unremitted to the state for multiple fiscal years[15]. Consequently, the rigid enforcement of WHT and AIT compliance during 2025 and 2026 represents a critical structural challenge for cooperative management across all provinces[3].

Employment Income (PAYE / APIT)

The withholding mechanism on employment income has undergone significant structural revisions designed to restore progressivity while easing the tax burden on low-to-middle-income earners[2]. Historically, the mandatory Pay-As-You-Earn system was replaced by the optional Advance Personal Income Tax system in 2020, before being re-established as a mandatory deduction mechanism under Act No. 45 of 2022[21]. Effective April 1, 2025, under the Inland Revenue (Amendment) Act No. 2 of 2025, the statutory annual personal relief threshold for resident individuals and non-resident Sri Lankan citizens was increased from LKR 1.2 million to LKR 1.8 million, which equates to a tax-free monthly allowance of LKR 150,000[4].

For primary employment, employers must calculate and withhold APIT on a progressive scale using the Inland Revenue Department's Table 01[6]. The revised tax slabs expand the initial 6% tax bracket and completely eliminate the 12% intermediate bracket, focusing the tax incidence on higher-income bands[6].

Monthly Regular Remuneration (LKR)	**Marginal Tax Rate (%)**	**Monthly Deductive Tax Formula**
Up to LKR 150,000	0% (Relief)	Nil
LKR 150,001 to LKR 233,333	6%	$6\% \times \text{Monthly Remune}$
LKR 233,334 to LKR 275,000	18%	$18\% \times \text{Monthly Remun}$
LKR 275,001 to LKR 316,667	24%	$24\% \times \text{Monthly Remun}$
LKR 316,668 to LKR 358,333	30%	$30\% \times \text{Monthly Remun}$
Above LKR 358,333	36%	$36\% \times \text{Monthly Remun}$

When computing monthly taxable regular profits from employment, the employee's mandatory 8% contribution to the Employees' Provident Fund is legally deductible from the gross monthly salary prior to applying the APIT tables[6]. For lump-sum payments such as seasonal bonuses, performance incentives, commissions, or terminal benefits, employers cannot simply aggregate the payment into the monthly regular tax bracket[6]. Instead, they must apply Table 02, utilizing a statutory formula based on the Estimated Gross Aggregate Remuneration to calculate the appropriate incremental tax deduction, thereby mitigating the risk of pushing the employee into an artificially high tax bracket for a single pay period[6].

Furthermore, Table 04 governs the deduction of tax from any profits from employment made to non-resident employees who are non-citizens in Sri Lanka[21]. For these individuals, the progressive rates from 6% to 36% are applied on a cumulative expected income basis using localized monthly formulas, starting from a baseline slab of up to LKR 83,333 taxed at 6%[26].

Where cooperative employers or corporate entities agree to bear the tax liability of their employees without deducting it from their remuneration, they must apply the specific formulas in Table 06 to compute the additional "tax-on-tax" liability[21]. This system utilizes statutory rates of 6.38%, 13.64%, and 21.95% to gross up the tax payable, resulting in a maximum effective tax rate of 56.25% in high-income bands[21].

The legal boundaries of this employment tax regime were recently tested in the Court of Appeal under the consolidated cases CA/Writ/35/2023, CA/Writ/36/2023, and

CA/Writ/73/2023[28]. In these actions, the executive committees of three judicial associations successfully challenged the administrative deduction of APIT from judicial officers' salaries[28]. The petitioners argued that judicial officers, as trustees of the sovereign judicial power of the people, are not employees and do not receive "employment income" as defined under Section 5 of the Inland Revenue Act No. 24 of 2017[28]. This landmark case highlights the constitutional boundaries of the APIT framework, illustrating that statutory definitions of "employment" and "employer" cannot be arbitrarily stretched beyond traditional contractual relationships to encompass sovereign constitutional officers[28].

Interest Payments and the AIT Mechanism

Effective from April 1, 2025, the Advance Income Tax (AIT) rate on interest and discounts paid on deposits maintained in banks or financial institutions was doubled from 5% to 10%[29]. This adjustment, legislated under the Inland Revenue (Amendment) Act No. 2 of 2025, applies to both resident and non-resident persons, except where specific exemptions or Double Tax Avoidance Agreements apply[7].

To shield low-income earners from the cash flow burden of withholding at source, the government introduced a "Declaration of Non-Taxable Status" self-declaration mechanism[7]. Under this framework, resident individuals whose total annual assessable income from all sources does not exceed the personal relief threshold of LKR 1.8 million can submit a self-declaration form to their respective financial institutions[29].

Upon receipt of a valid self-declaration containing the individual’s Taxpayer Identification Number (TIN), banks are legally prohibited from deducting the 10% WHT on interest payments[30]. The self-declaration is valid only for a single year of assessment (from April 1st to March 31st) and must be renewed annually[30]. For minor children, a parent or legal guardian can submit the self-declaration on their behalf, provided they supply the guardian's National Identity Card and TIN[30].

Joint account holders must submit separate declarations, with the interest income apportioned relative to their respective shares or treated equally if their shares cannot be ascertained[30]. If AIT is deducted prior to the submission of the self-declaration, the bank cannot process a refund; the depositor must apply directly to the Inland Revenue Department[30]. Providing false or misleading information in a self-declaration is a punishable offense, carrying an administrative penalty of up to LKR 200,000[5].

Dividend Payments

Dividend distributions made by resident companies, including corporate entities operating within the cooperative sector, are subject to a mandatory withholding tax rate of 15% at the time of payment[11]. For resident individual shareholders, the 15% WHT is a final tax[18]. Consequently, individual recipients are excluded from declaring this dividend income within their total statutory assessable income, and the withholding credit effectively satisfies their tax obligations for these distributions[18].

Exemptions from dividend withholding tax are strictly confined to specific legal and structural

conditions[7]. Under Section 10 of the Inland Revenue Act, as consolidated, dividends distributed by a resident company are exempt from tax in the hands of the recipient to the extent that such dividends are paid out of dividends received from another resident company that have already been subjected to Section 84 withholding tax[7].
Additionally, dividends paid by a resident company to a non-resident member are exempt from withholding tax under specific capital structures[7]. Concessionary exemptions also apply to dividends paid by Board of Investment (BOI) approved companies during their designated tax-holiday periods, such as projects operating under Section 16C or Section 17A of the prior law, provided they are distributed within one year of the holiday's expiry[34]. Dividends paid by non-resident companies to resident shareholders are also exempt from domestic tax, provided they are remitted to Sri Lanka through the local banking system[34].

Rent Payments

Withholding tax on rent is applied at a flat rate of 10% on payments made to resident individuals, provided that the aggregate monthly rental payment from a single payer to a landlord exceeds LKR 100,000[7]. The 10% rate is calculated on the full gross amount of the rental invoice, excluding any Value-Added Tax component[7]. For resident individuals, this rent withholding is not a final tax; the landlord is entitled to claim the deducted WHT as a credit against their total annual income tax liability[18].
To account for the cost of maintaining physical real estate, resident individuals are entitled to a statutory "Rent Relief" deduction equivalent to 25% of the gross rental income for the year of assessment, effectively reducing their net taxable rental exposure[11]. Conversely, rent payments made to non-resident persons are subject to a flat 14% withholding tax, which represents a final tax at source unless modified by a bilateral tax treaty[11].
Exemptions from rent withholding tax are limited to historical housing development incentives[34]. Specifically, rental income accruing to the owner of a residential house constructed on or after April 1, 2008, is fully exempt from income tax, provided the total floor area does not exceed 500 square feet[34]. This exemption is valid for the year in which construction was completed and for the next four years of assessment[34].

Professional Service Fees

A mandatory 5% withholding tax is applied to service fee payments made to resident individuals who are not employees of the payer, provided that the aggregate monthly payments from a single payer exceed LKR 100,000[3]. Similar to other threshold-based withholding categories, once the LKR 100,000 monthly limit is crossed, the 5% tax must be deducted from the full gross amount of the payment, rather than only on the excess[7].
Under the Inland Revenue (Amendment) Act No. 2 of 2025 and subsequent proposals, the scope of independent service providers subject to this 5% withholding has been expanded[5]. Historically restricted to primary professions such as lecturing, teaching, doctoring, and legal consultation, the amended framework, effective June 3, 2026, encompasses a broad array of vocations to prevent tax avoidance in the service sector[3].

Service Category	Historical Coverage (Prior to 2026)	Expanded Professional Scope (Effective June 3, 2026)
Education & Training	Lecturers, Teachers, Invigilators, Supervisors	Coaches, Personal Trainers, Modellers
Corporate & Professional	Doctors, Lawyers, Engineers, Management Consultants	Auditors, Valuers, Social Media Specialists, Brand Ambassadors
Creative & Entertainment	Fine Artists, Designers	Actors, Dancers, Singers, Musicians, Photographers, Videographers, Event Organizers
Wellness & Technical	Healthcare Consultants	Therapists, Counsellors, Beauticians, Cooks, Electricians
Specialized Professions	IT Professionals, Software Developers	Dentists, Veterinarians, Sports Persons

This 5% service withholding is treated as a creditable tax, allowing independent professionals to claim the deducted amounts against their final individual income tax liability when filing their annual returns[18].

Contract Payments

Contract and sub-contractor payments made by corporate entities, partnerships, and cooperative societies are subject to a 5% withholding tax rate[18]. This deduction is creditable against the payee's final tax liability, and the withholding agent must issue a monthly WHT certificate within 30 days of the end of the calendar month in which the deduction was made[7].
The execution of contract payments is subject to strict rules on cash transactions, which were introduced to bring transparency to commercial transactions and curb the informal economy[25]. Under Section 26 of the Inland Revenue Act, any payment or series of connected payments relating to a single event or transaction that totals LKR 500,000 or more in a single day cannot be paid in cash[5].
To qualify as an allowable business expense or to be included in the cost base of an asset for depreciation purposes, the payer must utilize traceable banking methods[5]. Acceptable methods include "Account Payee Only" checks, credit or debit cards, bank drafts, direct online

bank transfers, or direct cash deposits into the recipient's bank account, with the latter option legally permitted effective May 8, 2023[5]. This cash restriction does not apply when making payments directly to government departments, municipal bodies, or commercial banks[5].

Commission Payments

Commission and brokerage payments made to a resident insurance, sales, or canvassing agent are subject to a 5% withholding tax rate, provided that the aggregate monthly payments exceed LKR 100,000[7]. Once this threshold is crossed, the withholding agent must deduct the 5% tax from the total gross amount paid[7]. This withholding is a creditable tax, and agents can offset the deductions against their final tax liability[11].

This category has significant compliance implications for the cooperative sector, which operates major insurance networks across rural communities[10]. For instance, Co-operative Insurance Company PLC utilizes a large network of local agents to distribute insurance products[39]. These cooperative insurers must maintain strict compliance controls to ensure that all commissions paid to agents are monitored cumulative-to-month, and that the 5% withholding is deducted and remitted to the Inland Revenue Department by the 15th day of the following month[7].

Non-Resident Payments

Outbound payments to non-resident persons are subject to strict withholding tax rates, which represent a final tax at source unless a lower treaty rate is available under a double taxation agreement[7]. Sri Lanka has DTAs with 44 countries and is actively expanding this network to prioritize jurisdictions with high investment potential[40].

Outbound Payment Category to Non-Resident	Standard Domestic WHT Rate (%)	Key Conditions and Treaty Applications
Land, Sea, Air Transport, or Telecom	2%	Governed by Section 85(2) and Gazette Extraordinary No. 2064/51[7].
Dividend Payments	15%	Standard rate; often reduced under DTAAs[11].
Rent Payments	14%	Applies to outbound real estate or physical asset leasing[11].
Royalties & Natural	14%	Defined under Section 195; typically capped at 10%

Resource Payments		under DTAs[7].
Service Fees & Insurance Premiums	14%	Subject to standard WHT; requires formal IRD tax clearance[7].
SLAF Aircraft & Software Services	0% (Exempt)	New exemption proposed for payments by the Sri Lanka Air Force[5].

To access concessionary WHT rates under an active DTAA, the non-resident recipient must obtain a formal Tax Clearance Certificate from the Commissioner General of Inland Revenue[7]. When a contract or invoice stipulates that the non-resident must receive the full invoice amount without deductions, the transaction must be "grossed up"[7]. In these cases, the domestic payer must calculate the tax liability based on the grossed-up value and remit the corresponding WHT directly to the state, treating the tax as a non-deductible corporate expense[7].

Strategic Reforms and Institutional Developments

Abolition of the Simplified VAT (SVAT) Scheme and the Risk-Based Refund Model

Effective October 1, 2025, the government has abolished the Simplified Value Added Tax (SVAT) scheme[41]. Originally designed to ease cash flow constraints for exporters by allowing VAT-free local purchases, the SVAT system was prone to administrative inefficiencies[41]. It has been replaced by a risk-based refund system, requiring businesses to pay VAT on both imports and local transactions upfront[42]. Eligible exporters and registered entities can subsequently apply for refunds of excess input tax, with the VAT Refund Fund allocation increased from 6% to 10% to facilitate prompt payments[42].

Following the removal of SVAT, the taxable period is set at one month for refund-eligible entities and three months for standard VAT-registered persons[41]. This shift significantly impacts cooperative agricultural and textile export networks, which must now allocate more working capital to cover upfront VAT outlays[8].

Restructuring of the Unit Trust and Mutual Fund Tax Framework

Effective April 1, 2025, the pass-through tax treatment for unit trusts and mutual funds is subject to strict reporting timelines[3]. These funds must issue a comprehensive tax certificate to every unit holder within five months of the end of the year of assessment—specifically on or before August 31[3]. This certificate must detail the holder's share of income, exempt amounts, and any withheld taxes[3].

If the fund fails to issue this certificate by the deadline, it loses its pass-through status and is treated as a standard company for tax purposes[3]. In such cases, the fund must pay corporate income tax at the standard rate of 30% on or before September 30, and the unit holders are relieved of any tax liability on their distributions[3].

Removal of the Statement of Estimated Tax (SET) Filing Requirement

To simplify tax administration, the requirement to file a Statement of Estimated Tax (SET) has been discontinued starting in the Year of Assessment 2025/2026 for individuals, and is proposed to be eliminated for all corporate taxpayers from the Year of Assessment 2026/2027 (effective April 1, 2026)[3]. Under this revised framework, taxpayers are no longer required to submit an estimated tax form alongside their first quarterly installment[5].
Instead, quarterly installments are calculated based on the tax liability of the immediately preceding year of assessment[3]. However, if a taxpayer had no taxable income in the previous year or anticipates a lower tax liability in the current year, they may calculate their installments using an estimate for the current year[5].

Global Perspective: Comparative Cooperative Tax and Withholding Frameworks

The integration of cooperative societies into a country's withholding tax net is a common challenge across developing economies[14]. Different jurisdictions employ varying strategies to balance revenue mobilization with the preservation of cooperative capital[43].

Country	Corporate Tax Treatment of Cooperatives	Withholding Tax (WHT) on Member Distributions	Key Statutory Exemption Frameworks
Sri Lanka	Standard corporate tax of 30% on net profits[11].	15% on dividends[11]; 10% AIT on interest payments[4].	Complete AIT exemption on interest paid *to* cooperatives[16]; low-income member self-declarations[30].
Indonesia	Multi-tiered corporate tax up to 25% based on gross turnover[14].	Flat final tax of 10% on interest paid to cooperative members[14].	Final CIT concession of 0.5% of turnover for cooperatives with gross revenues under IDR 4.8 billion[14].

Philippines	Complete income tax and VAT exemption for cooperatives transacting solely with members[43].	Exempt from withholding on interest and dividends distributed to members[43].	Governed by RA 9520; cooperatives must secure a valid Certificate of Tax Exemption from the BIR[43].
Kenya	Proposed agricultural withholding tax of 5% or less on produce[44].	Imposed on agricultural produce delivered to cooperatives[44].	Subject to ongoing policy debate due to the regressive impact on low-income rural households[44].

Financial Control and Audit Imperatives

The transition to a highly automated and strictly enforced tax regime requires cooperative societies and corporate entities in Sri Lanka to implement robust financial controls[10]. Managing multiple tax tables (such as Tables 01, 02, 04, and 06 for employment income), managing the AIT self-declaration database, and adhering to strict limits on cash transactions require a systematic overhaul of accounting practices[6].

To maintain compliance and mitigate the risk of severe statutory penalties, several operational measures are recommended:

- **Automation of Payroll Systems**: Organizations must deploy automated payroll systems configured to handle complex tax calculations[6]. These systems must automatically apply Table 01 formulas for regular salaries, use Table 02 formulas for lump-sum distributions, and calculate grossed-up tax-on-tax liabilities under Table 06 when the employer bears the tax burden[6].
- **Verification of Depositor Self-Declarations**: Cooperative rural banks and credit societies must verify that every "Declaration of Non-Taxable Status" submitted by a depositor includes a valid Taxpayer Identification Number[30]. If a depositor does not provide a TIN, the cooperative must withhold the mandatory 10% AIT at source to avoid being held liable for unremitted taxes during subsequent state audits[5].
- **Strict Monitoring of Contractual and Professional Payments**: Accounting divisions must monitor all payments to independent service providers and sub-contractors[7]. For professional services subject to the expanded list effective June 3, 2026, systems must track payments on a cumulative-to-month basis to ensure the 5% WHT is deducted from the first rupee once the LKR 100,000 threshold is met[3].
- **Strict Adherence to Cash Transaction Limits**: Entities must strictly ban the use of raw cash for payments of LKR 500,000 or more in a single day for any transaction or event[25]. All such payments must be processed via traceable methods, such as bank transfers, checks, or direct deposits into the payee's bank account, to preserve their eligibility as

deductible business expenses[5].

- **Regular Reconciliation and Timely Remittance**: All taxes withheld must be reconciled and remitted to the Inland Revenue Department by the 15th day of the following calendar month, utilizing the correct tax period codes[6]. Additionally, withholding agents must issue WHT certificates to payees free of charge [cite: 1, 3, 10.5]. Non-compliance with the procedures specified by the Commissioner General carries an annual administrative penalty of up to LKR 200,000 per year of assessment[5].

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Sri Lanka Value Added Tax Framework in the Cooperative and General Economic Sectors: 2025–2026 Legislative and Structural Review

Historic and Regulatory Context of Cooperative Taxation

Cooperative societies in Sri Lanka represent a foundational economic sector with a legislative history spanning over a century, beginning with the registration of the Dumbara Cooperative Credit Society in 1906 and the formal enactment of the Cooperative Credit Societies Ordinance of 1911[1]. The sector was subsequently decentralized under the 13th Amendment to the Constitution, which devolved cooperative development to the Provincial Councils, allowing for the parallel existence of national-level institutions and localized societies[1]. To support their social mission of rural upliftment, poverty alleviation, and community-focused capacity building, successive governments historically granted extensive tax concessions to cooperatives[1].

Under direct tax legislation, registered cooperative societies enjoy a highly protected status[1]. Profits and income of cooperative societies registered under the Co-operative Societies Law No. 5 of 1972, or under respective Provincial Council cooperative statutes, are explicitly exempt from corporate income tax, including interest and dividend distributions[4]. This direct tax relief is reinforced by the Economic Service Charge (ESC) Act No. 13 of 2006, which exempts registered cooperative societies from ESC liabilities on their turnover[5].

In contrast, the indirect tax treatment of cooperatives has evolved from absolute exemption to systematic integration into the national Value Added Tax (VAT) framework[1]. This policy shift was formally initiated under the Value Added Tax (Amendment) Act of 2016, which repealed the blanket VAT exemption previously granted on the import or supply of goods and services by any cooperative society or the state-affiliated retail network Lanka Sathosa[7]. The repeal sought to broaden the domestic consumption tax base and eliminate competitive imbalances between public-sector cooperative retail outlets and private-sector commercial enterprises[1].

Under the consolidated Value Added Tax Act No. 14 of 2002, cooperative societies engaged in standard commercial activities are fully subject to standard VAT on their supplies[9]. However, in the financial services sector, cooperative credit networks maintain a strict statutory exemption from Chapter IIIA financial VAT to insulate grassroots micro-finance from corporate tax burdens[11]. This dual-track framework reflects the delicate balance in Sri Lanka's post-crisis fiscal consolidation between standardizing commercial taxation and protecting vulnerable cooperative networks[13].

VAT Registration Thresholds and Cooperative Requirements

The mandatory registration thresholds for Value Added Tax and the Social Security Contribution Levy (SSCL) in Sri Lanka underwent significant legislative volatility during 2025 and 2026[13]. Following the economic crisis of 2022, which led to the country's first sovereign debt default, the government implemented a phased consolidation program to reverse the narrow tax base created by the sweeping tax cuts of 2020[13]. The pre-2020 annual threshold of LKR 12 million had been inflated to LKR 300 million in 2020, decimating the VAT base and causing an estimated loss of LKR 5 billion in annual revenue[17]. This threshold was subsequently reduced in stages to LKR 80 million and then to LKR 60 million per annum[9].

The National Budget for 2026 proposed a further reduction of the mandatory registration threshold for both VAT and SSCL from LKR 60 million to LKR 36 million per annum, initially scheduled to take effect on April 1, 2026[16]. This reform was formally incorporated into the Value Added Tax (Amendment) Bill gazetted on April 29, 2026, which adjusted the effective date to July 1, 2026, and established a corresponding quarterly threshold of LKR 9 million[20]. The policy aimed to bring thousands of medium-sized enterprises and localized manufacturers into the tax net to boost the tax-to-GDP ratio from 14.8% in 2025 to 15.4% in 2026[16].

However, on June 23, 2026, the government executed a major policy reversal in Parliament, announcing that the threshold reduction to LKR 36 million would be shelved indefinitely[25]. This decision was finalized after extensive reviews by the Committee on Public Finance (COPF) and discussions with the Cabinet of Ministers[25]. The reversal was driven by two primary factors: the lack of administrative readiness within the Inland Revenue Department (IRD) to process and monitor thousands of newly registered small businesses, and the adverse economic impact of Cyclone Ditwah and Middle Eastern geopolitical tensions on the fragile recovery of the small and medium enterprise (SME) sector[15]. Consequently, the mandatory registration threshold remains at the pre-existing limit of LKR 60 million per annum, though voluntary registration remains available for businesses below this limit[25].

Registration Parameter	Statutory Limit (2025–2026)	Proposed Reform (Withdrawn June 2026)
Annual Taxable Turnover Threshold	LKR 60 Million[9]	LKR 36 Million[21]
Quarterly Taxable Turnover Threshold	LKR 15 Million[9]	LKR 9 Million[21]
Voluntary Registration	Available (No threshold	Available (No threshold

Option	limitation)[9]	limitation)[28]
Mandatory Registration Filing Window	Within 15 days of exceeding threshold[9]	Within 15 days of exceeding threshold
Applicable Registration Tax Form	Form TPR_005_E (Tax Type Registration)[9]	Form TPR_005_E (Tax Type Registration)

For cooperative societies carrying on standard commercial activities—such as Multi-Purpose Cooperative Societies (MPCS) operating retail networks—the LKR 60 million mandatory threshold applies to their aggregate taxable supplies[1]. To complete mandatory or voluntary VAT registration, cooperatives must submit Form TPR_005_E to the IRD[9]. This application must be accompanied by the cooperative's Certificate of Registration issued by the Cooperative Development Authority or relevant Provincial Ministry, the cooperative's constitution, the formal list of the Board of Directors, their National Identity Card (NIC) copies, and a validated Taxpayer Identification Number (TIN) certificate[9].

Taxable and Exempt Supplies under Cooperative Operations

The scope of taxable and exempt supplies underwent major legislative adjustments between 2024 and 2026 to systematically broaden the consumption tax base[13]. Beginning January 1, 2024, the standard VAT rate was increased to its historical high of 18%, and approximately 95 out of 138 previously exempt items were brought into the taxable net[13].

Key Categories of Taxable and Exempt Supplies

Supply Category	VAT Rate	Eligible Items and Legislative Reference
Standard Rated Supplies	18%	Fuel, cooking gas, chemical fertilizer, cellular mobile phones, commercial vehicles, and agricultural machinery[32]. Imported fabric, coconut oil, and palm oil (effective April 1, 2026)[18]. Non-resident digital services (effective July 1, 2026)[20].

Zero-Rated Supplies	0%	Export of physical goods and international transport services[18]. Registered garment buying office services paid in foreign currency[20]. Employer-provided subsidized meals and work-place transport[38].
Standard Exempt Supplies	Exempt	Primary education, public library services, and public passenger transport[7]. Life and health insurance, currency exchange, and savings/current account operations[7]. Telecommunications license fees[7].
Targeted Agri-Cooperative Exemptions	Exempt	Unprocessed agricultural, horticultural, and fishing products[7]. Locally produced fresh liquid milk and yogurt made from fresh local milk[38].
Exempt Financial Services	Exempt	Supply of financial services by cooperative societies registered under the Co-operative Societies Law No. 5 of 1972[11].
Exempt Digital Platform Services	Exempt	Virtual classrooms, online degree courses, telemedicine, digital prescriptions, and AI-assisted diagnostics supplied by non-resident providers[20].

Under this categorized framework, agricultural cooperatives engaged in the supply of unprocessed agricultural commodities (such as paddy, seed paddy, raw rice, green tea leaf, and unprocessed spices) remain exempt from VAT under the First Schedule[38]. However, if the cooperative processes these commodities into secondary value-added products, the supply becomes taxable at the standard 18% rate[23].

The transition of imported fabric, coconut oil, and palm oil into the standard VAT net on April 1, 2026, significantly impacted cooperative distribution networks[18]. Previously, these essential items were governed by fixed per-kilogram Special Commodity Levies or CESS tariffs at importation, which bypassed the local VAT structure[18]. Shifting these products to the standard 18% VAT rate equalized the tax treatment of imported and locally manufactured items[18]. However, this shift increased initial retail acquisition costs, directly impacting cooperative supermarkets and Lanka Sathosa outlets that distribute these staples to low-income and vulnerable consumer groups[1].

Input VAT Recovery and Transitional Credit Mechanisms

The statutory framework governing input VAT recovery is a critical operational determinant for commercial cooperatives[23]. Registered cooperatives can fully recover the input VAT paid on raw materials, packaging, utilities, and eligible capital acquisitions, offset against their output VAT liabilities[23]. Unregistered cooperatives must treat all input VAT paid to suppliers as a non-recoverable addition to their cost of production, which erodes operating margins or artificially inflates retail prices[23].

Registered persons must adhere to strict statutory timelines to claim input tax credits[46]. Input VAT incurred on local purchases must be claimed within 12 months from the date of the tax invoice, provided the corresponding monthly or quarterly VAT return is filed within that period[46]. For imported goods, the input VAT must be claimed within 24 months from the date of the Customs Declaration[46].

SVAT Abolition and the Risk-Based Refund Scheme

The domestic input VAT recovery landscape underwent its most dramatic transition on October 1, 2025, with the absolute abolition of the Simplified Value Added Tax (SVAT) scheme[16]. Under the SVAT system, exporters and designated strategic projects were allowed to issue voucher-based credit symbols rather than paying cash VAT on their domestic purchases, protecting them from cash-flow friction[47].

The abolition of SVAT reinstated the traditional "pay-and-refund" mechanism, requiring exporters and suppliers to pay the full 18% VAT in cash to domestic vendors[47]. This transition triggered a severe liquidity crunch, leading the Free Trade Zone Manufacturers' Association (FTZMA), the National Chamber of Commerce of Sri Lanka (NCCSL), and the Chamber of Small and Medium Industries to file a joint writ application in the Court of Appeal challenging the policy change due to the lack of an operational refund alternative[49].

To address these concerns, the IRD introduced the Risk-Based Refund Scheme (RBRS) on October 1, 2025[38]. The RBRS evaluates and categorizes taxpayers into three risk levels based on their historical compliance behavior, timely registrations, accurate reporting, and prompt payments[48]. This categorization determines the speed and verification requirements of the refund process[48].

Risk Category	Verification Rule	Refund Processing Timeframe
Low Risk	Refunds issued without prior verification; subject to retrospective post-refund audit[48].	Processed within 45 days from return submission[50].
Medium Risk	Refunds issued without prior verification; subject to structured post-refund validation[48].	Processed within 45 days from return submission[50].
High Risk	Refunds released strictly after exhaustive pre-verification audits of physical documents[48].	Processed within 45 days of satisfying all audit queries[48].

To qualify for refunds under the RBRS, direct exporters must show that their export value exceeded 50% of their total supplies in the preceding calendar year[51]. Strategic projects must be approved under Section 22(7) of the VAT Act, and suppliers to these projects must demonstrate that such sales constitute more than 50% of their total annual turnover[51].

Transitional Deemed Input Tax on Opening Stock

To prevent double taxation and ease the transition for newly registered entities—particularly those affected by threshold reductions or general business growth—the VAT Amendment Bill introduced a transitional relief mechanism under Section 22(15)[21]. Registered persons engaged in the wholesale or retail trade who register for VAT on or after April 1, 2026, are permitted to claim a "deemed input tax" credit on eligible, unsold commercial stock held on the exact date their registration becomes active[20].

This deemed credit is subject to strict statutory limitations:

- It applies only to stock that is not specified in the First Schedule (exempt goods are strictly excluded)[20].
- The credit must be calculated based on the standard VAT rate in force at the actual time the stock was acquired by the business[20].
- The registrant must compile and maintain an exhaustive inventory of unsold stock in the format prescribed by the Commissioner General[20].
- This detailed stock inventory must be submitted to the IRD alongside the registrant's first

formal VAT return to allow the credit to be verified and adjusted against output liabilities[20].

Output VAT Calculation and Compliance Integration

Output VAT is the tax charged and collected by a registered cooperative or commercial business on its taxable supplies of goods and services[9]. The tax is calculated on the value of the supply at the point of sale[9].

Under standard calculation rules, if a registered business fails to explicitly state the VAT portion on its invoices or receipts, the consideration received is legally deemed to be VAT-inclusive[54]. The actual value of the supply and the corresponding output tax must be mathematically extracted using the statutory tax fraction[54]:

$$\text{Value of Supply} = \text{ Total Consideration} \times \left(1 - \frac{R}{100 + R}\right)$$

$$\text{Output VAT} = \text{ Total Consideration} \times \left(\frac{R}{100 + R}\right)$$

Where R represents the standard VAT rate of 18%[9].

Technological Compliance Integration

To prevent transaction underreporting, tax evasion, and artificial business splitting, the 2026 Budget framework introduced mandatory real-time transactional technology[15]. All VAT-registered businesses must adopt secured Point-of-Sale (POS) machines approved by the CGIR[21]. These approved systems must record all transactions in real time, generate standardized tax invoices, and transmit transaction data directly to the IRD's RAMIS database[16].

Failure to adopt these secured POS systems, or the issuance of non-compliant invoices, triggers severe statutory penalties[20]. Under the enhanced penalty framework effective from October 1, 2025, the maximum fine for failing to issue a valid tax invoice or schedule under Section 21 was increased from LKR 25,000 to LKR 1 million[20]. Continued non-compliance or fraudulent refund claims under Section 66 carry a maximum fine of LKR 1 million, criminal imprisonment for up to six months, or both[20].

VAT Return Filing and Administrative Mandates

The administrative mandates for filing VAT returns have been digitized to improve transparency, expedite data processing, and support risk-based tax audits[16]. Under the Value Added Tax

(Amendment) Act No. 4 of 2025, manual filing was abolished for standard taxable periods commencing on or after July 1, 2025[38]. All registered persons must file their VAT returns electronically using the IRD's online e-Services portal[16].

Filing and Payment Deadlines

Standard VAT registrants must adhere to distinct timelines for tax payments and return submissions to avoid automatic penalties[36].

- **VAT Payments**: Total output VAT collected, net of eligible input tax deductions, must be remitted to the Commissioner General of Inland Revenue on or before the 20th day of the month immediately following the end of the taxable period[36]. This applies to both monthly and quarterly registrants[36]. Payments must be made via direct electronic transfer or through approved bank drafts, with check payments considered late if not cleared by the due date[36].
- **VAT Returns**: The complete electronic return, incorporating all transaction details, must be submitted via the RAMIS portal on or before the last day of the month following the end of the taxable period[36]. For example, the return for the monthly period of October must be filed on or before November 30[46].
- **Progressive Schedules**: To reduce the compliance bottleneck at the end of each taxable period, the Value Added Tax (Amendment) Bill of 2026 introduced an administrative facility under Section 21[21]. Registrants are permitted to submit their transaction schedules progressively from the start of the taxable period rather than waiting for the end of the period[21].

Deemed Non-Submission and Correction Window

Under Section 21(1A), the mere filing of a return form does not satisfy a registrant's legal obligations[58]. If the electronic return is submitted without the complete required schedules, or if the schedules contain formatting or calculation errors, the return is legally treated as a "deemed non-submission"[54]. This status immediately exposes the registrant to late-filing penalties[46]. Upon identifying an incomplete or invalid return, the Assistant Commissioner of the IRD issues a formal "Notice 2" to the taxpayer[51]. The registrant has exactly 14 days from the date of receiving this notice to submit a proper, corrected return containing all valid schedules[54]. If completed within this 14-day correction window, the return is treated as compliant from its original filing date[54]. However, for taxpayers claiming refunds under the Risk-Based Refund Scheme, the statutory 45-day processing window is paused and will only resume from the date the taxpayer fully complies with the corrections requested in Notice 2[51].

Comparative Analysis of Cooperative Financial Services and Public Banking Entities

Under Chapter IIIA of the VAT Act, Sri Lanka imposes a specialized VAT on the supply of financial services[10]. This financial VAT is calculated using the subtraction method, which taxes the aggregate of the institution's net accounting profits and employee emoluments, rather than

applying the standard input-output transaction credit mechanism[11].
Registered cooperative societies—such as Co-operative Rural Banks (CRB) and credit unions registered under Co-operative Societies Law No. 5 of 1972—are explicitly excluded from this tax[11]. This statutory exclusion protects grassroots rural finance, ensuring that small-scale agricultural loans and micro-savings remain insulated from commercial financial taxes[3].
However, this exclusion does not apply to commercial banking or financial institutions that have corporate cooperative origins but operate as public limited liability companies under the Banking Act[3]. For example, SANASA Development Bank PLC (SDB Bank) is a commercial specialized bank registered under the Banking Act No. 30 of 1988[3]. Despite its cooperative heritage and focus on rural agricultural value chains, SDB Bank is fully subject to standard financial VAT[3].
Effective July 1, 2026, the VAT rate on financial services was increased from 18% to 20.5%[20]. This rate adjustment was designed to be revenue-neutral, directly offsetting the concurrent abolition of the 2.5% Social Security Contribution Levy (SSCL) previously charged on the financial sector[3]. SDB Bank must calculate its financial VAT base using the standard addition methodology required by the IRD[3].

$$\text{Total Value Addition} = \mathrm{NP} + \mathrm{EM} + \mathrm{VAT}_{\mathrm{FS}} - \mathrm{ED}$$

Where:

- NP is the net accounting profit or loss before income tax[59].
- EM represents gross employee emoluments[52].
- $\mathrm{VAT}_{\mathrm{FS}}$ is the actual financial VAT liability for the period[59].
- ED is the economic depreciation calculated using straight-line rates specified by the CGIR[59].

Under standard IRD directives, employee emoluments (EM) include both cash salaries and non-cash fringe benefits[60]. This includes the amortization of staff interest (the difference between market interest rates and concessionary interest rates on loans granted to bank staff)[60]. This treatment of non-cash benefits as part of the taxable value addition base has been upheld in landmark tax appeals involving public and commercial banks[60].

Financial Parameter	**Exempt Cooperative Finance (e.g., CRB)**	**Taxable Public Bank (e.g., SDB Bank)**
Primary Legislation	Co-operative Societies Law No. 5 of 1972[11]	Banking Act No. 30 of 1988[3]

Financial VAT Rate (2026)	0% (Explicitly excluded under Section 25A)[11]	20.5% (Effective July 1, 2026)[21]
SSCL Rate (Post-July 2026)	0% (Excluded)[6]	0% (Abolished for financial sector)[52]
Add-back of Emoluments	Not applicable	Mandatory (Includes staff loan interest differences)[59]
Economic Depreciation	Not applicable	Deductible under CGIR-specified straight-line rates[59]
Primary Financial Focus	Localized member savings and micro-credit[3]	Commercial SME, agri-value chains, public deposits[3]

Structural Transitions and Actionable Recommendations

The value-added tax landscape in Sri Lanka for 2025 and 2026 reflects a transition toward a modernized, high-yield indirect tax framework, balanced against the political and social realities of a recovering post-crisis economy[13]. The systematic broadening of the tax base—executed by raising the standard rate to 18%, taxing the cross-border digital economy, and moving imports like fabrics and edible oils from localized tariffs to standard VAT—has significantly improved state revenues to meet international fiscal targets[18].

For the cooperative sector, this updated tax regime presents both administrative challenges and strategic opportunities[1]. While general cooperative retail and agricultural trading operations are fully integrated into the standard commercial VAT net, cooperative financial networks retain a key competitive advantage through their explicit exclusion from the 20.5% VAT on financial services[11]. This exclusion preserves the liquidity of grassroots lenders and credit unions, ensuring they can continue to deliver affordable micro-financing to rural communities without absorbing high tax overheads[3].

Nationally, the sudden withdrawal of the proposed LKR 36 million registration threshold in June 2026 highlights the persistent tension between theoretical tax broadening and practical administrative readiness[15]. While the retention of the LKR 60 million threshold shields micro and small enterprises from a compliance burden, it delays the full formalization of the retail economy[15].

Concurrently, the abolition of the SVAT voucher system and its replacement with the automated Risk-Based Refund Scheme (RBRS) shifts the burden of tax administration[47]. While the RBRS incentivizes tax compliance through expedited 45-day refunds for low-risk exporters, it places

intense initial cash-flow pressure on export supply chains[47].
As Sri Lanka continues to integrate real-time electronic compliance tools—such as CGIR-approved secured POS systems and API-linked e-invoicing—businesses and cooperatives must transition from manual record-keeping to professional, digitized accounting architectures[16]. In the long term, adapting to these structured systems will reduce compliance risks and prevent tax cascading, positioning cooperative enterprises and the broader private sector to achieve sustainable, non-inflationary growth[16].

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Structural Analysis of Employment Taxation and Compliance under the Sri Lankan Cooperative Framework (2025 and 2026)

The dual regulatory framework governing cooperative societies in Sri Lanka presents a unique operational paradigm where corporate-level tax concessions coexist with individual-level withholding requirements[1]. Under the Inland Revenue Act, No. 24 of 2017, and its subsequent amendments, registered cooperative societies enjoy substantial corporate income tax exemptions[1]. However, this institutional status does not relieve them of their fiduciary obligations as employers to compute, withhold, and remit Advance Personal Income Tax (APIT)—formerly designated as Pay-As-You-Earn (PAYE) tax—from their employees[2]. This report analyzes the legal foundations of cooperative employment tax, the restructuring of tax slabs under the Inland Revenue (Amendment) Act, No. 02 of 2025, and the procedural and calculation changes enacted through the Inland Revenue (Amendment) Act, No. 11 of 2026[2].

Cooperative Institutional Exemptions versus Employee Tax Liability

The historical and legal origin of cooperative tax concessions in Sri Lanka is rooted in the state's policy of promoting community-based economic models, formalised under the Co-operative Societies Law, No. 5 of 1972, and expanded through provincial cooperative statutes[1].
To understand how cooperative tax operates, a clear distinction must be made between institutional tax liabilities and individual employee liabilities:

Fiscal Dimension	Corporate Cooperative Entity	Cooperative Employee
Legal Basis	Section 7(h) of the Inland Revenue Act, No. 24 of 2017[1]	Sections 5 and 83A of the Inland Revenue Act[2]
Tax Exemption Status	Fully exempt from corporate income tax on trade, business, interest, and dividend income[1]	Subject to progressive personal income tax (APIT) on all gains from employment[2]

Regulatory Authorities	Registrar of Co-operative Societies & Department of Co-operative Development[7]	Inland Revenue Department & Co-operative Employees Commission[2]
Withholding Duty	Must act as a withholding agent for the state, deducting APIT at source[2]	Beneficiary of tax credits through standard T10 deduction certificates[10]

While the cooperative enterprise itself is exempt from direct income taxation to support market stabilization and food security initiatives, its employees remain subject to the national individual tax regime[2]. Gains and profits derived from cooperative employment are treated as taxable income, requiring cooperative administrations to act as withholding agents under the Advance Personal Income Tax framework[2].

Employee Income: Statutory Inclusions and Exclusions

Under Section 5 of the Inland Revenue Act, taxable employment income is defined broadly to capture any monetary or non-monetary value derived in connection with an employment contract[2]. For cooperative organizations, payroll departments must assess various compensation elements to ensure compliance with Inland Revenue Department (IRD) guidelines[2].

Cash and Non-Cash Inclusions

All direct cash emoluments—including basic salaries, wages, overtime payments, leave encashment, commissions, performance-based bonuses, and cost-of-living adjustments—form the core of taxable employment income[2].
Furthermore, historical cooperative-specific allowances, such as the LKR 1,000 monthly allowance and subsequent LKR 5,000 interim relief measures mandated to support cooperative workers, are fully taxable and must be aggregated into the gross salary base[14].
Non-cash benefits, or perquisites, are also subject to valuation and taxation under IRD Circular No. SEC/2022/E/05[2]:

- **Accommodation Benefits:** If a cooperative society provides a rent-free residence, the benefit is quantified as a percentage of the employee's monthly basic salary, varying by the category of housing provided[19].
- **Conveyance Benefits:** The private use of any motor vehicle provided by the cooperative, or any cash allowance paid in lieu of vehicle provision, must be valued using standard IRD rate tables[20].
- **Concessionary Loans:** Subsidized or interest-free loans provided to employees represent a taxable benefit, unless the loan is provided from funds that were not specifically borrowed by the employer for that purpose[20].

Statutory Exclusions

Specific items are excluded from an employee's taxable income base[2]. These include the reimbursement of actual expenses incurred on behalf of the cooperative, non-discriminatory health insurance benefits offered to all full-time employees on equal terms, and de minimis benefits that are administratively difficult to track[2].

Employer contributions to approved superannuation schemes, such as the Employees' Provident Fund (EPF) and the Employees' Trust Fund (ETF), are also excluded from the monthly taxable income calculation[2].

APIT Tax Slabs, Progressive Brackets, and Deductive Formulas

The Inland Revenue (Amendment) Act, No. 02 of 2025 restructured individual tax brackets to provide relief to low- and middle-income earners while retaining higher marginal tax rates for larger income bands[24].

Effective April 1, 2025, the annual personal relief (tax-free threshold) was increased to LKR 1,800,000, which corresponds to a monthly tax-free allowance of LKR 150,000[24]. Additionally, the 12% progressive tax slab was eliminated, leaving five progressive taxable brackets starting at 6% and rising to 36%[24].

[redacted]

To simplify payroll processing, the IRD provides standard algebraic formulas and deduction constants for each taxable monthly bracket[5]. These allow payroll officers to compute tax liabilities directly from monthly taxable profits[15].

Monthly Taxable Income Bracket (LKR)	Progressive Tax Rate	Standard Monthly APIT Mathematical Formula
0 to 150,000	0%	Nil (Exempt from withholding)[4]

150,010 to 233,333	6%	(Monthly Taxable Incor [cite: 4, 5, 21]
233,334 to 275,000	18%	(Monthly Taxable Incor [cite: 4, 5, 21]
275,001 to 316,667	24%	(Monthly Taxable Incor [cite: 4, 5, 21]
316,668 to 358,333	30%	(Monthly Taxable Incor [cite: 4, 5, 21]
Exceeding 358,333	36%	(Monthly Taxable Incor [cite: 4, 5, 21]

Operational Application of the Eight Statutory APIT Tables

To accommodate different employment types and payment structures, the IRD has structured the APIT system into eight specialized tax tables[2]. Employers must apply the correct table to ensure accurate withholding and avoid penalties[4].

Tax Table Number	Targeted Remuneration Category	Key Operational Parameters
Table 01	Regular Monthly Salary Payments[4]	Applied to resident and citizen employees who have filed a primary declaration[2]. Includes a LKR 150,000 monthly personal relief[21].
Table 02	Lump-Sum Payments[4]	Applied to bonuses, incentive payments, and commissions[5]. Computed using the Estimated Gross Aggregate Remuneration (EGAR) methodology[28].

Table 03	Terminal and Once-and-for-All Payouts[4]	Applied to retiring gratuities, approved provident fund withdrawals, and ETF payments[28]. Taxed at concessionary rates of 0%, 6%, and 12%[29].
Table 04	Non-Resident and Non-Citizen Employees[27]	Applied to foreign nationals working in Sri Lanka[4]. Taxed at progressive rates from 6% to 36% without the standard LKR 1,800,000 personal relief[2].
Table 05	Cumulative and Fluctuating Income[4]	Applied when monthly earnings fluctuate above and below LKR 150,000, or for employees starting or retiring mid-year[2]. Calculates cumulative annual balances[2].
Table 06	Tax-on-Tax and Net-of-Tax Arrangements[4]	Applied when the employer agrees to bear the employee's income tax liability[4]. Uses gross-up rates up to 56.25%[4].
Table 07	Secondary Employment Income[4]	Applied to employees holding multiple jobs or who have not filed a primary declaration[2]. Non-residents are taxed at a flat 36% rate[4].
Table 08	Foreign Employer Remuneration[27]	Applied when a resident employee is paid directly by an offshore entity that cannot deduct APIT[2]. The employee must remit the tax directly[31].

Tax-on-Tax (Table 06) and Secondary Employment (Table 07) Formulations

In some instances, cooperative societies may agree to pay their employees' tax liabilities directly to the IRD, or they may employ part-time staff who have primary employment elsewhere[2]. These scenarios require the application of specialized calculation methodologies[2].

Tax-on-Tax Gross-Up Calculations (Table 06)

When an employer bears the tax liability of an employee, the paid tax represents a taxable non-cash benefit that must be grossed up[4]. This calculation ensures the correct total tax is paid on the net remuneration[5]. Table 06 provides a grossed-up rate schedule to determine the employer's additional liability[4]:

Monthly Net Remuneration Range (LKR)	Progressive Grossed-Up Formula for Employer
0 to 150,000	Nil (Exempt from tax-on-tax liabilities)[5]
150,010 to 228,333	$(\text{Monthly Remuneration} \times \ 0.0638)$ - [cite: 5]
228,334 to 262,500	$(\text{Monthly Remuneration} \times \ 0.1364)$ - [cite: 5]
262,501 to 294,167	$(\text{Monthly Remuneration} \times \ 0.2195)$ - [cite: 5]
294,168 to 323,333	$(\text{Monthly Remuneration} \times \ 0.3158)$ - [cite: 5]
Exceeding 323,333	$(\text{Monthly Remuneration} \times \ 0.4286)$ - [cite: 5]

This mechanism ensures the progressive tax schedule is maintained, with effective tax-on-tax rates rising to a maximum of 56.25% for high-income brackets[4].

Secondary Employment Withholding (Table 07)

Under Table 07, the tax rate applied to secondary employment earnings is linked to the income range declared by the employee from their primary employment[32]. This prevents individuals with multiple income streams from underpaying tax through separate tax-free thresholds[32].

[redacted]

If an employee fails to submit a Secondary Employment Declaration (Form APIT/002/EST), the secondary employer is legally required to apply the maximum rate of 36% on all earnings from the first rupee[32].

Superannuation Integration and Monthly Calculations

For resident individuals, the calculation of monthly APIT is directly integrated with statutory superannuation deductions[24]. In Sri Lanka, the Employees' Provident Fund (EPF) and the Employees' Trust Fund (ETF) require monthly contributions from both employers and employees[15]:

- **Employee EPF Contribution:** 8% of the employee's gross monthly earnings, deducted from their salary[24].
- **Employer EPF Contribution:** 12% of the employee's gross monthly earnings, paid by the employer on top of the gross salary[24].
- **Employer ETF Contribution:** 3% of the employee's gross monthly earnings, paid by the employer on top of the gross salary[24].

The EPF Deduction Rule

When calculating monthly APIT, the employee's mandatory 8% EPF deduction is subtracted from their gross monthly earnings before applying the APIT tax tables[24]. This deduction reduces the employee's monthly taxable income base[35].
The employer's 12% EPF and 3% ETF contributions are paid directly to the Central Bank of Sri Lanka and the ETF Board, respectively[35]. These contributions are not deducted from the employee's salary and are not considered taxable income[24].

Mathematical Formulas for Monthly Payroll

Let G represent the gross monthly remuneration (inclusive of cash salary, taxable allowances, and quantified non-cash benefits)[5]. Let E_{EPF} represent the earnings eligible for EPF calculations[10].

The Employee’s EPF Deduction (D_{EPF}) is calculated as:

$$D_{EPF} = E_{EPF} \times 0.08$$

The Monthly Taxable Income (MTI) is defined as:

$$MTI = G - D_{EPF}$$

The Monthly APIT Withholding (T_{APIT}) under Table 01 is then determined by matching the MTI against the progressive monthly brackets[4]. For instance, if the MTI falls within the 18% progressive bracket (LKR 233,334 to LKR 275,000), the calculation is[4]:

$$T_{APIT} = (MTI \times 0.18) - 37,000$$

Walkthrough of Monthly Payroll Calculations

To illustrate the monthly calculation process, the table below provides a detailed walkthrough for three employees at different salary levels within a cooperative society, using the 2025/2026 and 2026/2027 tax brackets[12]:

Calculation Step	**Employee A (LKR)**	**Employee B (LKR)**	**Employee C (LKR)**
1. Gross Cash Salary (G)[12]	140,000.00	250,000.00	450,000.00
2. EPF-Eligible Earnings (E_{EPF})[35]	140,000.00	250,000.00	450,000.00
3. Employee EPF Deduction (8%) (D_{EPF})[24]	11,200.00	20,000.00	36,000.00
4. Monthly Taxable Income (MTI) ($G -$)[35]	128,800.00	230,000.00	414,000.00

5. Applicable APIT Bracket (Table 01)	Exempt (Under 150k)[5]	6% Bracket[5]	36% Bracket[5]
6. Raw APIT Calculation	$128,800 \times$	$230,000 \times$ [cite: 5, 21]	$414,000 \times$ [cite: 5, 21]
7. Subtract Bracket Constant	0.00	9,000.00[5]	94,000.00[5]
8. Net Monthly APIT Withheld (T_{APIT} **)**	**0.00**	**4,800.00**	**55,040.00**
9. Employee Net Take-Home Pay [cite: 12, 35]	**128,800.00**	**225,200.00**	**358,960.00**
10. Employer EPF Contribution (12%) [cite: 24, 35, 36]	16,800.00	30,000.00	54,000.00
11. Employer ETF Contribution (3%) [cite: 24, 35, 36]	4,200.00	7,500.00	13,500.00
12. Total Monthly Cost-to-Company [cite: 35, 36]	**161,000.00**	**287,500.00**	**517,500.00**

Employer Responsibilities and Filing Requirements

Cooperative societies, as employers, must adhere to strict administrative timelines and procedures mandated by the IRD and the Department of Labour to maintain compliance[2].

Primary Employment Declarations

Cooperative payroll offices must obtain a signed "Primary Employment Declaration" form from every employee whose monthly regular profits from employment exceed, or are expected to exceed, LKR 150,000[2]. This declaration authorizes the cooperative to apply Table 01 and grant the standard monthly tax-free relief of LKR 150,000[2].

An employee is legally permitted to designate only one primary employer at any given time[2]. If an employee has multiple jobs and fails to file this declaration with the cooperative, the cooperative must process their earnings as secondary employment under Table 07, which requires tax to be withheld at a flat rate of 36% on all earnings if no primary income range is declared[32].

Statutory Remittance Timelines

Employers face strict monthly deadlines for remitting withheld taxes and superannuation contributions[10]:

- **APIT Withholdings:** Deducted taxes must be remitted to the IRD on or before the 15th day of the following calendar month[4]. If the 15th falls on a weekend or public holiday, payment must be completed on the preceding working day[4]. All monthly payments must utilize the standard period code format ($YYMM0$), such as 25090 for September 2025[4].
- **EPF and ETF Contributions:** Both the employee-deducted EPF (8%) and employer-paid EPF (12%) and ETF (3%) must be remitted to the Central Bank of Sri Lanka and the ETF Board, respectively, on or before the last working day of the following month[35].

Annual Statement and Schedule Filing

Following the end of the fiscal year on March 31, cooperative employers are required to file an annual tax return[24]:

- **Electronic Filing Requirement:** Under the Inland Revenue (Amendment) Act, No. 04 of 2023, manual filing of APIT annual statements is no longer permitted[2]. All employers must submit their "Annual Statement of Employer - APIT" electronically through the IRD's e-services portal on or before April 30[39].
- **Mandatory CSV Schedules:** The annual statement must be accompanied by three verified schedules in CSV format[39]:
  - *Schedule 01:* A detailed list of all employees from whom APIT was deducted, including cash and non-cash benefits[39].
  - *Schedule 02:* A list of employees who received once-and-for-all payments or terminal benefits[39].
  - *Schedule 03:* A list of employees whose monthly gross earnings were below the tax-free threshold (LKR 150,000 per month or LKR 1,800,000 per year) and did not have APIT deducted[24].
- **T10 Certificates:** Employers must issue an individual "Certificate of Tax Deduction" (Form T10) to every employee from whom APIT was deducted[10]. This certificate serves as the official proof of tax withheld at source, enabling the employee to claim credit when filing their personal income tax returns[10].

Structural Changes under the 2026 Tax Amendments

The passage of the Inland Revenue (Amendment) Act, No. 11 of 2026 introduced critical reforms to strengthen tax compliance and modernize tax administration across all sectors[6]. These updates directly impact payroll workflows and individual tax filings[6].

Mandatory TIN Verification Rules

Effective April 1, 2026, the law mandates that relevant officials must verify a person's Taxpayer Identification Number (TIN) before permitting several key financial and administrative activities[6]. These mandatory touchpoints include[6]:

1. Opening any bank or savings account[6].
2. Registering a motor vehicle or renewing a motor vehicle license[6].
3. Registering land or transferring titles to land[6].
4. Transferring shares of any company incorporated in Sri Lanka[6].
5. Obtaining or renewing approval for any building plan[6].
6. Obtaining a credit card[6].

Additionally, the Act amended the secrecy provisions of Section 100, stipulating that a person's TIN is no longer treated as confidential information[6]. This change allows the IRD to share taxpayer records with other public institutions to assist with financial crime prevention and regulatory oversight[6].

For cooperative societies, this means that employee TINs must be verified and accurately recorded in payroll systems to avoid disruptions in salary disbursements, bank transactions, and regulatory submissions[6].

Simplification of the Quarterly Assessment Process

To reduce the administrative burden on taxpayers, the 2026 Act removed the requirement for individuals and corporate entities to file a "Statement of Estimated Tax Payable" (SET) form, which was previously due alongside the first quarterly installment payment on August 15[46].

While the SET form has been abolished, installment payers must still make quarterly payments on a self-assessment basis by the statutory deadlines[46]:

- **First Installment:** On or before August 15[46].
- **Second Installment:** On or before November 15[47].
- **Third Installment:** On or before February 15[47].
- **Fourth Installment:** On or before May 15 of the succeeding year of assessment[47].

Effective April 1, 2026, if a taxpayer expects their taxable income in the current year of assessment to be lower than the previous year, or if they had no taxable income in the prior year, they may calculate their quarterly payments based on their estimated current-year liability using the guidelines specified by the Commissioner-General of Inland Revenue (CGIR)[6].

Penalty Framework and Historical Interest Relief

The IRD enforces strict penalties for late remittances, failure to file, or incorrect declarations to ensure compliance across all sectors[10].

The Statutory Penalty Structure

Cooperative societies must monitor their remittance and reporting timelines closely to avoid the following statutory penalties[10]:

Compliance Failure	Base Financial Penalty	Accruing Penalty / Interest	Prosecution Risks
Late Remittance of APIT	Immediate 10% penalty on the unpaid tax principal[49]	1.5% interest per month, compounded monthly, calculated from the due date to the date of settlement[50]	Joint and several liability imposed directly on the cooperative's principal officers[31]
Failure to Submit Annual APIT Return	Up to LKR 50,000[40]	5% of the tax due, plus an additional 1% of the tax due for each month the statement remains outstanding[50]	Fines up to LKR 1,000,000, imprisonment for a term up to 12 months, or both upon conviction[50]
Filing of Incorrect Return or Statement	Up to LKR 2,000[49]	Up to 200% of the additional tax avoided as a result of the false declaration[49]	Subject to target audits and administrative reviews[10]
Failure to Comply with IRD Rectification Notice	30-day administrative warning period[6]	Not applicable	Fines up to LKR 400,000, imprisonment for a term up to six months, or both upon conviction[6]

Historical Interest Relief (The Section 42 Wave)

To help taxpayers resolve outstanding liabilities, Section 42 of the Inland Revenue (Amendment) Act, No. 11 of 2026 introduced a temporary interest relief window[52]. Under this provision, all interest charged on late payments or underpayments of income tax—including APIT and the former PAYE system—for any year of assessment up to and including the 2024/2025 fiscal year (ending March 31, 2025) will be fully discharged, subject to specific conditions[52].

To qualify for this waiver, cooperative societies and individual employees with historical tax arrears must satisfy the following criteria[52]:

1. The full principal tax amount must be paid within six months of the certification of the Amendment Act (i.e., on or before December 2, 2026)[52].

2. Any outstanding penalties must be settled by the same deadline[52].
3. A written request for the waiver must be submitted to the Commissioner of the relevant regional office[52].

This relief mechanism allows cooperatives to clear legacy liabilities and ensure complete alignment with the modernized tax framework[52].

Conclusion

The modern tax framework in Sri Lanka requires cooperative societies to balance their corporate tax exemptions with their administrative responsibilities as withholding agents[1]. Navigating the 2025/2026 and 2026/2027 tax regimes requires a precise understanding of the restructured APIT slabs, the correct application of the eight statutory tax tables, and the mandatory integration of employee EPF deductions[4].

Furthermore, the 2026 legislative updates—including the mandatory TIN verification rules and the simplification of the quarterly assessment process—emphasize the transition toward digital tax administration and increased compliance monitoring[6]. Cooperative societies must prioritize the automation of their payroll workflows to ensure accurate monthly calculations, timely remittances, and complete alignment with the IRD's electronic filing systems[15]. By doing so, they can protect their organizational health, avoid costly non-compliance penalties, and support their employees' individual tax compliance[10].

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Capital Gains Tax and Cooperative Taxation in Sri Lanka: A Comparative Analysis of the 2025 and 2026 Fiscal Regimes

The structural transformation of Sri Lanka's fiscal landscape, accelerated by macroeconomic stabilization programs and rigid targets set by international lending institutions, has necessitated a thorough restructuring of the state's direct tax system[1]. Historically, the country's tax base suffered from a severe imbalance, heavily weighted toward regressive indirect consumption levies[1]. To address this inequity, the state has initiated policy measures to gradually adjust the direct-to-indirect tax ratio from 25:75 to a more balanced target of 40:60[3]. A cornerstone of this strategy is the aggressive optimization of the corporate income tax base and the enforcement of the Capital Gains Tax (CGT) framework, legally structured under the Inland Revenue Act, No. 24 of 2017 as tax on the gains from the realization of investment assets[4].

As the Inland Revenue Department (IRD) transitions from a historically passive auditing posture to an active, enforcement-led compliance regime, the enactment of the Inland Revenue (Amendment) Act, No. 02 of 2025 and the subsequent Inland Revenue (Amendment) Act, No. 11 of 2026 has fundamentally altered the tax liabilities of corporate entities, individuals, and cooperative societies[2]. Understanding the operational distinction between exempt and non-exempt entities, the precise classification of chargeable and exempt assets, and the rigorous mathematical calculations and administrative compliance workflows is critical for financial planning and regulatory alignment in 2025 and 2026[7].

Cooperative Societies and the Dual-Track Tax System

The taxation of cooperative societies in Sri Lanka operates on a binary track, governed by a strict statutory distinction[8]. Historically, the cooperative sector has been utilized by the state as an instrument for socio-economic development, rural economic empowerment, and market stabilization[11]. To preserve and encourage this sector, the primary tax law provides substantial concessions, yet these benefits are limited by precise statutory boundaries[8].

The Exempt Track under the 1972 Law

Under Division III (Exempt Amounts) of the Inland Revenue Act, No. 24 of 2017, specifically detailed in the Third Schedule, absolute tax-exempt status is granted to registered cooperative societies[10]. The law restricts this exemption to "any registered society within the meaning of the Co-operative Societies Law, No. 5 of 1972"[10].

For these qualified cooperative societies, the exemption applies to all "profits and income," which legally exempts them from corporate income tax and withholding taxes on investment returns such as deposit interest and dividends[8]. Because capital gains are integrated into the income tax framework as a component of assessable income, qualified 1972 Law cooperative societies are completely exempt from CGT on the realization of their investment assets, including land, buildings, and financial instruments[5].

The Taxable Track for Non-Exempt Cooperatives

The Committee for Interpretation of Tax Laws has established that the statutory exemptions under the Third Schedule do not automatically apply to all cooperative organizations[8]. For example, cooperative societies registered under older, un-repealed laws—such as the Co-operative Societies Ordinance No. 16 of 1936 (as amended in 1949 and 1952)—that have not transitioned to or been recognized under the Co-operative Societies Law No. 5 of 1972, do not qualify for the exempt track[8].

These non-exempt cooperative societies are legally categorized as standard "entities" or "companies" for tax purposes[8]. They are subject to the standard corporate tax rate of 30% on their net taxable profits, and their capital gains on the realization of investment assets are taxed under the general corporate CGT framework[4].

Cooperative Statutory Status	Corporate Income Tax (CIT) Rate	Capital Gains Tax (CGT) Status	Applicable Legislation
Registered under Co-operative Societies Law, No. 5 of 1972	0% (Exempt)[10]	Absolutely Exempt[8]	Third Schedule, IRA No. 24 of 2017[10]
Registered under Co-operative Societies Ordinance, No. 16 of 1936	30% (Standard Corporate)[5]	Fully Liable at Corporate Rate[5]	Chapter I & IV, IRA No. 24 of 2017[8]
Provincial Council Cooperative Enactments (Aligned)	0% (Exempt)[8]	Absolutely Exempt[8]	Amendment Act, No. 22 of 2011 & Third Schedule[8]

To maintain exempt status, qualified cooperative societies must also adhere to strict operational guidelines under the 1972 Law, which include transferring at least 25% of their annual net profits to a statutory reserve fund and contributing a designated percentage to the Cooperative Fund[21]. Any diversion of funds toward commercial, non-cooperative activities can trigger regulatory audits, potentially exposing the society to standard corporate tax liabilities[11].

Chargeable Assets and the Boundaries of Investment

Classification

Under the Sri Lankan direct tax framework, Capital Gains Tax is levied on the "gains from the realization of investment assets"[4]. Section 195 of the Inland Revenue Act defines an investment asset as any capital asset held as part of an investment[5].

To prevent tax avoidance through the mischaracterization of income, the law establishes a clear boundary between investment assets, which are subject to CGT, and business assets (such as trading stock or depreciable assets), which are integrated into ordinary business profits[4].

Statutory Definition of Investment Assets

For non-exempt cooperative societies, standard corporations, and individuals, chargeable investment assets include[5]:

- **Land or Buildings**: All real property, including agricultural land, commercial real estate, and residential property (subject to specific exemptions for primary residences)[4].
- **Shares and Securities**: Equities, corporate debt instruments, and other financial securities, excluding those listed on the Colombo Stock Exchange (CSE)[4].
- **Rights and Options**: Options, warrants, or contract rights associated with capital assets[25].
- **Partnership Interests**: A partner’s share or interest in a partnership, where the cost and consideration are calculated based on the realization of the partnership interest[15].

Assets Outside the Scope of CGT (Business Assets)

The realization of capital assets used directly in the conduct of a business does not trigger CGT[4]. Instead, under Chapter IV of the Act, any gain arising from the transfer of business capital assets is treated as a trading profit and taxed as ordinary business income[4]. Similarly, trading stock (inventory) is completely excluded from the definition of an investment asset, and its realization is accounted for under the standard cost of goods sold and trading revenue rules[5].

Asset Type	Primary Use/Classification	Tax Treatment upon Realization	Statutory Reference
Real Estate (Investment)	Held for capital appreciation or rental yield	Subject to Capital Gains Tax[4]	Section 195, IRA No. 24 of 2017[5]
Real Estate (Business)	Factory, office, or operational warehouse	Taxed as business trading profit[4]	Section 17 & Chapter IV, IRA[4]
Unlisted Shares	Equity investment in	Subject to Capital Gains Tax[4]	Section 195, IRA No. 24 of 2017[5]

	private corporations		
Listed Shares	Equities quoted on the Colombo Stock Exchange	Exempt from Capital Gains Tax[14]	Third Schedule, IRA No. 24 of 2017[10]
Trading Stock	Inventory held for sale in the ordinary course of business	Taxed as ordinary business revenue[5]	Chapter II, Division II, IRA[15]

Capital Gains Tax Rates: The 2025 and 2026 Structural Realignments

The tax rates applicable to capital gains have been adjusted significantly during the 2025 and 2026 legislative cycles[6]. When CGT was re-introduced on April 1, 2018, the state maintained a flat, uniform rate of 10% on the realization of investment assets for almost all categories of taxpayers[4].

However, under the Inland Revenue (Amendment) Act No. 11 of 2026, certified by the Speaker on June 3, 2026, the uniform rate was replaced with a progressive, multi-tiered structure designed to capture more revenue from institutional, high-value, and passive investment vehicles[7].

The Evolution of CGT Rates

```
[Historical Rate: 10% (April 1, 2018)]
                                  │
        ┌─────────────────────────┼─────────────────────────┐
        ▼                         ▼                         ▼
 [Individuals &            [Trusts, Unit Trusts,     [Companies & Non-Exempt
  Partnerships]             Mutual Funds, & NGOs]       Cooperatives]
        │                         │                         │
 [Increased to 15%]       [Increased to 30%]       [Maintained at 30% / 10%]
```

The statutory rates applicable during the 2025 and 2026 fiscal years are structured by taxpayer category[5]:

Taxpayer Category	Rate (Prior to June 2026 Act)	Rate (Post-June 2026 Enactment)	Primary Legislative Authority
Individuals	10% [cite: 4, 5, 24]	15% [cite: 7, 9]	Amendment Act, No. 11 of 2026[7]
Partnerships	10% [cite: 4]	15% [cite: 7, 9]	Amendment Act, No. 11 of 2026[7]
Trusts	10% [cite: 19]	30% [cite: 7, 9]	Amendment Act, No. 11 of 2026[7]
Unit Trusts & Mutual Funds	10% [cite: 19]	30% [cite: 7, 9]	Amendment Act, No. 11 of 2026[7]
Non-Governmental Organizations	10% [cite: 19]	30% [cite: 7, 9]	Amendment Act, No. 11 of 2026[7]
Standard Corporate Entities	30% [cite: 5, 19]	30% [cite: 5, 19]	Inland Revenue Act, No. 24 of 2017[5]
Non-Exempt Cooperatives	30% [cite: 19]	30% [cite: 19]	Inland Revenue Act, No. 24 of 2017[5]
Exempt Cooperatives (1972 Law)	0% (Exempt)[8]	0% (Exempt)[8]	Third Schedule, IRA No. 24 of 2017[10]

The doubling of the CGT rate to 30% for trusts, unit trusts, and mutual funds marks a major policy shift, directly targeting collective investment schemes that were previously utilized to pool private wealth under more favorable tax conditions[7]. Non-exempt cooperative societies are subject to the standard corporate CGT rate of 30%, which aligns with the state's broader policy of treating non-compliant or non-aligned social enterprises as standard commercial entities[8].

Exempt Assets and Tax-Neutral Realizations

To prevent the taxation of essential personal assets, maintain capital market liquidity, and facilitate state-directed infrastructure development, the Inland Revenue Act specifies several exemptions and "tax-neutral" classifications[4].

Listed Equities Exemption

Gains derived from the realization of shares quoted on any official list published by a stock exchange licensed by the Securities and Exchange Commission of Sri Lanka (specifically the Colombo Stock Exchange) are entirely exempt from CGT[14]. This exemption supports capital market participation and corporate listings[29].

Principal Place of Residence

A resident individual is exempt from CGT on the disposal of their principal place of residence[4]. To qualify, the individual must have owned the property continuously for the three years immediately prior to its realization and must have resided in that property for at least two out of those three years, calculated on a daily basis[4].

The 2026 Motor Vehicle Exclusion

A highly significant structural change was introduced under the Inland Revenue (Amendment) Act No. 11 of 2026[28]. The amendment clarifies that the disposal of a motor vehicle by any person (including individuals, partnerships, companies, and non-exempt cooperative societies) is completely excluded from both income tax and capital gains tax, provided the vehicle was not used for business purposes and did not receive a business depreciation allowance[28]. This exclusion applies retrospectively from April 1, 2024, ensuring that the disposal of personal transport does not trigger capital gains liabilities[28].

Tax-Neutral Transfers to the State and Universities

Under older tax rules, gifting or donating real estate or capital assets to the state or public bodies could trigger a deemed realization at fair market value, creating an unexpected capital gains tax liability for the donor[19]. To eliminate this barrier, the 2026 legislative amendments introduced a "tax-neutral" provision[9].

Effective from the enactment of Act No. 11 of 2026, the transfer of an asset by way of gift or donation to the Government of Sri Lanka or to any public university established under the Universities Act, No. 16 of 1978 is treated as a realization at the net cost of the asset immediately before the transfer[9]. This adjustment ensures that the deemed consideration matches the tax cost, resulting in a taxable gain of zero[9].

Mechanics of CGT Calculation and Compliance Protocols

For liable taxpayers, calculating the gain on the realization of an investment asset requires a strict mathematical and accounting process governed by Chapter IV of the Act[15].

The CGT Calculation Formula

The taxable gain arising from the realization of an investment asset is computed as the excess of the consideration received over the total cost base of the asset at the time of disposal[4]. Mathematically, the calculation is represented as:

$$G = C - (A + I + E_i)$$

Where:

- G is the taxable capital gain[33].
- C is the consideration received or receivable[33]. Under Section 40, the consideration base is determined as the higher of the actual transaction value or the certified "assessed value" of the asset at the time of realization, which must be validated by a professionally qualified valuer in a formal valuation report[30].
- A is the cost of acquisition[33]. For assets acquired prior to September 1, 2017, the cost base is adjusted to the fair market value of the asset as of September 30, 2017, to protect taxpayers from retroactive taxation on historical asset appreciation[4].
- I is the cost of improvements, repairs, or maintenance incurred on the asset during the holding period[33].
- E_i represents the incidental expenses directly attributable to the acquisition or realization of the asset, including legal fees, brokerage commissions, professional valuation fees, and stamp duties[33].

Loss Ring-Fencing and Carry-Forward Constraints

The treatment of capital losses under the Sri Lankan tax regime is highly restrictive[4]. Under Section 19 of the Act, any loss incurred on the realization of an investment asset is ring-fenced[4]. This means:

1. The loss cannot be deducted from any other income source, such as business profits or employment income[4].
2. The loss can only be used to offset gains derived from the realization of other investment assets[4].
3. Any unutilized portion of the capital loss can be carried forward, but its application remains restricted exclusively to future capital gains[4].

Consolidated Monthly Compliance Cycle

One of the most practical administrative updates introduced under the Inland Revenue (Amendment) Act No. 11 of 2026 was the simplification of the filing cycle[9].
Previously, a separate CGT return had to be filed, and the tax paid, within 30 days of each individual asset realization[4].

Compliance Step	Requirement/Timeline (Pre-2026)	Requirement/Timeline (Post-2026)	Administrative Mechanism

CGT Return Filing	Within 30 days of the date of realization[4]	Within 30 days after the end of the calendar month of realization[9]	Form No. Asmt_CGT_001_E and Schedule 01[33]
Tax Settlement	Within 30 days of the date of realization[4]	Within 30 days after the end of the calendar month of realization[9]	Payment to IRD via electronic or authorized banking channels[9]
Assessment Status	Provisional, subject to immediate departmental audit	Treated as a self-assessment upon filing[9]	Direct integration with the RAMIS system[2]

This monthly consolidation significantly reduces compliance costs for corporate entities and active investors executing multiple property or security transactions in a single calendar month[30].

Broader Fiscal Reforms, Enforcement, and Future Outlook

The revisions to the capital gains and cooperative tax frameworks in 2025 and 2026 are part of an aggressive, enforcement-led modernization of Sri Lanka's tax administration[2]. Operating under rigid fiscal targets, the state has systematically expanded its compliance apparatus to eliminate historical avenues of tax evasion[2].

Mandatory Taxpayer Identification Number (TIN) Integration

The implementation of the mandatory TIN is a primary administrative mechanism for broadening the tax base[2]. Effective from April 1, 2026, verification of a valid TIN is legally required to execute major commercial and administrative transactions[2].

These include:

- Opening institutional or personal bank accounts[7].
- Registering land or transferring property deeds[7].
- Registering motor vehicles[32].
- Applying for corporate or personal credit facilities[32].

By embedding the TIN directly into the land registries and financial databases, the IRD's RAMIS system automatically flags transactions involving the transfer of capital assets[2]. This database integration ensures that any unregistered entity or non-exempt cooperative society attempting to dispose of land or unlisted shares is instantly flagged for capital gains tax assessment[2].

Suppression of the Cash Economy

To curb informal capital flows, the state has enacted a strict ceiling of LKR 500,000 per day on cash transactions[32]. If an entity pays more than LKR 500,000 in a single day for a transaction—

whether in a single transaction or a series of connected payments—using raw cash:

- The transaction does not qualify for a tax deduction[32].
- The payment cannot be included in the cost base of an asset to lower future CGT liabilities[32].

All such high-value transactions must be routed through traceable electronic bank transfers, "Account Payee Only" checks, or direct deposits, forcing commercial transactions into the formal banking system and providing the IRD with an auditable trial[32].

Strategic Summary for Decision Makers

For organizations operating in Sri Lanka during the 2025 and 2026 fiscal years, navigating the updated tax landscape requires a clear understanding of entity status and asset classification[7]. For cooperative societies, securing and maintaining registration under the Co-operative Societies Law, No. 5 of 1972 remains critical to preserving their tax-exempt status and avoiding a 30% tax rate on both general income and capital gains[8].

For standard corporations, non-exempt cooperatives, and high-net-worth individuals, the transition to a monthly consolidated filing cycle offers some administrative relief, but it is accompanied by higher tax rates and an increasingly digitized enforcement network[2]. As the state continues to optimize direct tax revenues, meticulous compliance with valuation, documentation, and payment timelines is essential to mitigate the risk of severe penalties and administrative audits[2].

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Comparative Tax Analysis and Technical Calculation Module for Cooperative Societies in Sri Lanka for Years of Assessment 2025/2026 and 2026/2027

Introduction and statutory context

The macroeconomic landscape of Sri Lanka has undergone intensive structural recalibration following the severe economic disruptions of 2022 and 2023[1]. Under the fiscal consolidation guidelines established by the International Monetary Fund's Extended Fund Facility, the state committed to major domestic revenue mobilization efforts[1]. These commitments culminated in aggressive tax collection targets for the fiscal year 2026, wherein the government set an unprecedented revenue goal of LKR 4,853 billion across its three primary collection departments[4]. Within this historically demanding framework, the Inland Revenue Department is mandated to collect LKR 2,401 billion[4]. This fiscal pressure has directly affected all corporate and social enterprise sectors, including the century-old cooperative network[5].

Historically, cooperative societies in Sri Lanka were designed to meet the economic, credit, and food security needs of rural farming and local communities[7]. The state continues to recognize the socio-economic value of the cooperative sector, as demonstrated by the implementation of a concessionary pledge loan scheme in January 2025 for small and medium-scale paddy millers and cooperative societies to purchase paddy during the Maha season[8]. Additionally, the state allocated LKR 2,000 million in the 2025 budget to foster youth entrepreneurs and producer cooperatives[9]. However, because cooperatives engage in commercial transactions alongside their mutual trading activities, the Inland Revenue Department has prioritized compliance, audit verification, and the systematic minimization of tax leakages[3].

To satisfy these regulatory demands, cooperative enterprises must utilize a robust Tax Calculation Module aligned with the consolidated provisions of the Inland Revenue Act, No. 24 of 2017 and its subsequent amendments, including the Inland Revenue (Amendment) Act, No. 2 of 2025[13]. For tax purposes, a cooperative society is classified as an entity and is treated as a company unless it satisfies specific exemption criteria under the Third Schedule[15]. This technical report provides professional peers with a comprehensive breakdown of the seven core modules required to compute the tax liabilities of cooperative societies for the Years of Assessment (Y/A) 2025/2026 and 2026/2027.

Income entry module

The initial phase of the calculation engine must systematically capture, categorize, and segregate all gross inflows of the cooperative society[17]. Under the general provisions of the

Inland Revenue Act, the tax base is calculated separately for each distinct source, which includes business income, investment income, and other miscellaneous sources[15]. The income entry module must apply precise sorting rules to prevent the commingling of exempt and taxable revenue streams[16].

Business profits represent the primary revenue stream for most cooperatives, encompassing retail, consumer trading, credit facilities, and agricultural processing[11]. Within the module, business income must be bifurcated into member and non-member transactions[11]. Transactions carried out with registered members are classified under mutual trading principles and may qualify for specific exemptions, whereas commercial transactions with third parties are treated as standard taxable business income[11].

The second major category is investment income, which includes interest earned from corporate deposits, bank accounts, and government debt instruments, as well as dividend distributions from equity holdings in other entities[19]. Effective April 1, 2025, the Advance Income Tax on interest and discounts paid to resident entities was doubled from 5% to 10%[14]. Because this withholding is non-final for corporate entities, the income entry module must record the gross interest income before withholding, while capturing the 10% AIT deducted at source to be carried forward as a tax credit[23].

The third category is foreign-sourced income and foreign service income[14]. Under the Inland Revenue (Amendment) Act, No. 2 of 2025, the historical tax exemptions on foreign service earnings were repealed effective April 1, 2025[13]. The module must apply a flat concessionary rate of 15% to foreign-sourced profits, provided they are remitted to Sri Lanka through the domestic banking system[14]. If the cooperative fails to remit these earnings through a local bank, the income entry module must automatically route these receipts to be taxed at the standard corporate rate of 30%[14]. Other income, such as rental income from leasing cooperative-owned land or buildings, must be entered based on the gross rent receivable or the Net Annual Value of the property, adjusted for any documented vacancy periods[19].

Income Stream	Statutory Source	Tax Rate (Y/A 2025/2026)	Tax Rate (Y/A 2026/2027)	Special Compliance Conditions
Member Trading Profits	Co-op Law No. 5 of 1972[11]	Exempt[16]	Exempt[16]	Requires valid statutory cooperative registration[16]
Non-Member Commercial Sales	IRA No. 24 of 2017[17]	30%[14]	30%[14]	Taxable if the society fails the 1972 Act test[14]

Gross Interest Income	Section 7 & 84[28]	30%[14]	30%[14]	Subject to 10% AIT; credit claimed at assessment[22]
Foreign-Sourced Profits	Amendment Act No. 2 of 2025[13]	15%[14]	15%[14]	Concessionary rate requires formal bank remittance[14]
Realization of Investment Assets	Section 3[28]	30%[27]	30%[27]	Capital gains on transfer of non-listed assets[27]

Expense entry module

The second stage of the tax calculation module implements the deductibility rules established in Chapter II, Division IV of the Inland Revenue Act[13]. The module applies the general deductibility rule under Section 10, which permits the deduction of all outgoings and expenses to the extent they are incurred during the year by the taxpayer in the production of income from a business or investment[30]. All operating outlays entered into the system must be analyzed and categorized as admissible, disallowable, or restricted[31].

Admissible business expenses include direct production costs, employee wages, salaries, electricity, water, and insurance premiums[31]. In addition, local taxes, such as the 1% gross turnover business license fee levied on commercial entities by local Pradeshiya Sabhas[34], and the 12% assessment tax levied on commercial properties by municipal councils[35], are fully deductible as ordinary business expenses[30].

Disallowable expenses must be automatically flagged and added back to the cooperative's net accounting profit[31]. Under Section 10(1), these include domestic and personal expenses, income tax paid under the Act, and fines or penalties payable for breaches of any written law[31]. Crucially, any expenses incurred in deriving tax-exempt income, such as costs directly associated with mutual member trading, must be disallowed to prevent double-dipping[31].

The module must also apply thin capitalization restrictions under Section 18[29]. This statutory restriction limits the deductibility of finance costs based on the cooperative’s debt-to-equity ratio[29]. Interest expenses are disallowed to the extent that debt exceeds three times equity for manufacturing entities, or four times equity for all other commercial entities[29].

Outlay Category	Deductibility Status	Statutory Reference	Technical Accounting Rule

Direct Wages & Salaries	Fully Admissible	Section 10[30]	Must relate to active taxable operations[33]
Pradeshiya Sabha License Fees	Fully Admissible	Section 10[30]	1% gross turnover local government levy[34]
Municipal Property Taxes	Fully Admissible	Section 10[30]	12% commercial assessment fee[35]
Income Tax Payments	Disallowable	Section 10(1)[31]	Must be added back to accounting profit[31]
Regulatory Fines & Penalties	Disallowable	Section 10(1)[31]	Includes late payment penalties and delays[31]
Exempt Activity Expenses	Disallowable	Section 10(1)[31]	Costs incurred to generate exempt member revenue[31]
Excessive Finance Costs	Restricted	Section 18[29]	Disallowed if debt-to-equity ratio exceeds 3:1 or 4:1[29]

Deductions module

The Deductions module manages depreciation, capitalized repairs, and the optimization of historical tax losses[28]. First, capital allowances (depreciation) under Section 16 are computed on the cost of acquiring or constructing depreciable assets[28]. The system must apply straight-line depreciation based on the statutory asset classifications, which designate 20% per annum for IT equipment, motor vehicles, and machinery, and 5% to 10% for buildings[32]. The module must adapt to a major tax policy reform introduced in the 2026 Budget regarding enhanced capital allowances[38]. To stimulate small and medium-sized enterprises (SMEs) and cooperative expansions, the qualifying investment threshold for enhanced capital allowances was reduced from USD 3 million to USD 250,000 effective April 1, 2026[38]. If a cooperative society has an annual turnover below LKR 500 million[1] and incurs capital expenditure exceeding USD 250,000 on depreciable assets (excluding intangible assets)[16], the module must apply an enhanced capital allowance of 100% (or 200% if the investment is located in the Northern Province) in addition to the standard Section 16 capital allowance[38].

Second, the module must limit repair and improvement deductions under Section 14[28]. This deduction is capped at 5% of the written-down value of Class 4 assets (buildings) and 20% of the written-down value for all other asset classes[32]. Any excess repairs must be capitalized and added to the asset's tax written-down value[32].
Third, the module must manage loss carry-forward operations under Section 19[28]. Unutilized business losses may be carried forward for a maximum of six (6) subsequent years of assessment[29]. However, any loss generated from projects that claimed the enhanced capital allowance can be carried forward for up to ten (10) years[38]. The module must enforce cross-rate restrictions: losses incurred in a business activity subject to a concessionary rate (such as agriculture or exports) can only be set off against income taxed at that same concessionary rate or lower, and cannot be utilized to offset income subject to the standard 30% corporate rate[14].

Asset Class / Deduction	**Standard Depreciation Rate**	**Enhanced Capital Allowance (Post-April 2026)**	**Deduction Limit / Carry-Forward**
Computers & IT Equipment	20% Straight-Line[32]	100% (200% Northern Province)[38]	Full cost deduction based on investment threshold[38]
Heavy Machinery & Plant	20% Straight-Line[32]	100% (200% Northern Province)[38]	Requires minimum USD 250,000 investment[38]
Commercial Buildings	5% to 10% per annum[32]	Not applicable[38]	Repairs capped at 5% of written-down value[32]
Ordinary Business Losses	Not applicable	Not applicable	6-year carry-forward limit[29]
ECA Investment Losses	Not applicable	Not applicable	Extended 10-year carry-forward limit[38]

Exemptions and indirect tax compliance

The Exemptions module contains the core statutory logic that determines the cooperative's overall tax status[26]. Under the Third Schedule, paragraph (a)(v) of the Inland Revenue Act, "any registered society within the meaning of the Co-operative Societies Law, No. 5 of 1972" is recognized as an exempt entity, meaning its core business profits, mutual trading income, and investment yields are exempt from income tax[16]. However, the Committee for Interpretation of Tax Laws has ruled that this exemption is limited to societies registered under the 1972 Act or equivalent provincial council statutes[26]. It does *not* apply to older societies registered under the Cooperative Societies Ordinance, No. 16 of 1936 (as amended in 1949 and 1952)[26].

Non-compliant societies must be flagged by the module as standard taxable corporate entities subject to the standard tax rate of 30%[14].

While qualifying cooperatives remain exempt from income tax, they are fully subject to indirect taxes, which have undergone significant restructuring[14]. Cooperatives are exempt from the Economic Service Charge (ESC)[42]. However, they are subject to Value Added Tax (VAT) and the Social Security Contribution Levy (SSCL)[14]. The module must adapt to the threshold reductions scheduled for April 1, 2026, which lower the registration limit for both VAT and SSCL from LKR 60 million per annum to LKR 36 million per annum (or LKR 9 million per taxable quarter)[38]. This change brings a larger number of mid-sized agricultural, consumer, and credit cooperatives into the active indirect tax net[38].

Additionally, the module must incorporate specific indirect tax rules:

- *SVAT Scheme Repeal*: Effective October 1, 2025, the Simplified VAT (SVAT) scheme was abolished[14]. Cooperatives must pay standard 18% VAT on all imports and local transactions, and subsequently apply for standard input tax refunds under the expanded VAT Refund Fund[1].
- *Agricultural VAT Exemptions*: In 2025, the government introduced new VAT exemptions on the supply of locally produced liquid milk and yoghurt, which directly exempts dairy cooperatives from charging VAT on these specific products[14].
- *Stamp Duty on Leases*: Effective April 1, 2025, the stamp duty rate on property leases was increased from 1% to 2% of the aggregate rental value, affecting cooperative land and building leases[23].

Chargeable income calculation sequence

The Chargeable Income module calculates the final taxable income base after applying all allowable deductions, carry-forward losses, and qualifying payments[18]. For cooperatives that do not meet the 1972 statutory exemption criteria, the calculation of chargeable income is crucial[14]. Under Section 3, the taxable income of a person is determined as the sum of assessable income across all active sources, less the allowed qualifying payments and reliefs under Section 52[18].

The primary qualifying payment available to cooperative entities is donations made in money to approved charitable institutions, such as homes for children, the elderly, or the disabled[29]. Under the Fifth Schedule, the allowed deduction is strictly capped at one-fifth (20%) of the entity's taxable income or LKR 500,000, whichever is lower[11].

The calculation sequence must execute a strict mathematical progression:

$$\text{Total Gross Income} \rightarrow \text{ Less Admissible Expenses} \rightarrow \text{ Add Back}$$

[cite: 17, 30, 31, 33]

$$\text{Adjusted Profit} \rightarrow \text{ Less Capital Allowances} \rightarrow \text{ Less Carry-Forv}$$

[cite: 18, 28, 29, 32]

$$\text{Assessable Income} \rightarrow \text{ Less Qualifying Payments (Capped)} = \text{ C}$$

[cite: 11, 18, 44]
The system must run this multi-stage sequence to determine the net chargeable income base before applying the tax rate engine[18].

Tax liability assessment and rate structures

Once the chargeable income has been computed, the Tax Liability module maps the taxable income base to the statutory rates applicable for the Years of Assessment 2025/2026 and 2026/2027[22]. The standard corporate income tax rate is maintained at **30%**, which applies to all standard companies and taxable (non-exempt) cooperative societies[14].
The module must apply a specialized rate engine based on the source and character of the income[14]:

- *Core Exempt Rate (0%)*: Applies to cooperatives registered under the Cooperative Societies Law, No. 5 of 1972 or equivalent provincial council statutes on their mutual trading and related incomes[16].
- *Concessionary Rate (15%)*: Applies to foreign-sourced profits and service export earnings that are remitted to Sri Lanka through a licensed commercial bank[14].
- *Standard Rate (30%)*: Applies to non-exempt cooperative societies, corporate subsidiaries, and un-remitted foreign income[14].
- *Specialized High-Tax Rate (45%)*: Effective April 1, 2025, the corporate tax rate on profits from betting, gaming, and the manufacture, import, or sale of liquor and tobacco products was increased from 40% to 45%[14]. If a cooperative runs commercial operations that include retail distribution of liquor or tobacco, the calculation module must isolate those specific profits to be taxed at the flat rate of 45%[14].

Entity / Income Type	Y/A 2025/2026 Tax Rate	Y/A 2026/2027 Tax Rate	Primary Legislative Authority
Registered Cooperative (1972 Law)	0% (Exempt)[16]	0% (Exempt)[16]	Third Schedule, Paragraph (a)(v)[16]
Non-Exempt Cooperative (1936 Ord.)	30%[14]	30%[14]	Standard Corporate Rate[14]
Remitted Foreign Source Income	15%[14]	15%[14]	Amendment Act No. 2 of 2025[13]
Cooperative Liquor/Tobacco Sales	45%[14]	45%[14]	Specialized Flat Industry Rate[14]
Realization of Investment Assets	30%[27]	30%[27]	Company Special Assets Rate[27]

Final tax payable and administrative compliance

The Final Tax Payable module completes the calculation process by adjusting the gross tax liability for prepayments, withholding credits, and enforcing administrative penalties[31]. To calculate the final net tax payable due to the Inland Revenue Department, the module must deduct all tax credits, including the 10% AIT withheld at source on interest income[22]. It must then deduct any quarterly self-assessment installments settled during the year on or before August 15, November 15, February 15, and May 15[15].

The module must also calculate statutory penalties and interest for late filing or late payment[25]:

- *Late Filing Penalty*: If the annual corporate return is not filed by the statutory November 30 deadline, the system must apply a penalty equal to the greater of 5% of the tax due plus 1% per month of delay, or a flat fee of LKR 50,000 plus LKR 10,000 for each month of default[25].
- *Late Payment Penalty*: A penalty of **10%** is applied to any missed or late quarterly installment, which increases to **20%** if the final tax remains unpaid past the due date specified on the Notice of Assessment[31].
- *Default Interest*: Outstanding tax liabilities attract interest at a rate of **1.5% per month** (18% per annum), calculated from the original due date until the date of settlement[25].

To illustrate the mathematical flow of the entire Tax Calculation Module, the table below simulates a comprehensive corporate tax calculation for a non-exempt cooperative society (registered under the 1936 Ordinance) with diverse local retail, remitted foreign service, and local interest income for the Year of Assessment 2025/2026[14].

Calculation Line Item	Technical Variable / Multiplier	LKR Amount	Cumulative Totals
Gross Business Revenue	Local Retail & Trading Sales	80,000,000[17]	80,000,000
Less: Admissible Expenses	Operational Outlays & Wages	(45,000,000)[33]	35,000,000
Less: Allowed Depreciation	Section 16 Capital Allowances	(5,000,000)[28]	30,000,000
Add: Non-Remitted Foreign Income	Standard Taxable Rate (30%)	10,000,000[14]	40,000,000
Add: Remitted Foreign Service Income	Concessionary Taxable Rate (15%)	10,000,000[14]	50,000,000
Add: Gross Interest Income	Local Bank Deposits	5,000,000[19]	55,000,000
Assessable Income Base	Cumulative Income Sources		**55,000,000** [cite: 18, 19]
Less: Carry-Forward Losses	Standard Unutilized Losses	(4,000,000)[29]	51,000,000
Less: Qualifying Donations	Capped at Lower of 20% or 500k	(500,000)[11]	50,500,000

Chargeable Income Base	Final Taxable Profit Base		**50,500,000** [cite: 18, 19]
Allocated Chargeable Brackets			
Concessionary Segment (15% Rate)	Remitted Foreign Earnings	10,000,000[14]	
Standard Segment (30% Rate)	Business & Interest Income	40,500,000[14]	
Gross Tax Liability			**13,650,000** [cite: 15]
Foreign Source Tax Liability	LKR 10,000,000 x 15%	1,500,000[14]	
Standard Tax Liability	LKR 40,500,000 x 30%	12,150,000[14]	
Less: Tax Credits & Prepayments			
AIT Credit on Bank Interest	10% Withholding on LKR 5M	(500,000)[22]	
Quarterly SAS Installments Paid	Prepayments on Estimated Tax	(10,000,000)[15]	
Net Final Tax Payable	Due on or before November 30		**3,150,000** [cite: 25, 31, 48]

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Legal and Compliance Framework for Cooperative Societies under the Sri Lankan Tax Regime (2025–2026)

Statutory Classification and Corporate Income Tax Liability

Cooperative societies in Sri Lanka operate within a specialized direct and indirect tax framework that balances social development goals with strict corporate tax rules[1]. Under the Inland Revenue Act, No. 24 of 2017, tax liabilities are determined by the specific legislation under which a cooperative is registered[2]. Cooperative societies registered under the Co-operative Societies Law, No. 5 of 1972, or corresponding Provincial Council statutes, are granted a direct income tax exemption under Section 7(h) of the Act[2]. This exemption covers profits and income from business operations, interest, and dividends[2].

In contrast, the Committee for Interpretation of Tax Laws has clarified that cooperative societies registered under the older Co-operative Societies Ordinance, No. 16 of 1936 (as amended by Act, No. 21 of 1949 and Act, No. 17 of 1952) are excluded from this exemption[2]. Consequently, these older cooperative societies are subject to the standard corporate income tax rate of 30% on their taxable income[3].

Statutory Basis of Cooperative Registration	Income Tax Status (Y/A 2024/25 & 2025/26)	Applicable Income Tax Rate	Direct & Indirect Tax Implications
Co-operative Societies Law, No. 5 of 1972	Exempt under Section 7(h)[2]	0% (Exempt)[2]	Profits, interest, and dividends are exempt; must file annual returns to maintain status[2].
Provincial Council Cooperative Statutes	Exempt under Section 7(h)[2]	0% (Exempt)[2]	Extended exemption on all trade and investment sources[2].

Co-operative Societies Ordinance, No. 16 of 1936	Liable to Corporate Income Tax[2]	30%[3]	Standard corporate filing applies; business profits and investment income are fully taxable[3].
Lak Sathosa Limited	Exempt under Section 7(h)[2]	0% (Exempt)[2]	Explicit statutory exemption matching the 1972 cooperative model[2].

A major compliance issue highlighted in public audit reviews of cooperative funds, such as the Co-operative Surplus Fund and the Co-operative Development Fund, is the treatment of withholding tax (WHT) on interest from fixed deposits[6]. Financial institutions are legally required to deduct WHT from interest payments unless the cooperative provides a formal confirmation of non-taxable status from the Inland Revenue Department (IRD)[6]. Without this, banks deduct WHT[7]. Some cooperatives record these deducted amounts as current assets under "receivables"[6]. However, auditors have repeatedly flagged this as an accounting deficiency, recommending that cooperatives resolve their tax-exempt status with the IRD and refrain from accounting for these balances as secure assets until formal IRD confirmation is obtained[6].

In addition to direct income tax exemptions, cooperative societies registered under the 1972 Law are granted exemptions from Stamp Duty under Section 5 of the Stamp Duty Act, No. 43 of 1982[8]. This exemption applies to any instrument executed by, on behalf of, or in favor of a registered cooperative society[8]. It also covers instruments executed by a member in favor of the society relating to its business[8]. It extends to documents filed in court in pursuance of Section 59 of the 1972 Law, deeds of mortgage for LKR 3 million or less executed for housing where the mortgagee is a cooperative institution, and receipts given for monies deposited with or withdrawn from these cooperative societies[8].

The Dual Filing Framework: Statements of Estimated Tax and Annual Income Returns

Under Section 93(1) of the Inland Revenue Act, No. 24 of 2017, all corporate taxpayers must file a return of income with the Commissioner-General no later than eight months after the end of each year of assessment[4]. For the Year of Assessment 2024/2025, which ended on March 31, 2025, the deadline is November 30, 2025[4]. For the Year of Assessment 2025/2026, the deadline is November 30, 2026[12]. The required filing forms are Form No. Asmt_CIT_001, accompanied by schedules in Form No. Asmt_CIT_002A and Form No. Asmt_CIT_002B[4]. Additionally, the direct tax framework enforces a dual-filing system[12]. Taxpayers must submit a Statement of Estimated Tax (SET) Payable and a SET Credit Schedule (SCS) on or before August 15 of the current year of assessment[12]. The SET form facilitates the calculation of estimated local and foreign income and determines the value of quarterly installments[12].

```
                RAMIS ONLINE E-SERVICES
                            |
                            ▼

         STATEMENT OF ESTIMATED TAX (SET FORM)
            Due Annually on or before August 15
                            |
                            |  Calculates Quarterly
                            ▼  Installments

               QUARTERLY TAX INSTALLMENTS
     1st: Aug 15 | 2nd: Nov 15 | 3rd: Feb 15 | 4th: May 15
                            |
                            |  Reconciles Annual
                            ▼  Tax Liability

           CORPORATE INCOME TAX RETURN (CIT)
         Form Asmt_CIT_001 | Due on or before Nov 30
```

Digital integration via the RAMIS portal makes online submission mandatory[4]. The system utilizes a "Deemed Submission" mechanism[4]. If a cooperative marks non-applicable schedules with an "(X)" in the portal's first-page relevancy table, those schedules are considered legally submitted[4]. However, cooperatives must submit Schedule 2 (Business Income), Schedule 4 (Investment Income), and Schedule 7 (Tax Credits) regardless of applicability[4].

Online Filing Protocol via the RAMIS Portal

Accessing online services requires logging into the IRD portal using a Taxpayer Identification Number (TIN) and a Personal Identification Number (PIN)[16]. If a cooperative is not registered for Corporate Income Tax, it must submit a request under the "Taxpayer Registration >>> Tax Type Registration Request" tab[16]. If a portal account is locked or the PIN is forgotten, a PIN recovery request must be submitted[16]. If the current Year of Assessment is not displayed in the return management panel, cooperatives can self-issue the required return using the "Return issuance" tab[16].

```
[START]
                           |
                           ▼
             Is the Cooperative Registered
```

```
              for Corporate Income Tax?
              ├──► NO: Navigate to Taxpayer Registration ──► Submit
Registration Request
              └──► YES: Enter TIN, PIN, and CAPTCHA
                          │
                          ▼
           Are Login Credentials Accepted?
              ├──► NO: PIN Locked / Account Blocked ───────► Request New
PIN
              └──► YES: Navigate to Return / Schedule Management
                          │
                          ▼
            Is the Current Year of Assessment (Y/A)
            Visible in the active filing table?
              ├──► NO: Navigate to Return Issuance Tab ────► Self-Issue
Required Return Form
              └──► YES: Select Y/A (e.g., 2024/2025) and Proceed
                          │
                          ▼
            Select Standard or Simplified Return Layouts
            Based on active cooperative income streams
                          │
                          ▼
            Complete Mandatory Schedules First (Schedules 2, 4, 7)
                          │
                          ▼
            Check Unfilled / Non-Applicable Cages
            and Mark "(X)" in Relevancy Table to activate Deemed
Submission
                          │
                          ▼
            System calculates cages and auto-populates Form Asmt_CIT_001
                          │
                          ▼
            Upload Mandatory PDF/CSV Attachments
            (Audited Financials, Tax Computations, CSV WHT Schedules)
                          │
                          ▼
            Verify, Sign Electronic Declaration, and Submit
                          │
                        [END]
```

Once inside the system, cooperatives must select either the Standard or Simplified Return layout, depending on their active income streams[16]. The system uses mathematical auto-population, automatically calculating and carrying forward values from individual schedule cages to the main return forms[4].

Compliance Timeline and Due Dates for 2025 and 2026

To avoid administrative penalties, cooperatives must carefully manage the direct and indirect tax calendars, which are governed by strict statutory deadlines[12]. The table below integrates quarterly direct income tax obligations with monthly indirect tax deadlines[12].

Year of Assessment	Compliance Action / Tax Installment	Statutory Due Date	Period Code	Payment & Portal Requirements
Y/A 2024/2025	First Quarterly Installment	August 15, 2024	24251	Quarterly self-assessment payment based on estimated income[13].
Y/A 2024/2025	Statement of Estimated Tax (SET)	August 15, 2024	SET_E	Submission of annual estimated direct tax liability[12].
Y/A 2024/2025	Second Quarterly Installment	November 15, 2024	24252	Estimated installment matching quarterly financial performance[13].
Y/A 2024/2025	Third Quarterly Installment	February 15, 2025	24253	Standard direct tax payment using designated regional bank vouchers[18].
Y/A 2024/2025	Fourth Quarterly Installment	May 15, 2025	24254	Final quarterly self-assessment payment for

				the fiscal cycle[13].
Y/A 2024/2025	**Final Return of Income (CIT)**	**November 30, 2025**	**Asmt_CIT_001**	**Mandatory electronic filing via the RAMIS portal[3].**
Y/A 2025/2026	First Quarterly Installment	August 15, 2025	25261	Initial payment for the Year of Assessment 2025/2026[13].
Y/A 2025/2026	Statement of Estimated Tax (SET)	August 15, 2025	SET_E	SET form submission reflecting local and foreign sources[12].
Y/A 2025/2026	Second Quarterly Installment	November 15, 2025	25262	Standard quarterly self-assessment installment[13].
Y/A 2025/2026	Third Quarterly Installment	February 15, 2026	25263	Penultimate quarterly direct tax installment[13].
Y/A 2025/2026	Fourth Quarterly Installment	May 15, 2026	25264	Final installment prior to annual direct tax reconciliation[13].
Y/A 2025/2026	**Final Return of Income (CIT)**	**November 30, 2026**	**Asmt_CIT_001**	**Mandatory electronic filing via the RAMIS portal[12].**

Monthly Cycles	Monthly Indirect VAT Payment	20th of each month	e.g., 25110	Standard monthly VAT payments for registered trading activities[18].
Monthly Cycles	Monthly SSCL Payment	20th of each month	e.g., 25401	Social Security Contribution Levy payment based on monthly turnover[18].
Monthly Cycles	Monthly Indirect VAT Return	Last day of each month	e.g., 2511	Return filing for standard taxable business activities[18].

This compliance calendar will become more complex in 2026 due to proposed reductions in indirect tax registration thresholds, scheduled to take effect on April 1, 2026[21].

- **VAT Threshold Reduction**: The registration limit will drop from LKR 60 million per annum to LKR 36 million per annum (LKR 9 million per taxable period)[21].
- **SSCL Threshold Reduction**: The registration limit will drop from LKR 60 million per annum to LKR 36 million per annum (LKR 9 million per quarter)[21].

This policy change will bring many mid-sized cooperative societies, previously excluded from indirect tax administration, into the monthly filing network by the second quarter of 2026[21]. This transition is further complicated by the repeal of the Simplified VAT (SVAT) scheme on October 1, 2025[3]. Cooperatives must now pay VAT on both imports and local transactions and apply for refunds, raising working capital requirements[3].

Mandatory Documentation, Certificates, and Electronic Attachments

The IRD enforces strict documentation requirements for corporate tax returns[4]. Under the Inland Revenue Act, a return submitted without its corresponding mandatory attachments is legally deemed "not to have been furnished," exposing the cooperative to immediate non-filing penalties[4]. To ensure a valid submission of Form Asmt_CIT_001, cooperative societies must prepare and upload the following comprehensive documentation package:

- **Audited Financial Statements**: Cooperatives must attach a complete set of financial

statements, including the statement of financial position, statement of financial performance, and notes, audited by an approved public accountant[1].
- **Tax Computation Statement (Schedule 8)**: A detailed calculation sheet demonstrating the reconciliation between the cooperative's accounting profit (or surplus) and its taxable income under the provisions of the Inland Revenue Act[4].
- **WHT and Advance Income Tax (AIT) Verified Schedules**: If the cooperative claims credits for taxes withheld at source (such as interest withholding tax on fixed deposits), it must upload the verified withholding schedules in CSV format[4]. This upload is mandatory if the schedules contain more than twenty distinct transactions[4].
- **Preparer Certificate (Section 02 - Part A)**: If the return was prepared by an external approved accountant or a paid tax agent, a separate certificate must be attached[4]. This certificate, signed by the preparer, must state the extent of their involvement, the source documents examined, and the level of information relied upon[4].
- **Transfer Pricing Disclosure Form (TPDF)**: If the cooperative engages in any controlled commercial transactions with associated enterprises (such as provincial federations or cooperative banks), a completed TPDF must be uploaded in both PDF/JPG and Excel formats[4].
- **Registrar of Cooperative Societies Annual Return**: Under the Cooperative Societies Law No. 5 of 1972, cooperatives are also required to file an annual statement of accounts and statistics with the Registrar within three months of the close of the financial year[1].

A critical compliance aspect is Section 126(5) of the Inland Revenue Act, as amended by Act, No. 10 of 2021[10]. If a tax return is prepared for a fee by an approved accountant or tax agent, the preparer must separately certify Section 02 – Part A of the return[4]. This certification must specify the extent of their involvement, the source documents examined, and the information relied upon[4].

Accounts, Auditing, and Chapter X Record-Keeping Obligations

Under Chapter X of the Inland Revenue Act No. 24 of 2017, all corporate taxpayers must comply with strict record-keeping rules[24]. Under Section 120, cooperatives must maintain accounts, financial statements, invoices, and underlying transactional records for a minimum of five years from the end of the relevant Year of Assessment[23].

These records must be in Sinhala, Tamil, or English[23]. If books are prepared in another language, the cooperative must provide translations at its own expense if requested by the Commissioner-General[23].

To satisfy tax audits, a cooperative's digital record-keeping system must maintain a transaction-level audit trail[25]. This audit trail must track transaction numbers, dates, creators, approvers, posting dates, and modifications[25].

```
TRANSACTION-LEVEL AUDIT TRAIL

• Document Number and Transaction Date
• User Identity: Creator and Approver Credentials
• Posting Date and Backdating Indicators
• Post-Creation Edits and Change History
• Linked Source Documents (Invoices, Receipts, Proof)
• Tax Classification, Rates, and Computed Penalties
• Reversals, Cancellations, or Deletions History
```

Cooperatives must also comply with daily cash transaction ceilings[28]. Under recent tax amendments, single-day payments exceeding LKR 500,000 to a single supplier cannot be made in cash[28]. Cooperatives must route large payments through traceable banking channels, such as bank deposits, bank drafts, online transfers, or checks[28].

If a cooperative pays more than LKR 500,000 in cash during a single day, it cannot claim that payment as a deductible business expense or count it toward the cost of an asset for depreciation[28]. This requires updating procurement procedures, particularly for direct cash transactions with rural agricultural suppliers[28].

Default Consequences, Administrative Penalties, and Statutory Interest

The IRD enforces a strict penalty regime for non-compliance with tax filing and payment schedules[17]. Failure to pay estimated quarterly installments or final tax liabilities on or before the designated due dates triggers immediate financial penalties and accruing interest[23].

Under Section 135 of the Inland Revenue Act, the default penalty for late payment is immediately assessed at 10% of the tax due[30]. In addition to this flat penalty, statutory interest is applied to the outstanding balance[30]. Default interest accrues at a rate of 2% per month (or part of a month) for as long as the tax remains unpaid[30]. The total payment default penalty and interest liability P_{total} can be modeled mathematically as follows:

$$P_{\text{total}} = 0.10 \times T_{\text{due}} + \sum_{m=1}^{n} (0.02 \times B_{\text{outstanding}})$$

where T_{due} is the original tax due, $B_{\text{outstanding}}$ is the outstanding balance, and m represents each month of default up to the statutory cap of 50% of the outstanding amount[30]. Late filing of returns also carries penalties[17]. The penalty for late filing is the greater of 5% of the tax owing plus 1% for each month of delay, or a flat fee[17]. Making an incorrect return can lead to penalties up to 200% of the additional tax plus flat administrative charges[30].

Summary of Crucial Dates & Compliance Milestones

To maintain administrative compliance and prevent penalties, cooperatives must adhere to the timeline summarized below:

- **August 15, 2025**: Deadline to file the Statement of Estimated Tax (SET) and pay the first quarterly installment for Y/A 2025/2026[12].
- **October 1, 2025**: Effective date of the SVAT repeal, requiring the transition to the standard VAT refund system[3].
- **November 30, 2025**: Deadline to e-file the Corporate Income Tax Return (Asmt_CIT_001) for Y/A 2024/2025[4].
- **November 15, 2025**: Deadline to pay the second quarterly installment for Y/A 2025/2026[13].
- **February 15, 2026**: Deadline to pay the third quarterly installment for Y/A 2025/2026[13].
- **April 1, 2026**: Effective date of the reduced VAT and SSCL registration thresholds to LKR 36 million per annum[21].
- **May 15, 2026**: Deadline to pay the fourth quarterly installment for Y/A 2025/2026[13].
- **November 30, 2026**: Deadline to e-file the Corporate Income Tax Return (Asmt_CIT_001) for Y/A 2025/2026[12].

Adhering to these dates and maintaining formal non-taxable confirmations from the IRD are essential steps for cooperatives to manage their direct and indirect tax obligations effectively[6].

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Legal and Compliance Framework of the Sri Lankan Co-operative Sector: Analysis of Tax Penalties, Interest, Compliance, and Appeals for 2025 and 2026

The co-operative sector in Sri Lanka, historically designed as a mechanism for community-focused and rural economic development, operates under a distinct dual-track regulatory and fiscal framework[1]. Guided primarily by the Co-operative Societies Law, No. 5 of 1972, and respective provincial council statutes, registered co-operative societies have long occupied a unique position within the national tax system[2]. Under the current Inland Revenue Act, No. 24 of 2017, registered co-operative societies are granted a comprehensive exemption from income tax on their business profits and income—including interest and dividend earnings—under paragraph (a)(v) of the Third Schedule[2].

However, this statutory exemption does not absolve the co-operative sector from a wide range of administrative, withholding, and transaction-related compliance duties[5]. As legal "persons" under Section 195 of the Inland Revenue Act, No. 24 of 2017, co-operatives are fully integrated into the statutory enforcement mechanisms administered by the Inland Revenue Department (IRD)[6].

The fiscal years 2025 and 2026 have introduced major reforms to Sri Lanka's revenue laws through the Inland Revenue (Amendment) Act, No. 2 of 2025 and the Inland Revenue (Amendment) Act, No. 11 of 2026[8]. These amendments have significantly increased the administrative penalties, interest rates, and legal consequences of compliance defaults[5]. They have shifted the enforcement approach from administrative civil remedies toward active criminal prosecution[5].

To ensure complete compliance and minimize risk, co-operatives must distinguish between traditional, fully exempt societies and corporatized co-operative financial and insurance institutions, which are subject to different tax treatments[2].

Co-operative Sector Entity Category	Primary Governing Legislation	Standard Income Tax Rate (2025/2026)	Primary Exemptions & Concessions
Registered Co-operative Societies	Co-operative Societies Law, No. 5 of 1972 (or Provincial Statutes)[2]	Exempt (0%) under Third Schedule, paragraph (a)(v)[2]	Full exemption on business profits, investment returns, interest, and

			dividends[3]
Corporatized Co-operative Financial Institutions (e.g., SDB Bank)	Banking Act, No. 30 of 1988 & Companies Act, No. 7 of 2007[12]	Standard Corporate Rate: 30% [cite: 12, 13, 15]	None; subject to standard banking sector provisions and Financial Services VAT (18%)[12]
Co-operative Sector Insurance Providers (e.g., Sanasa Life Insurance)	Regulation of Insurance Industry Act, No. 43 of 2000 & Companies Act[2]	Standard Corporate Rate: 30% [cite: 13, 15]	Exclusions apply only to standard qualifying policyholder life insurance payouts[10]

Late Filing Penalties and Surcharges

Co-operative societies, despite their general income tax exemption on business profits, are legally mandated to submit an annual Return of Income[2]. This obligation is critical for the IRD to verify the legitimacy of exempt amounts declared under the Third Schedule and to monitor potential non-exempt revenue streams[2]. Pursuant to Section 93(1) of the Inland Revenue Act, No. 24 of 2017, every corporate person must submit their annual tax return to the Commissioner-General of Inland Revenue (CGIR) no later than eight months after the conclusion of the Year of Assessment[19].

Because Sri Lanka's fiscal year runs on a current-year basis from April 1 to March 31 of the subsequent calendar year, the standard statutory filing deadline is November 30 of the following calendar year[19].

The Late Filing Penalty Formula

If a co-operative society fails to submit its annual return by the statutory deadline, it faces an immediate administrative penalty[18]. The penalty is determined as the greater of two distinct mathematical calculations[18]. This ensures that even entities with zero or minimal taxable liabilities—such as fully exempt co-operative societies—are subject to significant pecuniary surcharges to deter administrative negligence[5]. The penalty is calculated as:

$$\text{Penalty}_{\text{Late Filing}} = \max\left((0.05 \times T_{\text{owing}}) + (0.01 \times T_{\text{owing}} \times m_{\text{delay}}),\ 50,000 + (10,000 \times m_{\text{delay}})\right)$$

Where:

- T_{owing} represents the total tax outstanding at the filing deadline[15].

- m_{delay} represents the number of months (or part thereof) that the filing failure continues after the November 30 deadline[15].
- The maximum administrative penalty under this calculation is strictly capped at LKR 400,000[23].

For a tax-exempt co-operative society where $T_{\text{owing}} = 0$, the first limb of the formula yields zero. Consequently, the second limb operates as the active penalty mechanism[15]. If a co-operative delays submitting its return for four months, the penalty is calculated as:

$$\text{Penalty} = 50,000 + (10,000 \times 4) = \text{LKR } 90,000$$

This statutory minimum penalty applies regardless of the absence of actual tax liability, emphasizing the mandatory nature of the annual reporting requirement.

Weather-Related Extensions and Grace Periods

The IRD retains the administrative authority to grant temporary extensions under exceptional circumstances[24]. For the Year of Assessment 2024/2025, which ended on March 31, 2025, the statutory filing deadline was November 30, 2025[15]. Due to severe disruptions caused by the cyclonic storm 'Ditwah' and subsequent extreme weather conditions across Sri Lanka, the IRD issued a formal notice granting a statutory grace period[24].

Under this administrative relief, taxpayers who filed their returns on or before December 31, 2025, were exempted from late filing penalties, default assessments, and legal prosecutions[24]. Beyond such exceptional extensions, any delay in filing initiates immediate statutory penalties under the dual-calculation framework[18].

Criminalization of Filing Failures under Section 185A

The regulatory landscape underwent a dramatic shift with the enactment of the Inland Revenue (Amendment) Act, No. 11 of 2026[5]. Previously, the failure to submit a return was primarily treated as an administrative lapse resolved through financial surcharges[5]. The introduction of Section 185A establishes that a persistent failure to file a return, submit requested annual statements, or respond to IRD compliance notices constitutes a prosecutable criminal offense[5]. Upon detecting a filing default, the CGIR issues a written notice granting the co-operative society a strict 30-day statutory window to rectify the non-compliance[5]. If the society fails to submit the required documentation within this period without a reasonable, legally justifiable cause, the IRD may initiate summary criminal proceedings in the Magistrate's Court[5]. Upon conviction, the co-operative and its principal officers face:

- A maximum criminal fine of LKR 400,000[5].
- Imprisonment for a term of up to six months[5].
- Both such fine and imprisonment[5].

This amendment eliminates the option of treating late filing as a calculable cost of business[5]. It imposes direct personal liability on co-operative directors and administrative managers, aiming to enforce compliance across all corporate classes, including non-profit and exempt sectors[5].

Compliance Element	Standard Late Filing Framework (Y/A 2024/2025 & Prior)	Modernized Late Filing Framework (Y/A 2025/2026 & Beyond)
Minimum Pecuniary Penalty	LKR 50,000 plus LKR 10,000 per month[15]	LKR 50,000 plus LKR 10,000 per month[15]
Maximum Penalty Cap	LKR 400,000[23]	LKR 400,000[23]
Filing Medium	Manual or E-filing[18]	Mandatory E-filing for all corporate bodies[15]
Statutory Notice Period	Non-standardized administrative letters	Formal 30-day written cure notice[5]
Primary Legal Consequence	Cumulative financial penalties and surcharges	Magistrate's Court prosecution, fine up to LKR 400,000, and up to 6 months imprisonment[5]

Late Payment Penalties and Interest Surcharges

Sri Lanka's income tax regime operates on a current-year, self-assessment installment basis[26]. Under this framework, any person—including co-operative societies with non-exempt auxiliary business income or withholding tax liabilities—must compute and remit taxes in quarterly installments throughout the Year of Assessment[26].

Quarterly Installment Remittance Dates

The fiscal calendar requires quarterly estimated tax payments to be settled on or before specific statutory dates[26]. The specific periods and payment codes for the Year of Assessment 2025/2026 are structured as follows[29]:

Quarter	Period Covered	Payment Due Date	Payment Period Code
First Installment	April 01 to June 30, 2025	August 15, 2025	25261

Second Installment	July 01 to September 30, 2025	November 15, 2025	25262
Third Installment	October 01 to December 31, 2025	February 15, 2026	25263
Fourth Installment	January 01 to March 31, 2026	May 15, 2026	25264
Final Balance Payment	Year Ending March 31, 2026	September 30, 2026	25260

Underpayment Penalties and Interest Calculations

Failing to pay the required tax liability on or before the statutory due dates triggers a multi-tiered penalty and interest structure[18]. The penalties are categorized based on the nature of the payment default:

- **Installment Default Penalty:** If an installment payer fails to pay all or part of a quarterly installment by the due date, an immediate penalty of 10% is levied on the unpaid tax portion[18].

$$\text{Penalty}_{\text{Installment Default}} = 0.10 \times I_{\text{unpaid}}$$

- **Tax Period Default Penalty:** For final taxes due under self-assessments or default assessments issued by the IRD, failure to settle the outstanding amount within 14 days of the due date (or the date specified in the Notice of Assessment) triggers a 20% penalty[18].

$$\text{Penalty}_{\text{Tax Period Default}} = 0.20 \times T_{\text{unpaid}}$$

- **Statutory Interest Surcharge:** In addition to flat penalties, outstanding tax liabilities are subject to a monthly interest charge of 1.5%[18]. This interest is computed monthly on a compound basis, covering any part of a month during which the payment remains late[18].

$$\text{Interest}_{\text{Late Payment}} = \sum_{t=1}^{m_{\text{late}}} 0.015 \times P_{\text{outstanding}}$$

These interest charges and penalties are non-reducible and cannot be administratively waived or reduced by revenue officers, except under specific legislative amnesties[31].

Special Interest Relief Scheme under Act No. 11 of 2026

To recover billions in uncollected tax arrears and resolve thousands of prolonged disputes, Parliament enacted a concessionary measure through Section 42 of the Inland Revenue (Amendment) Act, No. 11 of 2026[9]. This scheme provides a complete discharge of outstanding interest charges for taxpayers with defaults originating in the Year of Assessment 2024/2025 or any prior fiscal year[9].

To qualify for the complete waiver of accumulated interest, the co-operative society or corporate taxpayer must fulfill the following statutory conditions[9]:

1. **Full Principal Settlement:** The full principal tax amount relating to any assessment—including self-assessments, default assessments, additional, or amended assessments—must be paid in full on or before December 2, 2026 (exactly six months from the certification date of June 3, 2026)[9].
2. **Written Penalty Waiver Request:** Taxpayers must submit a written request to the Commissioner of the relevant regional office or unit, providing just and equitable reasons to seek the waiver of related administrative penalties[9].
3. **Settlement of Non-Waived Penalties:** If the CGIR determines that a portion of the penalty is still payable, that remaining balance must also be fully settled on or before December 2, 2026[9].
4. **Resolution of Pending Audits and Appeals:** Taxpayers currently undergoing audits, administrative reviews, or appeals at the Tax Appeals Commission (TAC) can settle their principal tax liabilities before December 2, 2026, to qualify for the interest relief[9]. This allows them to freeze the dispute and resolve the liability without escalating interest costs[9].

This scheme strictly prohibits the refund of any interest payments made prior to June 3, 2026[9]. However, if a taxpayer previously made a payment toward principal that was wrongly appropriated by the IRD against outstanding interest, the recovered interest amount will be transferred and credited toward the outstanding principal liability[9].

Fiscal Element	Standard Late Payment Terms (2025–2026)	Section 42 Concessionary Terms (Expiry 02.12.2026)

Installment Default Penalty	10% of unpaid quarterly installment[18]	Discharged or subject to written waiver review[9]
Assessment Default Penalty	20% of assessed tax after 14 days of default[18]	Discharged or subject to written waiver review[9]
Interest Surcharge Rate	1.5% per month, compounded monthly[18]	Fully waived/discharged for Y/A up to 2024/2025[9]
Administrative Recourse	Non-reducible and strictly enforced[32]	Fully discharged upon 100% principal payment[9]

Penalties for Incorrect Returns and Misleading Statements

The integrity of a self-assessment tax system relies on the accuracy of the declarations made by taxpayers[27]. To deter understatement, under-withholding, or false assertions of tax-exempt status, the Inland Revenue Act enforces strict monetary penalties for incorrect returns and misleading statements[18]. Co-operative societies must ensure that all exempt claims, deductible business expenses, and withholding certificates are fully supported by verifiable records[5].

False or Misleading Statements (Section 11)

A taxpayer who makes a false or misleading statement—whether through omission, active misrepresentation, or submitting incorrect forms—is subject to an administrative penalty computed as the greater of two values[18]:

- A flat penalty of LKR 50,000[18].
- The exact tax shortfall, defined as the difference between the tax payable as determined by the IRD and the tax that would have been payable had the false statement been accepted[18].

This penalty structure applies extensively to supplementary compliance documents[35]. For instance, under the 2025 amendments, resident individuals receiving bank deposit interest may file a self-declaration to exempt small interest earnings from Advance Income Tax (AIT) withholding, provided their overall income remains below the taxable threshold[35]. Under Section 185A, submitting false or misleading information on this self-declaration form carries an immediate penalty of up to LKR 200,000[35]. Additionally, the individual is permanently barred from submitting future self-declarations, exposing all subsequent interest earnings to standard withholding rates at source[35].

Penalties for Understating Tax Liability

During a tax audit or investigation, if the IRD discovers that a corporate entity or co-operative society has understated its overall tax liability, specific percentage penalties are applied directly to the understated amount[23]. The penalty rate is scaled based on the scale of the understatement to target aggressive tax avoidance and evasion[23]:

- **Minor Understatement:** If the understated tax liability is less than LKR 10 million, or constitutes less than 25% of the total tax liability determined, the penalty is set at 25% of the understated amount[23].
- **Major Understatement:** If the understated tax liability is LKR 10 million or more, the penalty escalates to 75% of the understated tax amount[23].

For historical contexts or legacy corporate tax disputes still under adjudication for years prior to the 2017 Act, the IRD continues to apply the previous penalty framework[37]. Under the Inland Revenue Act, No. 10 of 2006, the penalty for making an incorrect return could reach a maximum sum not exceeding the aggregate of 200% of the additional tax avoided, plus LKR 2,000[38].

Nature of Assessment Understatement	Understatement Threshold	Penalty Rate applied on Shortfall (No. 24 of 2017)	Historical Penalty Rate (No. 10 of 2006)
Minor Compliance Error	Under LKR 10 million and under 25% of total liability[23]	25% of the understated tax amount[23]	Up to 200% of tax avoided + LKR 2,000[38]
Major Discovered Discrepancy	LKR 10 million or more[23]	75% of the understated tax amount[23]	Up to 200% of tax avoided + LKR 2,000[38]
Fraudulent Misrepresentation	Any value showing active intent to evade	Subject to summary trial and potentially higher criminal charges[5]	Criminal prosecution and full seizure of assets[30]

Broader Non-Compliance and Regulatory Surcharges

The operations of co-operative societies in Sri Lanka are subject to several broad compliance requirements[1]. These span withholding taxes, digital system integrations, banking restrictions, and specific sector laws, each carrying significant financial penalties for non-compliance[5].

Mandatory Registration and Taxpayer Identification Number (TIN)

Under the 2026 amendments, possessing a Taxpayer Identification Number (TIN) is no longer a matter of administrative choice[36]. Every company, partnership, trust, or co-operative society incorporated or registered in Sri Lanka must formally register with the CGIR to obtain a TIN within 30 days of its registration[10].

The TIN has become mandatory for executing standard financial and administrative transactions, including opening bank accounts, registering vehicles, transferring land, and securing building plan approvals[36]. The 2026 amendment also enacted two structural changes:

- The TIN is no longer treated as confidential or secret information, allowing financial and regulatory counterparties to verify registration status[10].
- The law allows taxpayer database information to be shared directly with specified public institutions, such as the Central Bank of Sri Lanka, to aid financial crime prevention and regulatory oversight[10].

Cash Transaction Surcharges and Limitations

To combat informality and trace commercial transactions, the government enforces strict rules on raw cash transactions[35]. Co-operative societies must ensure that any payment exceeding LKR 500,000 in a single day—whether for a single purchase or across a series of connected payments relating to the same event—is executed through traceable electronic or banking methods[35].

Permissible payment methods include "Account Payee Only" checks, bank drafts, direct bank deposits, online banking transfers, or credit/debit card transactions[35]. If a co-operative executes a payment exceeding LKR 500,000 in raw cash, it face two severe tax penalties[35]:

- The payment cannot be claimed as a deductible business expense when calculating assessable income[35].
- The payment cannot be included in the cost base of an asset for depreciation or capital gains tax purposes[35].

These restrictions do not apply to payments made to or by government institutions, licensed commercial banks, or specific entities exempted by the Minister of Finance[35].

Withholding and Employer Obligations (APIT, EPF, and ETF)

Co-operative societies act as statutory withholding agents for their employees and financial members[9]. They must manage these obligations to avoid significant financial penalties[22]:

- **Advance Personal Income Tax (APIT):** APIT is mandatory for all employees earning more than LKR 1.8 million per year (LKR 150,000 per month)[20]. The personal tax-free relief was increased to LKR 1.8 million effective April 1, 2025, under the Inland Revenue Amendment Act, No. 2 of 2025[8]. Co-operatives must deduct progressive tax rates of 6% to 36% from employees' taxable salaries monthly and remit the funds to the IRD by the 15th of the following month[8].
- **Employees' Provident Fund (EPF):** Employers must contribute 12% of each

employee's gross monthly salary to the EPF, while deducting an 8% mandatory employee contribution from their salary[20]. This 8% contribution is deductible from the employee's taxable income when calculating APIT[20].

- **Employees' Trust Fund (ETF):** Co-operatives must make a mandatory employer contribution of 3% of each employee's gross monthly salary to the ETF[20]. This is an additional employer expense and must not be deducted from the employee's salary[20].

Value Added Tax (VAT) Compliance Surcharges

When co-operative societies engage in retail, manufacturing, or commercial activities, they are subject to the standard Value Added Tax (VAT) regime, which is strictly enforced at 18% [40]. Important changes in VAT enforcement for 2025 and 2026 include[13]:

- **Repeal of the SVAT Scheme:** The Simplified Value Added Tax (SVAT) scheme, which previously allowed exporters and specific registered buyers to avoid cash VAT outlays, was repealed effective October 1, 2025[13]. Co-operatives must now pay VAT on both imports and domestic local purchases, subsequently applying for cash refunds of excess input tax[13].
- **VAT Refund Fund Expansion:** To mitigate liquidity issues from the SVAT repeal, the allocation to the VAT Refund Fund was increased from 6% to 10% effective October 1, 2025[13].
- **Lowering of Registration Thresholds:** Effective April 1, 2026, the VAT registration threshold is reduced to broaden the tax base[42]. Medium-sized co-operative networks must register and comply with VAT to avoid retroactive default assessments[31].
- **Disallowed Input Tax Credits:** Under IRD guidelines, input tax credits on domestic purchases must be claimed within 12 months, and on imports within 24 months[31]. Late filing of VAT returns can result in these tax credits being permanently disallowed, transforming VAT outlays into direct business costs[31].

Life Insurance Tax Evasion Targets (Section 52A)

The Inland Revenue (Amendment) Act, No. 11 of 2026 introduced Section 52A to curb tax avoidance schemes that exploit the tax-exempt status of life insurance payouts[10]. Some financial institutions had structured products as "shadow deposit" schemes[16]. These offered guaranteed returns similar to fixed deposits, but packaged them as insurance policies to avoid AIT[16].

Under the new Section 52A, standard life insurance payouts arising from the death of the insured, policy maturity, or policy surrender remain excluded from assessable income[10]. However, the exemption is disallowed for periodic withdrawals, annuities, pension payouts, or any payment that constitutes business or employment income[10]. Any such periodic disbursement is treated as taxable assessable income, exposing the recipient to standard withholding and corporate rates[10].

The Tax Appeals Process and Dispute Resolution

When a co-operative society is served with a default assessment, an additional assessment, or an adverse administrative decision by the IRD, it has the statutory right to challenge the decision[23]. Sri Lanka's tax appeals process is structured across four primary stages, moving from internal administrative reviews to the highest judicial bodies[23].

Stage 1: Administrative Review by the CGIR

The dispute resolution pathway begins at the administrative level[28]. Under Section 139 of the Inland Revenue Act, No. 24 of 2017, a taxpayer must submit a written Request for Administrative Review (RAR) to the CGIR[28]. This request must be submitted within 30 days from the date of service of the tax decision or Notice of Assessment[28].

If the assessment was issued in the absence of a return, the RAR is legally invalid unless it is accompanied by a completed, duly executed tax return for that period[28]. The objection is evaluated by a senior revenue officer who was not involved in making the original disputed assessment[28]. The CGIR must acknowledge receipt of the objection within 30 days[28].

To expedite the tax appeal process, the 2025 and 2026 administrative reforms have prioritized reducing the time required for administrative reviews[33]. Historically, administrative reviews could take up to two years, freezing substantial tax revenues[33]. Following cabinet decisions and subsequent 2025/2026 administrative directives, the IRD has moved to expedite these reviews, instructing tax officials to resolve administrative objections within a shorter period or face automatic escalation[9].

Stage 2: Appeal to the Tax Appeals Commission (TAC)

If the CGIR rejects the administrative objection, issues an unfavorable amended assessment, or fails to make a determination within the statutory period, the co-operative may appeal to the Tax Appeals Commission (TAC)[28]. Under the Tax Appeals Commission Act, No. 23 of 2011, the appeal must be filed within 30 days of receiving the CGIR's determination[46].

A primary statutory requirement is that the appellant must deposit a sum equivalent to 25% of the total assessed tax in dispute into a special escrow account operated by the Commission[46]. The onus of proving that the assessment as determined by the CGIR is excessive or erroneous lies entirely on the appellant[46]. All hearings before the Commission are conducted strictly *in camera* to preserve taxpayer confidentiality[46].

Under current regulations, the TAC must issue its written decision within 270 days from receiving the appeal[33]. To address a backlog of 495 pending cases valued at LKR 63 billion, recent cabinet decisions authorized amendments to the Tax Appeals Commission Act[47]. These reforms increased the number of Commission members from 9 to 12 and the number of active hearing panels from 3 to 4, significantly accelerating the dispute resolution timeline[47].

Stage 3: Judicial Appeal to the Court of Appeal

If the taxpayer or the CGIR is dissatisfied with the determination of the TAC, they may appeal to the Court of Appeal of Sri Lanka[43]. Under Section 144 of the Inland Revenue Act, No. 24 of 2017, the dissatisfied party must file a formal notice of appeal with the Court of Appeal within one month of being notified of the TAC decision[48]. This appeal is strictly limited to questions of law[43]. The appellant must request the TAC to state a case for the opinion of the Court of Appeal, setting out the material facts, the evidence, and the specific legal questions in dispute[48].

Taxpayers must pay close attention to procedural deadlines[48]. In recent judicial cases, such as *CA Tax No. 123/2024*, the Court of Appeal dismissed an appeal without considering its merits because the taxpayer failed to file the formal notice of appeal within the strict statutory period[48]. This highlights the importance of timely compliance at every stage of the appeal[48].

Stage 4: Appeal to the Supreme Court

The final stage of legal recourse is an appeal from the Court of Appeal to the Supreme Court of Sri Lanka[43]. This appeal is also restricted to questions of law and requires the granting of special leave to appeal[43].

Taxpayers must recognize that lodging an appeal or requesting an administrative review does *not* suspend the statutory due dates for paying assessed taxes[9]. Under Section 142 of the Inland Revenue Act, No. 24 of 2017, the disputed tax remains fully due and payable despite any active review or appeal, unless the CGIR grants a formal extension of time under Section 151[9]. Consequently, the IRD has the legal authority to continue active debt recovery and enforcement actions—including creating liens on property or executing seizures of assets—while an appeal is pending[9]. If a co-operative society decides to make payment under protest to stop recovery action, any such payment is treated as tax collected[9]. If the appeal is subsequently decided in the co-operative's favor, the refund is processed as a Commissioner-General's Initiative, and a formal claim for the refund must be submitted within six months of the final determination[9].

Strategic Compliance Guidelines for Co-operative Boards

The significant changes in Sri Lanka's tax laws for 2025 and 2026 require co-operative management committees and board directors to adopt a proactive approach to tax compliance[5]. To navigate this environment, reduce tax liability, and avoid severe administrative or criminal penalties, co-operatives should implement the following strategic measures:

Take Advantage of the Interest Relief Scheme

Co-operatives should conduct an immediate internal review of all tax files and outstanding assessments up to the Year of Assessment 2024/2025[9]. If any underpayments or unpaid assessments (such as disputed VAT, APIT, or corporate income tax) are identified, the co-operative should settle the full principal tax amount on or before the statutory deadline of **December 2, 2026**[9]. This allows the entity to qualify for the full write-off of accrued interest

under Section 42 of Act No. 11 of 2026[9].
Following the principal payment, a formal written request for the waiver or reduction of associated administrative penalties should be submitted to the relevant Regional Commissioner[9].

Transition to Digital E-Filing Systems

Because e-filing of tax returns is mandatory for all corporate taxpayers, co-operatives must move away from manual return preparation[15]. Management must ensure that their IT systems or external tax advisors are fully integrated with the IRD's Revenue Administration Management Information System (RAMIS)[25].
Annual returns for the Year of Assessment 2024/2025 must be submitted via the portal, ensuring that all mandatory schedules—specifically the schedules for exempt income and tax-free qualifying payments—are fully completed to prevent automated default assessments[18].

Implement Strict Cash Transaction Controls

To preserve the deductibility of business expenses and ensure that the cost base of new acquisitions is recognized for tax purposes, co-operatives must implement strict internal banking controls[35].
The accounting department must enforce a rule that no single payment, or series of connected payments in a single day, exceeding LKR 500,000 is to be settled in raw cash[35]. All such transactions must be executed through traceable electronic transfers, direct bank deposits, or "Account Payee Only" checks[35].

Audit and Reconcile Employer Obligations

Co-operative boards must ensure that their human resource and payroll departments are fully compliant with the updated APIT, EPF, and ETF remittance rules[20]. With the personal income tax relief threshold set at LKR 1.8 million per year (LKR 150,000 per month) from April 1, 2025, co-operatives must accurately calculate and deduct monthly APIT from all eligible employees[8].
They must also ensure that the mandatory 12% employer and 8% employee EPF contributions, along with the 3% employer ETF contributions, are remitted to their respective statutory bodies on time every month to avoid cumulative interest surcharges[20].

Establish an Audit Trail for Exemptions

Traditional co-operative societies enjoying tax-exempt status under the Third Schedule must maintain rigorous, auditable financial records[18]. Every transaction, receipt of dividend, or interest payment must be documented to prove to the IRD that the society's activities conform strictly to the co-operative principles outlined in the Co-operative Societies Law, No. 5 of 1972[3]. This documentation is essential to prevent the IRD from disputing the tax-exempt status and issuing default assessments during routine audits[9].

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The Sri Lankan Cooperative Taxation, Electronic Compliance, and Auditing Framework: Statutory Mandates for 2025 and 2026

The fiscal landscape of Sri Lanka has undergone rapid transformation, driven by ambitious revenue mobilization strategies and administrative digitalization. This development is legally anchored in the Inland Revenue (Amendment) Act, No. 02 of 2025 and the subsequent Inland Revenue (Amendment) Act, No. 11 of 2026[1]. Cooperative societies—which historically served as vital instruments for grassroots development, agricultural value chains, and community microfinance—must navigate a highly modernized, electronic-first tax environment[3].
While cooperative societies retain fundamental tax exemptions designed to foster rural economic stability, their operational, withholding, and transaction-related reporting obligations have been strictly integrated into standard corporate and individual tax tracking systems. This guide provides a detailed analysis of the tax forms, document requirements, and compliance timelines governing cooperative societies in Sri Lanka for the tax years 2025 and 2026.

Legislative Foundation and Income Tax Exemptions

Under the Inland Revenue Act, No. 24 of 2017 (as amended), cooperative societies registered under the Co-operative Societies Law, No. 5 of 1972 (or equivalent provincial council statutes) occupy a protected status[6]. Specifically, the Third Schedule of the Act lists "any registered society within the meaning of the Co-operative Societies Law, No. 5 of 1972" under its designated "Exempt Amounts"[7].
This exemption covers the direct profits and income generated by the cooperative from its core agricultural, retail, or financial services rendered to its members[10]. However, this exemption is not unconditional. Transactions occurring outside the strict definition of cooperative-member mutual activities, or gains realized on investment assets (such as the disposal of immovable property or investment shares), remain subject to specific corporate tax rates and capital gains provisions[11].
Additionally, registered cooperative societies enjoy structural exemptions from certain secondary taxes. Under historical and consolidated provisions, cooperatives are explicitly excluded from the liability to pay the Economic Service Charge (ESC), which applies to other corporate entities and partnerships with quarterly turnovers exceeding LKR 12.5 million[9]. To contrast these exemptions with standard corporate liabilities, standard tax rates for other legal entities during this period are summarized below.

Entity Type	Applicable Standard Tax Rate (2025/2026)	Special or Concessionary Rates
Standard Corporations	30%[12]	15% for Service Exports and Foreign Sources[1]
Partnerships	6% on excess over LKR 1,000,000[11]	0% below LKR 1,000,000[11]
Non-Governmental Organizations	30% on taxable income[11]	30% on 3% of aggregate grants/contributions[11]
Charitable Institutions	14% on taxable income[11]	10% on realization of investment assets[11]
Trusts / Unit Trusts	30% on taxable income[12]	10% on realization of investment assets[13]
Cooperative Societies	**Exempt** (on member-derived mutual income)[7]	Standard Corporate rates on non-mutual/investment income[11]

Corporate Income Tax Return Forms and Registration Compliance

Despite the broad income tax exemptions granted under the Third Schedule, cooperative societies must maintain active tax registrations and satisfy mandatory annual reporting requirements to preserve their compliant status[7]. The Inland Revenue Department (IRD) utilizes standardized corporate forms to track the asset bases, financial flows, and exempt income of all non-individual entities, including cooperatives[18].

E-Filing Mandate and Form Registration

Pursuant to Section 113(1)(B) of the Inland Revenue Act, No. 24 of 2017 (as amended by Act No. 04 of 2023), electronic filing (e-filing) of tax returns is mandatory for all corporate taxpayers and registered entities[12]. Consequently, paper-based physical submissions are no longer legally permitted without prior, explicit authorization from the Commissioner-General[17].

To interact with the IRD web portal (RAMIS), a cooperative must possess a valid Taxpayer Identification Number (TIN) and a corresponding Personal Identification Number (PIN)[20]. If a cooperative needs to amend its structural, leadership, or banking details (e.g., changes to its Board of Directors or key administrative officers), it must submit the specialized *Application Form for Change Taxpayer Registration Details (For NGO / Charity / Co-op / Associations & Clubs / Semi Government Institutions / Government Institutions / Provident Fund / Trust /*

Embassy / High Commissions / Others) via the e-Services portal[18].

Structure of the Return of Income: Form Asmt_CIT_001_E

Cooperatives are required to utilize the standardized Corporate Income Tax (CIT) return architecture to declare their annual operational status[17]. The return package consists of:

- **Main Return (Form Asmt_CIT_001_E):** Incorporates the primary statement of gains, profits, and direct declarations of tax liability[17].
- **Schedules to Return of Income – Part A (Form Asmt_CIT_002A_E):** Entails key reconciliations, such as Schedule 1 (exempt profits and income)[17].
- **Schedules to Return of Income – Part B (Form Asmt_CIT_002B_E):** Focuses on detailed financial statements and tax computations[17].
- **Transfer Pricing Disclosure Form (Form Asmt_TPDF_01_E):** Applicable if the cooperative has engaged in transactions with associated undertakings (e.g., apex bodies or subsidiary commercial arms) exceeding the statutory threshold[17].

Declaring Exempt Cooperative Income

To prevent the mischaracterization of mutual profits as taxable corporate income, cooperative administrators must meticulously isolate their exempt revenues[7].

1. **Schedule 1 (Exempt Profits and Income):** All profits derived from mutual member-based activities must be declared within this schedule[24].
2. **Main Return Cage Allocation:** The consolidated figure from Schedule 1 is mapped directly to **Cage 10.A.1** (Exempt amounts under the Third Schedule of the Inland Revenue Act, No. 24 of 2017) on the main return[7].
3. **Investment and Non-Mutual Income:** Any interest, rent, or business income derived from transactions with non-members, or gains from the realization of investment assets, must be declared in **Cage 20** (Profits from Trade or Business) or **Cage 50** (Rents) and taxed at the appropriate corporate or capital gains rate[9].

The statutory deadline for submitting the annual Return of Income (CIT return) is **November 30th** following the end of the relevant Year of Assessment[17]. For example, the return for the Year of Assessment 2024/2025 (covering the period from April 1, 2024, to March 31, 2025) must be successfully e-filed on or before November 30, 2025[17].

Form Code	Document / Return Name	Statutory Purpose	Filing Deadline
Asmt_CIT_001_E	Return of Income (Corporate)[17]	Declares total statutory gains, exempt distributions, and tax payable[17]	November 30th post-assessment year[17]

Asmt_CIT_002A_E	Schedules to Return of Income – Part A[17]	Lists exempt profits (Schedule 1) and adjusted business profits[24]	Submitted concurrently with Main Return[17]
Asmt_CIT_002B_E	Schedules to Return of Income – Part B[17]	Displays balance sheets, audits, and key financial ratios[17]	Submitted concurrently with Main Return[17]
Asmt_CIT_003_E	Guide to Corporate Tax Return[17]	Official guideline containing instructions for form completion[17]	For administrative reference only[17]
Asmt_TPDF_01_E	Transfer Pricing Disclosure Form[17]	Discloses international or local transactions with associates[17]	Submitted concurrently with Main Return[17]
TIN/PIN Forms	Registration / Change Application[18]	Registers the entity or updates key management profiles[18]	Within 30 days of any corporate structural change[18]

Failure to file returns by the due date or presenting inaccurate statements exposes cooperatives to severe statutory penalties[25]. The IRD enforces a flat penalty of up to LKR 50,000 for late return submissions[17]. Additionally, late payment of tax liabilities incurs an immediate 10% penalty on the tax payable, plus an ongoing monthly interest charge of 2% of the outstanding balance, capped at a cumulative maximum of 50%[17]. Preparing or filing a false or misleading return is treated as a criminal offense, carrying potential penalties of up to 200% of the additional tax avoided, alongside prosecution[17].

Value Added Tax (VAT) and the Elimination of the SVAT Scheme

The tax periods of 2025 and 2026 mark a structural shift in Sri Lanka's indirect taxation framework, directly impacting cooperatives involved in supply chains, exports, and agro-processing[27].

The Abolition of the Simplified VAT (SVAT) Scheme

Effective **October 1, 2025**, the Simplified Value Added Tax (SVAT) scheme is formally abolished[29]. Historically, SVAT allowed registered exporters and strategic suppliers to purchase inputs with suspended VAT, minimizing cash flow blockages. Under the transition guidelines issued by the IRD (including Notice PN/SVAT/2025-02), all registered identified purchasers (RIP) and registered identified suppliers (RIS) under the SVAT scheme were required to finalize and submit all outstanding SVAT schedules (including Forms SVAT 05, SVAT 05a, SVAT 05b, SVAT 06, and SVAT 07) up to the period ending September 30, 2025, by the absolute deadline of October 31, 2025[31]. The submission portal for SVAT credit vouchers and suspended tax invoices was permanently deactivated on November 1, 2025[29].

Implementation of the Risk-Based Refund Scheme (RBRS)

To replace SVAT, the IRD has implemented the **Risk-Based Refund Scheme (RBRS)** to process VAT refund claims for eligible exporters and projects[31]. This scheme categorizes taxpayers into three risk tiers—**Low Risk**, **Medium Risk**, and **High Risk**[33].

These risk ratings are determined by the Commissioner-General of Inland Revenue (via the Risk Management Unit) based on several quantitative parameters[34]:

- The taxpayer's historical tax return and payment compliance[34].
- The integrity and stability of reported revenue trends[34].
- Prior audit findings and the presence of unexplained fluctuations in income[34].
- Data verification against external third-party sources, such as Sri Lanka Customs and the Central Bank of Sri Lanka[34].

Low-risk and medium-risk cooperatives are entitled to fast-tracked refunds without pre-verification, whereas high-risk entities are automatically routed to the Export Refund Verification Unit for mandatory pre-verification audits[33].

Under Section 22(5) of the VAT Act, refunds are legally mandated to be issued within **45 days** from the return due date or the date of compliance with a formal information notice (Notice 2) issued by the IRD, whichever is later[29]. Furthermore, to facilitate this rapid refund loop, eligible cooperative exporters are shifted automatically from quarterly to **monthly taxable periods**[29].

Real-Time Record Capturing and Mandatory E-Filing

Effective July 1, 2025, the VAT compliance system moved to **100% electronic filing**[22]. Under this upgraded system:

- **Upfront Schedule Capturing:** Cooperative taxpayers are no longer permitted to compile VAT schedules offline as CSV files to upload only at month-end[22]. Instead, VAT schedule records (specifically, Schedule 01 for Output, Schedule 02 for Local Inputs, and Schedule 03 for Import Inputs) must be captured directly via RAMIS e-Services in real time throughout the taxable period[22].
- **Unified Refund Requests:** Separate Refund Mode Instructions (RMI) have been eliminated[22]. Cooperatives must execute refund requests directly within the primary monthly VAT return submission[22].

VAT Registration and Threshold Reductions

While the standard VAT rate remains at **18%**, the registration thresholds are scheduled for a drastic reduction to broaden the tax net[11].

Year / Period	Annual Turnover Threshold	Quarterly/Taxable Period Threshold	Compliance Document Requirements
Up to March 31, 2026	LKR 60 Million[11]	LKR 15 Million[14]	Monthly/Quarterly Return, Output/Input e-Schedules[29]
From April 1, 2026	LKR 36 Million[36]	LKR 9 Million[36]	Standardized Tax Invoices, Real-time RAMIS entry[22]

Cooperatives engaged in commercial import or export activities are subject to **mandatory VAT registration** from April 1, 2025, completely irrespective of their annual turnover or tax-exempt status[38]. This ensures that any cooperative importing machinery, agricultural inputs, or exporting finished goods is locked into the digital VAT tracking system.

To process these filings, the cooperative must maintain and submit the specific schedules outlined below:

- **VAT Schedule 01 (Output Tax):** Records sales values, taxable supplies, and total output tax generated[32].
- **VAT Schedule 02 (Input Tax - Local Purchases):** Captures VAT paid on domestic raw materials and services[32].
- **VAT Schedule 03 (Input Tax - Imports):** Logs VAT paid to Sri Lanka Customs at the point of entry[32].
- **VAT Schedule 04 (Credit & Debit Notes):** Performs post-sale price or quantity adjustments[32].
- **VAT Schedule 05 (Deemed Input Tax):** Formulates inputs under specific wholesale or retail rules[32].
- **VAT Schedule 06 (Goods Export):** Contains customs declarations and shipping bills to justify zero-rated tax status[32].
- **VAT Schedule 07 (Service Export):** Details foreign currency remittance records and bank confirmations[32].

Mathematically, the monthly net VAT liability or refund position of a registered cooperative is represented by the formula:

$$\text{Net VAT Payable/Refundable} = \sum(\text{Output VAT Schedule 01}) - \left[\sum(\text{Input VAT Schedule 02}) + \sum(\text{Input VAT Sc}\right.$$

Withholding Tax (WHT) and Advance Income Tax (AIT)

Forms

Under the revised monetary and fiscal policies, Advance Income Tax (AIT), which functions as a withholding tax on investment returns, has been adjusted to strengthen direct revenue collection[36].

Standard Rates and Deductions on Interest

Effective **April 1, 2025**, the standard AIT rate deducted at source on interest or discounts paid by banks and financial institutions on deposits is **10%** (an increase from the previous 5% rate)[1]. This deduction occurs at the time interest is paid, credited, accumulated, capitalized, or reinvested[39].

Cooperative Interest Exemption Management

Because cooperative societies are legally exempt from income tax on member-derived funds under the Third Schedule of the Inland Revenue Act, interest accruing to deposits maintained by registered cooperatives in commercial banks is exempt from AIT[7]. However, to prevent banks from automatically withholding 10% of their deposit interest, cooperatives must follow the formal administrative procedure established under IRD Circular No. SEC/2025/E/02[39]:

1. **Obtain Confirmation Letter:** The cooperative must apply for and obtain an official *Income Tax Exemption Confirmation Letter* from the CGIR[39]. This application is routed through the Commissioner of the Consultation and Promotion Unit (located on the 2nd Floor of the IRD Head Office, Colombo)[39].
2. **Serve to Bank:** The physical or digital confirmation letter must be served directly to the bank or financial institution acting as the Withholding Agent (WHA) prior to the scheduling of the interest payment[39].
3. **AIT Non-Deduction:** Upon receipt of the validated IRD exemption letter, the financial institution will log the cooperative's accounts as exempt, ensuring interest is credited at 100% gross value without deduction[39].

Filing of Quarterly and Annual Statements of AIT

Financial institutions and any cooperative operating as a savings or credit society (e.g., Co-operative Rural Banks - CRBs, or Thrift and Credit Co-operative Societies - TCCSs) that pay interest to deposit holders are designated as Withholding Agents[39]. Under Section 86(8) of the Act, they must comply with strict reporting schedules[41]:

- **Quarterly Statement of AIT (Form Asmt WHT_001Q_E):** WHAs must file quarterly statements electronically within **30 days** of the end of each quarter[41].
- **Annual Statement of WHT/AIT (Form Asmt WHT_001_E):** Due annually on or before **April 30th** following the end of the fiscal year[23].

The quarterly reporting periods and period codes for the Year of Assessment 2025/2026 are structured as follows[41]:

Quarter Ended	Period Code	Submission Deadline	Required Attachments and Schedules
June 30, 2025	25261[41]	July 30, 2025[41]	Form Asmt WHT_001Q_E, interest list Schedule 01 & 04[41]
September 30, 2025	25262[41]	October 30, 2025[41]	Form Asmt WHT_001Q_E, interest list Schedule 01 & 04[41]
December 31, 2025	25263[41]	January 31, 2026[41]	Form Asmt WHT_001Q_E, interest list Schedule 01 & 04[41]
March 31, 2026	Combined with Annual[41]	April 30, 2026[41]	Form Asmt WHT_001_E, Consolidated Annual WHT Schedule[23]

Additionally, if a cooperative makes other taxable payments (such as rents or service fees exceeding LKR 100,000 per month) to resident individuals, it must deduct WHT at the rate of 10% for rents and 5% for specified service fees (such as commissions, brokerages, or professional services)[14]. These transactions are declared under **Schedule 2A** (Payments to Residents) and **Schedule 2B** (Payments to Non-Residents) of the Annual Statement of WHT[23].
For individual cooperative members who have experienced AIT deductions on their personal accounts despite falling below the taxable threshold, the following forms are utilized for claims:

- **Form ISD/WHT/01-E or ISD/WHT/02-E:** Used by resident individuals to declare non-taxable status to their banks for 2025/2026 if aggregate annual income is less than LKR 1,800,000[18].
- **Form RFN/WHT/01-E:** Registration form for senior citizen refunds on deposit interest[18].
- **Form RFN/WHT/02-E:** Application form for senior citizens to claim quarterly refunds of deducted AIT (limited to quarterly claims under LKR 45,000 prior to tax audits)[1].

Advance Personal Income Tax (APIT) and Employer Forms

Registered cooperative societies often employ a substantial local workforce across administrative, manufacturing, and distribution sectors[5]. As employers, cooperatives are legally bound to act as withholding agents for the collection of Advance Personal Income Tax (APIT) from employee compensation[47].

Taxable Thresholds and Reliefs

For the Year of Assessment 2025/2026 (commencing April 1, 2025) and onwards, the statutory personal relief available to resident individuals and citizen employees is **LKR 1,800,000 per annum** (equivalent to LKR 150,000 per month)[1]. Employees whose monthly gross remuneration (excluding exempt terminal benefits and specific government pensions) exceeds LKR 150,000 are subject to mandatory APIT deductions[48]. For non-resident and non-citizen employees, this LKR 1.8 million annual relief is unavailable, subjecting their entire employment income to immediate withholding[48].

The monthly progressive tax on an employee's taxable income is calculated using the following mathematical formulation:

$$\text{Monthly Tax Liability} = \sum_{i=1}^{n} \left(R_i \times \min\left(\max\left(I_{\text{taxable}} - L_i, 0\right), U\right.\right.$$

Where I_{taxable} represents the portion of monthly gross remuneration exceeding LKR 150,000[48]. The progressive tax rate schedule for the Year of Assessment 2025/2026 is detailed below[1]:

- **First LKR 1,000,000 of Taxable Income:** Taxed at 6%[1]
- **Next LKR 500,000 of Taxable Income:** Taxed at LKR 60,000 plus 18% of the excess[12]
- **Next LKR 500,000 of Taxable Income:** Taxed at LKR 150,000 plus 24% of the excess[12]
- **Next LKR 500,000 of Taxable Income:** Taxed at LKR 270,000 plus 30% of the excess[12]
- **Balance of Taxable Income:** Taxed at LKR 420,000 plus 36% of the excess over LKR 2,500,000[12]

If an employee fails to submit a *Primary Employment Declaration* (APIT_001_EST) or has multiple concurrent employments (such as serving as a director in a cooperative union and an executive in a primary society), the employer must calculate deductions utilizing **Tax Table 07** (Secondary Employment) at standard higher flat rates[19].

Annual Statement of Employer (APIT) Filing Requirements

Cooperatives must submit their consolidated **Annual Statement of Employer - APIT** electronically via RAMIS on or before **April 30th** following the end of the year of assessment[21]. Physical submissions are invalid[21]. The return requires the upload of three verified CSV schedule templates[21]:

- **Schedule 01:** Full roster of employees from whom APIT has been actively deducted, detailing individual TINs, National Identity Card (NIC) numbers, cumulative gross remuneration, and total tax withheld[21].
- **Schedule 02:** Roster of employees terminated or retired during the year, containing once-and-for-all terminal payments (ETF, approved provident funds, or gratuities) and corresponding tax deductions[14].
- **Schedule 03:** Roster of employees whose annual remuneration fell below the LKR 1.2 million threshold (for Y/A 2024/2025) or LKR 1.8 million threshold (for Y/A 2025/2026), meaning no tax was deducted[21].

Furthermore, at the end of the tax year, the cooperative must issue a standard *Certificate of Income Tax Deductions* (Form A.P.I.T/T.10) to every employee from whom tax has been withheld[18].

Form / Table Code	Document Name	Operational Function	Mandatory Filing Deadline
APIT_001_EST	Primary Employment Declaration[18]	Submitted by employees to nominate their main employer and claim the LKR 1.8M relief[48]	At the commencement of employment or change in tax year[48]
APIT_002_EST	Secondary Employment Declaration[18]	Submitted by employees who have more than one employment[48]	At the commencement of any secondary employment[48]
A.P.I.T/T.10/(2026)	Certificate of Income Tax Deductions[18]	Issued to employees detailing annual gross salary and total APIT deducted[18]	Within 30 days of the end of the assessment year[39]
Asmt_APIT_001	APIT Annual Statement[21]	Employer's consolidated return summarizing total workforce tax deductions[21]	On or before April 30th[21]
Table 01	Regular Monthly Tax Deductions[49]	Tax calculation table applied to	Utilized during monthly payroll

		primary monthly employment income[48]	processing[48]
Table 03	Once-and-for-all Payments Table[49]	Deducts tax from terminal benefits (ETF, gratuity, provident funds)[14]	Calculated at the point of employee termination[21]
Table 07	Secondary Employment Tax Table[49]	Applies tax deductions to secondary wages (without personal relief deduction)[48]	Utilized for secondary payroll processing[48]

Audited Financial Statements and Statutory Timelines

Cooperative societies in Sri Lanka operate under a dual administrative framework[5]. While they must comply with the federal tax demands of the Inland Revenue Department, they are fundamentally regulated, supervised, and audited by the Department of Co-operative Development[5].

Auditing Standards and Legal Directives

Under Section 44(1) of the Co-operative Societies Act, No. 5 of 1972, the accounts of every registered cooperative society must be audited at least once a year by the Registrar of Cooperative Societies or an officer authorized in writing on their behalf[50]. To ensure independence and audit quality, the Registrar maintains an approved panel of auditors, which includes senior department officials and qualified Chartered Accountants or firms of Chartered Accountants[50].

Financial statements must be prepared in accordance with **Generally Accepted Accounting Principles (GAAP)** or, for larger entities and financial societies, the **Sri Lanka Public Sector Accounting Standards (SLPSAS)** or standard Sri Lanka Financial Reporting Standards (SLFRS/LKAS)[51]. Under Department guidelines, specific standardized templates are mandated for different types of cooperatives to ensure uniformity[54]:

- *Multi-Purpose Co-operative Societies (MPCS)* must utilize the standard **"MPCS" Audit Report Format (Sinhala)**[54].
- *Thrift and Credit Co-operative Societies (SANASA)* must utilize the **"SANASA" Audit Report Format (Sinhala)**[54].
- For general evaluation and regulatory review, auditors must compile the **F-28 Evaluation Report**[54].

Allocation to the Cooperative Development Fund

A key legal and financial requirement for all cooperatives is the mandatory contribution to the *Cooperative Development Fund*[52]. Established under Ministerial orders published in the Government Gazette, Section 43(i) of the Co-operative Societies Act, No. 5 of 1972 mandates that every registered society must contribute **10% of its annual net profit** (or a minimum sum of LKR 5) to this fund annually, based on its audited financial statements[55].
This contribution acts as an institutional reserve and is audited with extreme rigor[52]. Any failure to calculate, disclose, or remit this 10% levy is flagged as a major compliance infraction, which can lead to the suspension of the society's board or the withholding of approval for its annual activities[5].

Dual Timelines: The Conflict of Tax and Cooperative Calendars

Cooperative administrators must manage two conflicting operational calendars: the federal tax year and the cooperative operational year[17].
Under Section 64 of the Co-operative Societies Act, cooperatives are legally required to submit their annual financial statements to the Registrar of Co-operative Development within **3 months** of the end of their financial year (which typically aligns with the calendar year ending December 31st)[58]. Following audit completion, cooperatives must convene their **Annual General Meeting (AGM)** to present the accounts and audit reports to their members[57]. The statutory deadlines for holding these AGMs are:

- **Primary Cooperative Societies:** On or before **November 30th**[57].
- **Central and Apex Cooperative Societies:** On or before **December 31st**[57].

Because the corporate income tax return (Asmt_CIT_001_E) is due by **November 30th** annually, cooperative tax teams must reconcile their audited calendar-year accounts with the government's April-to-March fiscal tax year, declaring any tax-exempt profits in **Schedule 1** of the return.

Legal Mandate	Regulatory Authority	Applicable Guidelines / Forms	Statutory Submission Deadline
Annual Audit Submission	Department of Co-operative Development[5]	GAAP / SLPSAS, MPCS/SANASA Audit formats[51]	Within 3 months of the financial year-end (March 31st)[56]
AGM Convening	Registrar of Co-operative Societies[5]	Presentation of audited statements and F-28 Evaluation[54]	Primary: Nov 30th; Central/Apex: Dec 31st[57]
Development	Co-operative	Gazette orders No.	Remitted

Fund Levy	Development Fund[52]	10086 (10% of annual net profit)[55]	post-audit prior to AGM approvals[55]
CIT Return Submission	Inland Revenue Department[17]	Asmt_CIT_001_E, Schedule Part A & B[17]	On or before November 30th[17]
WHT Annual Return	Inland Revenue Department[23]	Asmt WHT_001_E, Schedule 2A/2B[23]	On or before April 30th[23]
APIT Annual Return	Inland Revenue Department[21]	Asmt_APIT_001_E, Schedule 01, 02, 03[21]	On or before April 30th[21]

Conclusions and Strategic Compliance Framework

The transition of Sri Lanka's tax landscape into a unified, digital-first structure creates a demanding compliance environment for cooperative societies in 2025 and 2026[2]. While the core legislative framework continues to protect cooperative mutualism from direct corporate income tax liability under the Third Schedule, the administrative procedures required to sustain this exemption are meticulous and strictly monitored[7].

To navigate this environment successfully, cooperative management boards and financial officers must establish a proactive compliance calendar that balances the dual timelines of the Co-operative Development Department and the Inland Revenue Department[5]. Transitioning accounting records to real-time e-services platforms is no longer merely a matter of administrative efficiency; it is a statutory necessity required to satisfy mandatory e-filing laws for CIT, APIT, and VAT[17].

Crucially, the abolition of the SVAT scheme and its replacement with the Risk-Based Refund Scheme (RBRS) requires cooperatives to maintain spotless compliance histories to secure a "Low-Risk" rating[29]. This rating is key to preventing cash flow blockages on zero-rated exports and strategic local supplies[29]. Furthermore, to secure exemptions from withholding taxes on interest income at source, cooperatives must consistently obtain and update their official CGIR confirmation letters, integrating these validations directly with their primary banking partners[39].

By formalizing these electronic compliance routines, cooperative societies can successfully safeguard their tax-exempt status, reinforce their capital reserves, and continue to drive inclusive socio-economic development across Sri Lanka[3].

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Analysis of the Cooperative Tax Framework in Sri Lanka for 2025 and 2026: An Analytical Regulatory Report

Macro Fiscal Context and Legislative Evolution

The architecture of domestic revenue mobilization in Sri Lanka has undergone systemic changes under the structural adjustment guidelines coordinated with international financial institutions[1]. Following the macroeconomic crisis of 2022, the state has actively pursued a fiscal consolidation strategy designed to broaden the direct tax base, enhance compliance through digital integration, and phase out distortionary tax exemptions[1]. A central objective of the medium-term revenue strategy is to recalibrate the direct-to-indirect tax ratio from its historical imbalance of 25:75 toward a more equitable target of 40:60[2].
Within this broader fiscal reform, the taxation of cooperative societies has emerged as a sensitive policy area. Cooperative societies in Sri Lanka represent a century-old movement, tracing their origins to the Dumbara Cooperative Credit Society established in 1906[3]. Under the administrative framework of the Department of Cooperative Development, these institutions have historically served as instruments of rural credit, agricultural distribution, and social welfare[3].
While the state seeks to preserve the social mission of cooperatives—particularly their role in distributing essential goods to vulnerable populations at fair prices—the imperative to address sovereign debt distress has required a rigorous integration of commercial cooperative operations into the modern tax net[1]. The enactment of the Inland Revenue Act, No. 24 of 2017, alongside consecutive amendments culminating in the Inland Revenue (Amendment) Act, No. 2 of 2025, reflects this delicate balancing act[8].

Registration Procedures and RAMIS Digital Integration

To achieve standard compliance, cooperative societies must navigate a structured integration pathway within the Revenue Administration Management Information System (RAMIS) operated by the Inland Revenue Department (IRD)[10].

Taxpayer Identification Number Acquisition

Every cooperative society operating in Sri Lanka that engages in trade, business, or investment activity is legally mandated to register for and obtain a Taxpayer Identification Number (TIN)[12]. This process can be initiated online via the e-services portal of the IRD or executed in person at the Primary Registration Unit at the IRD Head Office in Colombo or its regional branches[12]. Unlike individual taxpayers or standard limited liability companies, cooperative societies must submit a specialized application form designed for non-governmental organizations, charities, and cooperatives[12]. The registration process requires the submission of physical and digital

documentation verifying the legal status, governance structure, and operational location of the society[12].
The primary documentation requirements are compiled in the table below:

Registration Parameter	Regulatory Requisite and Supporting Documentation
Primary Application Form	Form specific to NGOs, Charities, Cooperatives, and Associations[12].
Constitutional Documents	Certified copy of the Co-operative Society Statutes and approved bye-laws[12].
Legal Existence Proof	Registration Certificate issued by the Provincial Commissioner of Cooperative Development or Registrar of Cooperative Societies[12].
Governance Verification	Letter of request signed by the head of the institution, accompanying the minutes of the most recent Annual General Meeting (AGM) and the formal appointment letter of the authorized signatory[13].
Identity Proof of Officers	Photocopies of the National Identity Cards (NIC) or valid passports of all directors, committee members, and the primary signatory[12].
Processing and Fees	No administrative fee is payable; standard processing issues the registration certificate within forty minutes for walk-in services with complete documentation[12].

Tax Type Registration and Platform Mechanics

Once a cooperative society obtains its TIN, the RAMIS platform automatically registers the entity for Corporate Income Tax (CIT)[14]. This automatic activation ensures that the cooperative is logged as an active corporate filer in the national database[14].
However, registration for additional tax liabilities—specifically the Impost sobre o Valor Acrescentado (Value Added Tax - VAT) and the Social Security Contribution Levy (SSCL)—is not automatic[13]. The cooperative must monitor its taxable turnover against the prescribed statutory thresholds and submit separate applications for tax type activation using Form

TPR_005_E[13]. For VAT registration, the cooperative must present verifiable documentary proof of its taxable transactions, such as sales invoices, bank statements, purchase orders, or registered lease agreements[13].

Corporate Tax Rates and Withholding Tax Structures

For cooperative societies that fail to meet the strict criteria for statutory exemptions, their commercial surpluses are subject to the standard corporate tax rates and withholding mechanisms established under the current legal framework[20].

Corporate Income Tax Rates

The standard corporate income tax rate applicable to companies and corporate bodies in Sri Lanka is 30%[21]. If a cooperative society does not qualify for an exemption—for instance, if its registration has lapsed, or it operates under outdated ordinances that do not confer tax-exempt status—its taxable business and investment income are taxed at this flat rate of 30%[20].

Furthermore, if a cooperative society engages in high-revenue commercial activities such as betting and gaming, or the manufacture, import, or sale of liquor or tobacco products, these specific business lines are subject to a punitive flat rate of 45% under the revisions introduced by the Inland Revenue (Amendment) Act, No. 2 of 2025, which represents an increase from the previous rate of 40%[8].

Advance Income Tax and Withholding Tax on Interest

The treatment of investment income, specifically interest and discounts earned on deposits held with commercial banks and financial institutions, represents a major compliance area[8]. Effective from April 1, 2025, the rate of Advance Income Tax (AIT) or withholding tax on interest and discounts was increased from 5% to 10%[8].

This 10% deduction is executed at source by the paying financial institution[23]. For a taxable cooperative society, this withholding does not represent a final tax; rather, it is treated as a deductible adiantamento against the cooperative's final annual income tax liability[23].

To prevent tax deduction from low-income individuals whose total annual income falls below the personal tax-free relief threshold of LKR 1,800,000, a self-declaration mechanism is available[8]. Individuals meeting these criteria can submit a formal declaration to their financial institution to prevent the deduction of the 10% AIT at source[23].

Similarly, senior citizens—defined under Section 195 of the Act—are granted relief from interest withholding tax, provided their total assessable income from all sources does not exceed LKR 1,800,000 for any year of assessment[8].

The comparative corporate tax and withholding structures for the consecutive assessment years are summarized in the table below:

Tax Category and Source of Income	Rate in Y/A 2024/2025	Rate in Y/A 2025/2026	Effective Date of Change

Standard Corporate Income Tax	30%[22]	30%[21]	Constant
Special Commercial Sectors *(Liquor, Tobacco, Gaming)*	40%[29]	45%[8]	April 1, 2025[8]
Advance Income Tax (AIT) on Interest	5%[25]	10%[8]	April 1, 2025[8]
Standard Individual Relief Limit	LKR 1,200,000[29]	LKR 1,800,000[8]	April 1, 2025[8]

Statutory Exemptions and Legal Interpretations

The preservation of cooperative financial stability is structurally supported by a series of statutory exemptions from both direct and indirect taxation, although these exemptions are subject to strict legal boundaries[20].

Income Tax Exemptions Under Section 7(h)

The primary legal shield for cooperative earnings is found in the interpretations of Section 7(h) of the Inland Revenue Act[20]. According to rulings issued by the Committee for Interpretation of Tax Laws, the scope of these exemptions depends on the specific legislation under which the cooperative is registered[20].

First, with retrospective effect from April 1, 2008, all profits and income of cooperative societies registered under the Co-operative Societies Law, No. 5 of 1972, are exempt from income tax[20]. This comprehensive exemption includes not only direct operational surpluses from mutual trading but also passive investment income, such as interest and dividends earned on the society's bank deposits and shares[20].

Second, with effect from April 1, 2011, this exemption was extended to any cooperative society registered under corresponding statutes enacted by a Provincial Council, following the devolution of cooperative administration under the 13th Amendment to the Constitution[3].

Third, the same exemption applies to Lak Sathosa Limited, which operates as a state-sponsored cooperative retail network[3].

However, a critical compliance distinction applies: cooperative societies registered under the ancient Co-operative Societies Ordinance, No. 16 of 1936 (including its 1949 and 1952 amendments), are not covered by the provisions of the 1972 Law or any Provincial Council statute[20]. Consequently, these historical societies are legally excluded from the income tax exemption and are treated as standard taxable corporate entities[20].

Exemptions from Other Levies and Financial Taxes

In alignment with the policy of promoting cooperative development, cooperatives are granted exemptions from several other fiscal charges[3]:

- **Economic Service Charge (ESC):** Cooperatives are explicitly excluded from liability under the Economic Service Charge Act, protecting their turnover from the 0.5% levy that historically applied to other corporate entities[34].
- **Withholding Tax on Bank Deposits:** Financial institutions are instructed not to deduct withholding tax or AIT from the interest accruing on bank deposits held by cooperative societies registered under the 1972 Law[26].
- **VAT on Financial Services:** While standard financial institutions face a heavy 20% VAT on financial services, Chapter IIIA of the Value Added Tax Act explicitly exempts cooperative societies and cooperative rural banks from this charge, effective from January 1, 2008[35].

Removal of General VAT Exemptions on Commercial Supplies

While cooperatives enjoy strong protections on their corporate income and financial transactions, their general commercial trading activities were brought into the consumption tax net[38]. Under the Value Added Tax (Amendment) Act, No. 20 of 2016, the historical exemption on the supply of any goods or services by cooperative societies or Lak Sathosa was repealed[38]. As a result, cooperatives that operate retail supermarkets, wholesale distribution centers, or commercial services must charge, collect, and remit standard VAT at 18% on all non-exempt goods supplied to consumers, provided their turnover exceeds the statutory registration limits[21].

Filing Procedures and Annual Corporate Compliance

To maintain their tax-exempt or compliant status, cooperative societies must adhere to the annual corporate tax filing cycle administered via the RAMIS electronic portal[19].

E-Filing Mandate and Return Structure

Effective from the Year of Assessment 2024/2025, electronic filing of the Corporate Income Tax (CIT) return has been made mandatory for all corporate taxpayers, including cooperative societies[22]. Manual submissions are no longer accepted for corporate entities, forcing cooperatives to maintain digital accounting records compatible with RAMIS uploading formats[10].

The corporate tax return is structured into two primary divisions, which require careful reconciliation by chartered accountants or registered tax agents[19]:

1. **Return of Income (Part A):** Contains Section 01 for the formal statement of gains and profits, Section 02 for the legal declaration by the society's officers, and mandatory Schedules 1 through 7B[19]. These schedules capture specific details on employment income, business profits, investment returns, and tax credits[19].

2. **Financial Information (Part B):** Consists of Schedule 08, which contains the detailed tax computation sheets adjusting accounting profit to taxable profit, and Schedule 09, which captures the balance sheet and cash flow details[19].

The Commissioner General of Inland Revenue has clarified that if a cooperative attaches its own customized tax computation sheet prepared by adjusting the accounting profit in accordance with the provisions of the Inland Revenue Act, the submission of Schedule 08 is not mandatory[19]. However, the submission of Part A and the balance of Part B schedules remains strictly compulsory to constitute a valid return[19].

Statutory Filing Timelines

In accordance with Section 93(1) of the Inland Revenue Act, every corporate entity must file its return of income not later than eight months after the end of each year of assessment[19]. Since the standard financial year of assessment in Sri Lanka runs from April 1 to March 31, the statutory deadline for filing the annual return is **November 30** of the subsequent calendar year[19].

For example, the tax return for the financial year ending March 31, 2025 (Year of Assessment 2024/2025), must be electronically filed on or before November 30, 2025[19].

Payments, Installments, and Refund Operations

The management of tax payments and the recovery of overpaid taxes are governed by strict timelines, administrative codes, and the statutory changes introduced in the 2025 legislative amendments[22].

Quarterly Estimated Tax Payments

Any cooperative society that has a tax liability (for example, due to taxable commercial business lines or non-exempt status) must pay its estimated tax in four quarterly installments[22]. These installments are computed based on the cooperative's Statement of Estimated Tax Payable (SET) and must be paid using distinct period codes to ensure correct allocation within the RAMIS ledger[30].

The quarterly payment schedule and period codes for the Year of Assessment 2024/2025 are structured as follows:

Instalment	Period Covered	Payment Due Date	Period Code (Y/A 24/25)
First Instalment	April to June	On or before August 15, 2024[22].	24251 [cite: 30]
Second Instalment	July to September	On or before November 15, 2024[22].	24252 [cite: 30]

Third Prestação	October to December	On or before February 15, 2025[22].	24253
Fourth Instalment	January to March	On or before May 15, 2025[22].	24254
Final Balance	Year-End Settlement	On or before September 30, 2025[22].	24255

All tax payments must be remitted directly to the Commissioner General of Inland Revenue[30]. Authorized payment modalities include cash deposits, pay orders, or bank drafts at branches of the Bank of Ceylon, or digital transfers executed via the LankaPay Online Payment Platform (LPOPP)[30].

Refund Procedures and Statutory Time Limits

The Inland Revenue (Amendment) Act, No. 2 of 2025, introduced significant revisions to the refund procedures under Section 150 of the principal enactment[8]. These changes differentiate between standard individual claims and the corporate/cooperative administrative framework:

- **Individual and Senior Citizen Refunds:** For resident individuals, if a tax return claims a refund of up to LKR 180,000 for any year of assessment starting from 2025/2026, the CGIR is mandated to process and release the refund within three months of the claim, prior to conducting a formal tax audit[8]. For senior citizens, quarterly refunds can be disbursed within a limit of LKR 45,000 per quarter prior to an audit[8].
- **Time Bar on Claims:** For cooperative societies and corporate entities, a strict statutory limitation has been introduced[42]. For any year of assessment commencing on or after April 1, 2024, a claim for a refund of overpaid income tax or credit must be formally lodged **within thirty months** from the last date of that year of assessment[42]. Any application submitted after this 30-month window is legally time-barred, resulting in the permanent forfeiture of the overpaid tax credit[42].

Mathematical Formulations for Asset Depreciation and Penalties

The quantitative execution of the cooperative tax framework requires strict adherence to mathematical models defined in the Inland Revenue Act for the calculation of taxable profits, capital allowances, and late-compliance penalties[22].

Total Statutory Income and Taxable Income Formulations

The determination of a cooperative's annual tax liability begins with the calculation of its Total Statutory Income (TSI), which aggregates the net surpluses from all non-exempt business and investment activities[27]. Let I represent the income from various sources:

$$TSI = \sum I_{business} + \sum I_{investment} + \sum I_{other}$$

Where $I_{business}$ excludes any profits and income derived by cooperative societies registered under the 1972 Law (which are exempt)[20]. The Taxable Income (TI) is subsequently derived by deducting qualifying payments (QP) and reliefs (R) from the Total Statutory Income[27]:

$$TI = TSI - (QP + R)$$

The net tax liability (TL) is then calculated as:

$$TL = (TI \times r) - FTC$$

Where r represents the applicable tax rate (30% standard corporate rate or 45% for specialized commercial undertakings), and FTC represents any allowable Foreign Tax Credits[21].

Improvement Costs and Depreciation Basis Adjustments

When a cooperative incurs expenditure on the repair or improvement of its business assets, the deductibility of these costs is strictly limited under Section 14 of the Inland Revenue Act[22]. The allowable improvement cost (AIC) is capped at 20% of the written-down value of the asset (WDV_{prev}) at the end of the preceding year of assessment[31]. Any excess improvement cost (EIC) must be capitalized and added to the depreciable basis of the asset for future capital allowances[31].

Let IC represent the actual improvement cost incurred during the year[31]. The equations are modeled as follows:

$$AIC = \min(IC,\ 0.20 \times WDV_{prev})$$

$$EIC = \max(0,\ IC - AIC)$$

The adjusted written-down value (WDV_{new}) that forms the new depreciable basis for the subsequent year of assessment is calculated as:

$$WDV_{new} = WDV_{prev} + EIC - CA$$

Where CA represents the annual Capital Allowance (depreciation rate) granted for that specific class of asset under Section 16 of the Act (e.g., 20% for plant and machinery, 5% for buildings)[22].

Penalty Formulation for Late Return Filing

If a cooperative society fails to submit its annual return of income by the statutory deadline of November 30, the RAMIS system calculates a mandatory late-filing penalty (P_{LF})[22]. This penalty is formulated as the maximum of two alternative penalty options[22]:

$$P_{LF} = \max(P_{opt1},\ P_{opt2})$$

The variables for the options are modeled as:

$$P_{opt1} = 0.05 \times T_{due} + (0.01 \times T_{due} \times M)$$

$$P_{opt2} = 50000 + (10000 \times M)$$

Where:

- T_{due} is the total outstanding tax liability declared on the return[22].

- M is the number of months (or part thereof) that the return remains unfiled after the November 30 deadline[22].
- The maximum statutory cap for P_{opt2} is LKR 400,000, while P_{opt1} is limited by the total tax due[22].

Conclusions and Compliance Recommendations

The evolution of the cooperative tax regime in Sri Lanka for 2025 and 2026 highlights the ongoing transition toward a digitized and tightly monitored fiscal environment[1]. For cooperative societies to maintain financial viability and prevent the leakage of resources through avoidable penalties and tax exposures, several corporate compliance actions are strongly advised:

- **Urgent Audit of Registration Status:** Governing bodies of cooperative societies must conduct an immediate review of their legal registration[20]. Societies operating under historical registrations, such as the Co-operative Societies Ordinance No. 16 of 1936, must migrate their status to the Co-operative Societies Law No. 5 of 1972 or relevant Provincial Council statutes to preserve their income tax exemptions[20].
- **Establishment of RAMIS Protocols:** Cooperatives must invest in accounting software capable of generating audited statements that align with RAMIS requirements[10]. Since electronic filing is mandatory, reliance on manual bookkeeping exposes the cooperative to the risk of failing the November 30 filing deadline, which immediately triggers the penalty function P_{LF} [19].
- **Proactive VAT and SSCL Management:** Given the planned reduction in the VAT and SSCL registration thresholds to LKR 36 million per annum starting April 1, 2026, medium-sized regional cooperatives must prepare for registration[2]. Management must implement mechanisms to track monthly and quarterly turnover to comply with the 18% VAT and cascading SSCL collection mandates[2].
- **Working Capital Adjustments for VAT:** The abolition of the SVAT scheme on October 1, 2025, requires cooperatives to fund VAT on imports and local purchases upfront[24]. Cooperatives must adjust their cash flow forecasts to accommodate this temporary tax-paid outlay, ensuring that refund claims are filed within the new 30-month statutory limit to prevent loss of credits[24].
- **AIT Exemption Verification:** To safeguard liquidity, cooperative treasurers must verify that commercial banks do not deduct the 10% AIT from interest on their deposits[8]. This requires the timely presentation of valid 1972 Act registration certificates and official tax status confirmations to all banking partners[12].

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